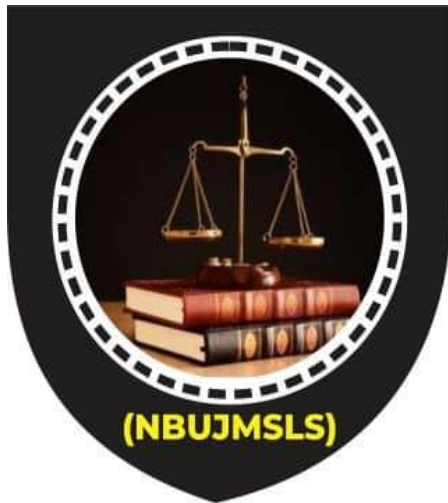


# NIGERIAN BRITISH UNIVERSITY JOURNAL OF MANAGEMENT, SOCIAL AND LEGAL STUDIES (NBUJMSLS)

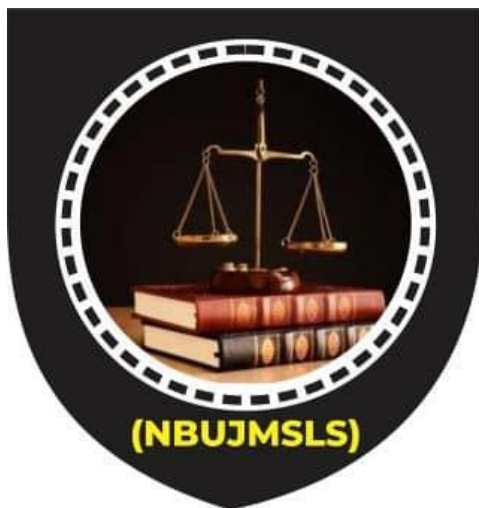
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NBUJMSLS welcomes original contributions in form of empirical research articles, reviews, and case studies, on management, social and legal studies.

The journal is published bi-annually. Articles are invited from interested contributors from all over Nigeria and beyond. The average length of articles is about 15 pages on A4 size paper, typed doubled-spaced. Using Times New Romans font. All manuscripts should be submitted in soft copies to the editor through [nbujmsls@nbu.edu.ng](mailto:nbujmsls@nbu.edu.ng). The American Psychological Association Seventh Edition (APA7) Style of referencing is adopted for Management and Social Sciences, while all Legal Studies articles must follow the Nigerian Association of Law Teachers (NALT) citation and documentation style. Each article should be accompanied by an abstract of not more than 250 words.

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The Editor-In-Chief has great pleasure in presenting Volume I, March 2025 of the Nigerian British University Journal of Management, Social and Legal Studies (NBUJMSLS) to the Nigerian British University, Asa, Abia State and the world at large.

The contributions of the Advisory Board, The Editorial Consultants / Reviewers to the success of the maiden edition is highly appreciated.

**Dr. Godwin O. Osuagwu**

The Editor-In-Chief

Nigerian British University Journal of Management, Social and Legal Studies  
(NBUJMSLS)

March 2025.

## **FOREWARD**

I am elated to write foreword to this maiden edition of Nigerian British University Journal of Management, Social and Legal Studies (NBUJMSLS). The effort to midwife a multi-disciplinary journal with an Editorial Board with high profile scholars is quite commendable. A lot of efforts have gone into the groundwork to provide the first volume of the journal in line with the vision of the University “to be a top ranking world class University, committed to excellence in research and the production of a generation of leaders with passion for service. It is quite a challenge starting a journal, but it is even more challenging to sustain regularity and quality of the production. However, with the composition of the Editorial Board, I have no doubt that this can be achieved. The University on her part will give all the necessary support to make sure the objectives of the journal are achieved. The three major areas: Management, Social Sciences and Law show the broad base of the journal. This will provide an opportunity for both seasoned and young academics to find an outlet for the dissemination of their research findings. It will also serve as a source of information for researchers in Management, Social and Legal Studies. I recommend the journal to the readership and patronage of both local and international academia.

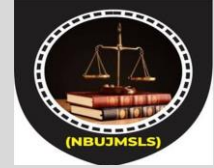
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## EFFECT OF CORPORATE SOCIAL RESPONSIBILITY ON MARKET VALUE OF FIRMS LISTED ON THE NIGERIAN EXCHANGE GROUP

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### ABSTRACT

*Current environmental picture and problem of lack of adequate disclosures of environmental related issues by companies in Nigeria in their annual reports today is a thing of concern to ascertain how environmental disclosure affect the Market Value of Companies. Therefore, the study examined effect of community development cost and pollution control disclosure on market value of listed consumer and industrial goods firm in Nigeria covering the period of ten (10) year 2014-2023. The study adopted ex-post facto with focus on longitudinal Panel design and secondary data was used for analysis which was obtained from Nigerian Exchange Group (NGX) Panel regression analysis technique was used to analyze the data. The result showed that environmental responsibility and economic responsibility have positive and significant effect on Tobin Q of firms listed on the Nigerian Exchange Group. Based on the findings of this study and the conclusion made, the study recommended that the Management of the listed firms should expand their environmental and economic responsibilities as it enhanced market value of the listed firms.*

**Keywords:** Community Development Cost, Pollution Control, Market Value, Firm Size, Shareholder.

### Introduction

Corporate Social Responsibility (CSR) has transcended being a mere ethical obligation to becoming a strategic lever for enhancing the market value of firms and has become a focal point of debate among business leaders, investors, and researchers. While CSR is increasingly viewed as a strategic approach to enhance brand reputation, foster community goodwill, and create long-term value, its direct impact on the market value of firms remains unclear, especially in emerging markets like Nigeria. Many companies struggle to quantify the financial benefits of CSR initiatives, leading to questions about whether these investments translate into tangible gains in market valuation (Okafor et al., 2021).

Market value offers information about a company's present value as judged by the market and is a crucial indicator of firm's financial health and attractiveness to investors. A high market value for businesses indicates that investors have faith in their potential to develop, remain stable in the future, which enhances their reputation and gives them a more noticeable place in the market and positive market sentiment and favorable decisions that meet investor expectations (Gaoet al., 2022). A competitive advantage may result from this, since a high market valuation not only strengthens a company's standing in relation to its competitors but also makes it simpler to draw in investors, keep top people, and negotiate favorable conditions. Market value thus serves as a public indicator of the company's previous success and prospects, impacting organizational-wide strategic choices (Gede, 2022).

A company with a high market value has more financing options and growth opportunities since it is considered as a lower-risk asset and has an easier time raising funds. This lower borrowing rates and creates new equity financing alternatives, allowing businesses to access cash without incurring more debt. Furthermore, a high market value boosts the appeal of issuing stock because it allows the company to raise a significant amount of money while selling fewer shares. To support long-term growth, this money can be reinvested in R&D, acquisitions, or market expansion (Dara-Abasi, 2024). Thus, a high market value encourages sustainability and resilience in the face of economic problems by enabling enterprises to launch strategic initiatives and strengthen their market position.

Market value has a direct impact on shareholder wealth in publicly traded corporations, impacting dividends as well as capital gains (Ogunseye et al., 2020). Higher market value leads to higher share prices, which benefit shareholders by increasing their investment returns and making shares more attractive in the secondary market. This, in turn, can boost investor loyalty because shareholders are more likely to stick with a company that consistently produces excellent returns. Furthermore, keeping a high market value lowers the possibility of hostile takeovers, as acquiring the company becomes more expensive. Thus, conserving and increasing market value combines the interests of the firm's management and shareholders, resulting in a unified focus on profitability and strategic expansion. Firms that carefully manage their market value can protect both their financial position and the interests of their stakeholders, reaffirming their status as responsible and successful corporate entities.

Corporate Social Responsibility (CSR) has developed as a strategic need for firms worldwide, particularly those listed on major stock exchanges like the Nigerian Stock Exchange (NSE). CSR refers to a company's voluntary efforts to improve social, economic, and environmental well-being outside of

its core commercial business (Ganti, 2023). Engaging in CSR activities can assist NSE-listed companies improve their public image, promote goodwill among stakeholders, and form positive partnerships with communities and government organizations. In Nigeria, where firms have a significant impact on socioeconomic development, CSR initiatives span from promoting education and healthcare to advocating environmental sustainability. These initiatives could influence market value by improving brand reputation, which, in turn, can attract more investors and develop customer trust.

The impact of CSR on market value is becoming increasingly important as businesses strive to strike a balance between profit and responsible business practices. Investors and shareholders frequently prefer organizations that display a commitment to CSR since it indicates a long-term vision and risk-conscious management. CSR initiatives can help enterprises on the NSE increase their market worth by attracting socially responsible investors and increasing investor confidence. Firms that engage in CSR initiatives may see an increase in their share price because of the positive public perception that CSR promotes (Ezechukwu & Uzuagu, 2022). Furthermore, CSR initiatives in Nigeria can reduce the risks connected with social and environmental issues, which appeals to investors seeking to prevent potential business disruptions.

Despite the benefits, CSR incurs costs that may have a short-term impact on profitability, prompting concerns about its direct effect on market value. However, the costs of CSR can be considered as an investment in reputation and brand equity, potentially leading to long-term financial rewards, as CSR boosts consumer loyalty, minimizes regulatory scrutiny, and aids in the attraction and retention of top personnel, all of which have a beneficial impact on the firm's market performance (Kaur & Singh, 2021). Hence, knowing the relationship between CSR expenditures and their influence on market value is critical for NSE-listed companies looking to improve both their financial performance and their social footprint. Although several studies have been made on corporate social responsibility (Khaustova, & Atamas, 2024; Rojas et al., 2024; Oduro et al., 2024) and market value (Kartika, 2024; Ahmadirad, 2024; Wafi & Ariadi, 2024) respectively, a dearth of empirical study on effect of corporate social responsibility on market value of firms listed on the Nigerian stock exchange, motivates this study, the study will bridge the observed gap in knowledge and clarify the relationship between corporate social responsibility (CSR) and market value in this specific context. By focusing on firms listed on the Nigerian Stock Exchange, this study aims to assess how CSR initiatives impact financial performance, stock prices, and overall market valuation, providing empirical evidence that could guide corporate

decision-making. Additionally, the findings are expected to offer insights into whether CSR activities translate into measurable economic benefits, thereby contributing to a more nuanced understanding of CSR's role in enhancing firm value.

### **Statement of the Problem**

Firms listed on the Nigerian Stock Exchange (NSE) face a variety of issues that affect their market value, beginning with economic volatility. Because of Nigeria's reliance on oil exports, global oil price variations have a significant impact on the economy. This reliance, combined with inflation and currency devaluation, frequently results in volatility, which undermines stock prices and investor confidence. As the Naira depreciates, local investors' purchasing power declines, while foreign investors face a heightened risk of currency losses, making the NSE less appealing. Economic instability also hinders enterprises' long-term planning capacities, as unpredictable market conditions frequently push corporations to take reactive rather than proactive operations (Onwuzulike et al., 2024).

Foreign exchange volatility is another major issue, as businesses frequently require foreign currency for imports and loan repayment. However, limited access to foreign cash and periodic Naira devaluation make meeting these obligations difficult, producing financial strain and reducing profitability (Abina, 2023). Firms exposed to foreign currency debt may see a significant increase in their debt commitments with each Naira depreciation, reducing their attractiveness to investors. Currency swings raise manufacturing costs for enterprises that rely on imported commodities, lowering profit margins and shareholder returns.

Regulatory and policy unpredictability in Nigeria hampers the business environment for NSE-listed companies. The government routinely implements unexpected changes in policies and regulations, disrupting corporate operations and creating an unpredictable business climate. For example, sudden import bans, tax rises, or restrictions in specific industries might have a negative influence on a company's income and operations (Ozili, 2022). Long-term investments are discouraged by the instability of regulatory frameworks, since investors are afraid of laws that could change overnight, thereby reducing profits or exposing them to unexpected hazards.

Corporate governance difficulties in some Nigerian corporations also contribute to a drop in market value. Investor trust has been affected by inadequate governance, such as breaches in transparency, weak accountability, and, in some cases, open misbehavior. Investors are increasingly worried about the quality of governance in the companies they invest in, as bad governance can lead to financial

mismanagement and a lack of transparency in reporting, both of which are risky for shareholders (Ozili, 2020; Akande, 2016). Weak governance processes put off both domestic and foreign investors, who may prefer to participate in economies with stronger regulatory control and established accountability requirements.

External competitive pressures and infrastructural limitations are significant challenges for NSE-listed companies. Power and transport is poor, increasing corporate operating expenses. High costs lower profit and market value, making publicly traded companies less enticing to investors (Babatunde, 2023; Onokala & Olajide, 2020). Furthermore, Nigerian enterprises confront stiff competition from more developed overseas markets, which are more stable and provide higher returns. These concerns drive capital away from the NSE, as both domestic and international investors seek out possibilities in markets seen to be safer and more profitable. Addressing these multidimensional concerns is critical for increasing investor confidence, increasing the market value of publicly traded companies, and broadening the appeal of the Nigerian Stock Exchange.

Many firms face unique challenges, such as economic instability, political hazards, and regulatory volatility, which complicate analyzing the impact of CSR on market value (Chondough, 2023). While some studies imply that CSR can improve business reputation and consumer loyalty, which could boost stock prices, others contend that the costs connected with CSR initiatives may not provide quick returns, reducing short-term profitability and shareholder value. This ambiguity leaves managers unsure and uncertain about the optimal level of CSR investment required to positively impact their company's market value.

Empirical research on the influence of CSR on market value in Nigeria is scarce, leaving enterprises unsure whether CSR initiatives are financially beneficial. Nigerian companies are cautious to completely commit to CSR due to a lack of proof, thinking that these expenditures will not improve stock price and firm valuation. As a result, policymakers and corporate executives lack the information required to assess if CSR can strategically increase market value. Addressing this gap is critical for enterprises to optimize their CSR investments and avoid the risks of either overspending on unsuccessful projects or investing in activities that could boost competitiveness and market value. Based on the foregoing issues highlighted, it is pertinent to ask the research question; what is the effect of corporate social responsibility on market value of firms listed on the Nigerian Exchange Group? The specific research questions are as follows:

(i) What is the effect of environmental responsibility on market value of firms listed on the Nigerian Exchange Group?

(ii) To what extent economic responsibility affect market value of firms listed on the Nigerian Exchange Group?

### **Research Objectives**

The main objective of this study is to examine the effect of corporate social responsibility (CSR) on the market value of firms listed on the Nigerian Exchange Group. The specific objectives are to examine the effect of:

(i) Environmental responsibility on market value of firms listed on the Nigerian Exchange Group;

(ii) Economic responsibility on market value of firms listed on the Nigerian Exchange Group.

### **Research Hypotheses**

Consistent with the research objectives, the following hypotheses were formulated:

**H<sub>01</sub>:** There is no significant effect of environmental responsibility on market value of firms listed on the Nigerian Exchange Group.

**H<sub>02</sub>:** There is no significant effect of economic responsibility on market value of firms listed on the Nigerian Exchange Group.

## **Literature Review and Theoretical Framework**

### **Conceptual Review**

#### **Corporate Social Responsibility (CSR)**

Corporate Social Responsibility (CSR) is a company's commitment to conducting business in an ethical and sustainable manner that considers the influence on society, the environment, and the economy (Ganti, 2023). This notion goes beyond a company's legal obligations to include voluntary initiatives aimed at achieving positive social and environmental results. CSR programs can encompass a variety of actions, including lowering carbon footprints, establishing fair work standards, participating in community development, and exercising ethical governance. Companies that implement CSR aim to meet the requirements and expectations of many stakeholders, including as employees, consumers, investors, communities, and regulators, which can assist support long-term value creation and

sustainable business success (Jeehan & Martín-Rojas, 2023). CSR demonstrates a company's commitment to being a responsible corporate citizen, positively contributing to society while balancing economic objectives with social and environmental obligations.

CSR is frequently organised around three main pillars: environmental, social, and governance (ESG) considerations. Companies may safeguard natural resources and reduce their environmental footprint by focusing on waste reduction, energy conservation, and pollution reduction (Ganti, 2023). Socially, CSR entails promoting employee well-being, protecting human rights, and participating in philanthropic activities such as funding education, healthcare, and community initiatives. Governance refers to ethical business standards, openness, and accountability in management and decision-making processes. Companies that prioritise ESG factors in their CSR efforts can improve their reputations, create stakeholder trust, and grow a loyal customer base. Furthermore, they may lower environmental and social hazards, so increasing their resilience in the face of regulatory changes and community expectations (Mishra et al., 2024).

The benefits of CSR go beyond reputation management and risk reduction. Companies that actively engage in CSR can boost their financial success, since there is mounting evidence that socially responsible businesses attract more investors and have higher levels of customer loyalty (Jeehan & Martín-Rojas, 2023). Investors are increasingly utilising ESG indicators to analyse a company's long-term health and profitability, as CSR initiatives can reflect solid governance and forward-thinking leadership. Furthermore, CSR can result in operational benefits such as reduced resource use and waste, both of which contribute to cost savings (Dapi & Agabu, 2015). In today's business environment, CSR is more than just a marketing strategy; it has become a critical factor in a company's competitive advantage and overall market positioning, especially as consumers and stakeholders demand greater accountability and positive contributions to society from corporations.

### **Environmental Responsibility (EVR)**

A company's dedication to reducing its environmental impact through sustainable practices is referred to as environmental responsibility (Adebayo et al., 2024). This entails cutting back on carbon emissions, protecting the environment, managing waste, and switching to renewable energy sources. Businesses that place a high priority on environmental responsibility frequently follow international guidelines like ISO 14001 and take an active part in initiatives that safeguard ecosystems and biodiversity. By doing this, businesses not only meet legal obligations but also establish a sustainable reputation that attracts

investors and customers who care about the environment. Environmental responsibility is becoming a critical part of the long-term strategy of companies in high-impact industries like manufacturing and oil and gas, which are being held accountable for their environmental practices (Mishra et al., 2024).

The significance that environmental responsibility plays in risk management and brand differentiation highlights how important it is. Businesses that ignore environmental issues risk fines, legal issues, and harm to their brand. Conversely, businesses that take proactive steps might draw in green investors and improve their brand image. Innovation, cost savings, and market access can result from using environmentally friendly technologies and industrial methods (Ramya & Baral, 2024). Additionally, environmental responsibility supports global sustainability trends and helps businesses remain competitive in the ever-changing market and regulatory environments.

### **Economic Responsibility (ECR)**

Economic responsibility centres on a business's capacity to meet wider societal demands while achieving long-term profitability. Beyond maximising shareholder income, this duty also entails investing in local communities, promoting economic growth, and creating jobs. Businesses reveal a balance between social impact and profits by creating value for all stakeholders (Bux et al., 2024). By assisting small businesses, investing in infrastructure, and promoting fair trade practices, multinational enterprises operating in underdeveloped regions can, for instance, increase their economic responsibilities.

Economic responsibility also guarantees the long-term financial stability of businesses by encouraging moral behaviour, openness, and responsibility. Prioritising economic responsibility helps businesses gain the trust of regulators, investors, and consumers (de Almeida Barbosa et al., 2024). This trust can lead to improved market positioning and easier access to financing. Additionally, companies whose economic objectives are in line with the Sustainable Development Goals (SDGs) of the UN are better equipped to adjust to changes in consumer preferences and economic policy around the world, ensuring their continued relevance and competitiveness in trade.

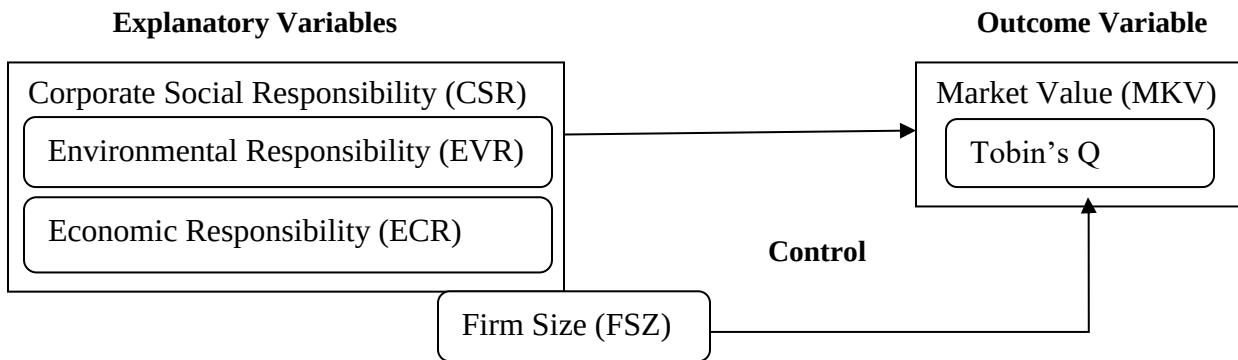
### **Market Value (MKV)**

Market value, which is frequently determined by a company's market capitalisation (the product of its stock price and outstanding shares), is the overall worth of the company as judged by the stock market (Kartika, 2024). Investor confidence in a company's present performance and prospects for future growth is reflected in this figure. Profitability, revenue growth, brand reputation, and compliance with environmental, social, and governance (ESG) requirements are some of the factors that affect market

value. Market value is frequently regarded as a measure of a company's capacity to draw in both domestic and foreign investors for companies listed on the Nigerian Stock Exchange.

Market value can be considerably increased by including CSR measures, such as environmental and economic responsibility (Brueninghaus et al., 2024). Businesses that exhibit ethical and sustainable practices are becoming more and more valued by investors since they are viewed as less risky and more likely to produce steady returns. Businesses that actively lower their carbon footprint or work on community development, for example, are more likely to see an increase in stock price because these activities demonstrate resiliency, creativity, and alignment with international investment trends. The summary of the study framework can be depicted in a hypothetical diagram under figure 1 as follows:

**Figure 1: Conceptualization of Variables**



## Review of Empirical Studies

### Environmental Responsibility and Market Value

Joseph and Grace (2024), investigates the impact of environmental accounting on the financial performance of quoted deposit money banks in Nigeria. The sample consisted of 14 banks, which were selected using census sampling techniques. A random effect regression model was used to test hypotheses after conducting diagnostic tests. The results indicate that environmental conservative cost disclosure has a significant positive effect on return on assets, while environmental compliance cost disclosure has an insignificant positive effect on return on assets. Although, the researcher is optimistic that deposit money banks involvement in environmental activities will not have much impact. Therefore, this study is focused on consumer and industrial goods firms whose activities has much greater effects on the environment.

Ezonfade et al. (2024) investigated the relationship between environmental accounting and financial performance of Conoil. The ex-post facto research design was employed in this case study of the

sampled oil gas giant in Nigeria due to its comprehensive disclosure of environmental expenditures in its annual reports. The study utilized secondary data obtained from annual reports and accounts, downloads from Nigerian Exchange Group (NXG), and the company websites covering the period 2008 to 2022. The study employed Ordinary Least Squares (OLS) regression for data analysis. The regression analyses revealed that environmental restoration costs have a significant negative impact on return on assets (ROA). Despite its recency, the study was exclusively conducted in the oil and gas industry. Hence This study was carried out in the Consumer and industrial good firms to solve the industrial gap in the previous study.

Lawrence and Bernard (2023), investigates the relationship between environmental costs and financial performance of selected industrial goods firm in Nigeria. The main objective of the study is to empirically determine if waste management costs and communities' development costs lead to better performance or not. The study covers the period between 2011 and 2020 and uses the Panel Estimated Generalized Least Squares (Panel EGLS) regression. Results showed that communities development costs (CDC) is positively significant on financial performance of the listed firms. The study of Lawrence and Bernard covered 2011 to 2020 as such This study considered 2014 – 2023 which obviously appears to be more recent in scope to tackle the gap on the scope of study.

Obiora and Omaliko (2022) examined the impact of community development and waste management disclosure on corporate liquidity of financial institutions in Nigeria. An ex post facto design was used and data for the study were sourced from the published annual financial reports of all 41 companies listed on the financial sector of Nigerian Exchange Group (NGX) with the data covering the period of 2015-2020. Using Ordinary least square regression analysis, the study found that disclosures on community development has a significant impact on the liquidity of firms in Nigeria. Hence, this study was targeted to consumer and industrial goods sectors whose activities have much effects on the environment.

Onyebuenyi and Ofoegbu (2022) examined the effect of environmental sustainability disclosure on financial performance of listed oil and gas companies in three countries within sub-Sahara Africa: Nigeria, Namibia, and Kenya. Based on descriptive and ex-post facto research design panel data set collected from fifteen (15) oil and gas listed firms in all three countries of interest within a nine (9) year time frame (2011 to 2019) were utilized. The study employed Robust Least Square Regression analyses technique to test the stated hypotheses. The study found that emission and energy disclosure have

significant negative and positive effect on performance measures of return on equity and gross profit after tax margin respectively. However, the study opines that similar studies should be carried out in other sectors other than the oil and gas sector and also the years of the data should be made to 2023 to account for current reality 2019 is too backward.

### **Economic Responsibility and Market Value**

Joseph and Grace (2024), investigates the impact of environmental accounting on the financial performance of quoted deposit money banks in Nigeria. The sample consisted of 14 banks, which were selected using census sampling techniques. A random effect regression model was used to test hypotheses after conducting diagnostic tests. The results showed that product and services development cost disclosure have an insignificant negative effect on return on assets.

Lawrence and Bernard (2023), investigates the relationship between environmental costs and financial performance of selected industrial goods firm in Nigeria. The study covers the period between 2011 and 2020 and uses the Panel Estimated Generalized Least Squares (Panel EGLS) regression. Results showed that waste management cost is positively significant on the financial performance of the listed firms. The study of Lawrence and Bernard covered 2011 to 2020 as such This study considered 2014 – 2023 which obviously appears to be more recent in scope to tackle the gap on the scope of study.

Ofurum and Iwunna (2022) evaluated the impact of environmental cost disclosure on the financial performance of oil and gas companies. The study used an ex-post facto research design and secondary data from companies' annual audited financial reports and the Department of Petroleum Resources (DPR) from 2008 to 2019. The study included 13 oil and gas companies listed on the Nigerian Stock Exchange and used a panel regression technique to estimate the study parameters. The results showed that waste management costs are positively and significantly related to the ROA of oil and gas companies in Nigeria.

Mohammed et al. (2022) investigated the association of environmental information disclosure and corporate financial performance for the manufacturing industry. The study focused on manufacturing industry listed companies in Nigeria Stock Exchange from 2012-2018. The population of this study was the 41 listed manufacturing companies on the Nigerian Stock Exchange as at 2019. A purposive filter sampling technique was used to obtain a sample of all the 41 listed manufacturing companies as the sample size. The study used secondary data collected from the annual reports of the listed manufacturing companies in Nigeria and data from the Nigerian Stock Exchange fact book for the period of six (6)

years. Content analysis and Ordinary Least Square regression analysis were employed for the test of hypothesis. The result disclosed that Disclosure on Material used (DMT) has negative and insignificant effect on financial performance (ROA) of listed pharmaceutical manufacturing companies in Nigeria.

Obiora and Omaliko (2022) examined the impact of community development and waste management disclosure on corporate liquidity of financial institutions in Nigeria. An ex post facto design was used and data for the study were sourced from the published annual financial reports of all 41 companies listed on the financial sector of Nigerian Exchange Group (NGX) with the data covering the period of 2015-2020. Using Ordinary least square regression analysis, the study found that expenditures on waste management have a significant impact on the liquidity of firms in Nigeria.

### **Theoretical Framework**

Freeman (1984) proposed the Stakeholder theory. This theory holds that businesses exist not only to maximize shareholder income, but also to a diverse variety of stakeholders such as consumers, employees, suppliers, communities, and the environment. CSR activities, such as community development programs, environmental protection, and ethical business practices, show a company's dedication to addressing stakeholder concerns. The notion states that when businesses engage in environmental, socially, and economically responsible practices, they develop trust, improve their reputation, and foster deeper relationships with stakeholders, which can lead to higher consumer loyalty, employee happiness, and investor confidence. These outcomes, in turn, have a favorable impact on the firm's market value.

It should be noted at this juncture that many companies listed on the Nigerian Exchange Group participate in industries like oil and gas, manufacturing, and banking, which are extensively scrutinized for their social and environmental impact. By implementing CSR activities, these companies not only meet up with regulatory requirements but also correspond with the expectations of environmentally, socially, and governance conscious investors and stakeholders. This alignment can result in increased goodwill and possibly attract foreign investment, both of which can contribute to a greater market price. Thus, Stakeholder Theory provides a strong framework for understanding how CSR activities can function as a strategic instrument for enhancing financial performance and market value.

## Methodology and Model Specification

This study adopted the ex post facto research design and secondary data for the study. Population of the study consists of thirty four (34) listed industrial and consumer goods firms operating on the floor of the Nigeria Exchange Group (NGX) as at 31st December 2023. The sample size is twenty six (26) and purposive filter sampling technique was used. Data required for this study were obtained from audited financial reports and accounts of the listed industrial and consumer goods firms in Nigeria for the period of ten (10) years spanning (2014-2023). The inferential analyses also involve the application of the appropriate statistical technique of Panel Regression Analysis. This is due to the nature of the data.

**Table 1:** Variables and their Measurements

| Variable Acronym | Variable Name                     | Variable types | Measurements                                                   | Source(s)                   |
|------------------|-----------------------------------|----------------|----------------------------------------------------------------|-----------------------------|
| MKV              | Market Value proxied by (Tobin Q) | Outcome        | Total market value of firm divided by Total Asset of the firm. | Okwy and Oluwamayowa (2018) |
| EVR              | Environmental Responsibility      | Explanatory    | Cost of Investment on social responsibility in the environment | Obiora and Omaliko (2022)   |
| ECR              | Economic Responsibility           | Explanatory    | Coded 1 when reported and 0 if not reported                    | Wang et al. (2019)          |
| FSZ              | Firm Size                         | Control        | Natural logarithm of Total Assets.                             | Elshabasy (2018)            |

*Source: Author's Compilation (2024)*

## Model Specification

In order to test the hypotheses of the study, this study has adapted the model of Ezonfade et al. (2024) by including firm size as a control variable in the model. The mathematical equation of the study can be shown as follows:

$$MKV = F(EVR, ECR, \text{ and } FSZ) \dots\dots\dots i$$

Thus, based on the earlier equation, the econometric model of the study can be specified under equation (ii) as follows;

$$MKV_{it} = \beta_0 + \beta_1EVR_{it} + \beta_2ECR_{it} + \beta_3FSZ_{it} + \epsilon_{it} \dots\dots\dots ii$$

Where:  $\beta_0$  = The autonomous parameter estimate (Intercept or constant term);  $\beta_1 - \beta_3$  = Parameter coefficients of the explanatory variables; MKV = Outcome variable known as “Market Value” proxied by Tobin’s Q; EVR = Independent variable Known as “Environmental Responsibility”; ECR = Independent variable tagged “Economic Responsibility”; FSZ = A control variable which stands for “Firm Size.

## Results and Discussion

### Descriptive Statistics

Descriptive statistics give a presentation of the mean, maximum and minimum values of variables applied together with their standard deviations obtainable.

**Table 2: Descriptive Information**

| Variables | Mean   | Std. Dev. | Minimum | Maximum | Observation |
|-----------|--------|-----------|---------|---------|-------------|
| MKV       | 0.8383 | 0.8189    | -0.9600 | 9.6000  | 260         |
| EVR       | 0.3430 | 0.2492    | 0.0300  | 1.5500  | 260         |
| ECR       | 0.8760 | 0.3302    | 0.0000  | 1.0000  | 260         |
| FSZ       | 5.9364 | 1.4123    | 3.1100  | 8.6800  | 260         |

**Source: STATA Output Results, (2024)**

Table 2 presents the descriptive statistics effect of environmental responsibility, economic responsibility, on market value of firms listed on the Nigerian Exchange Group during the period of 2014 to 2023. The table shows that Tobin q (TQ) as a measure of market value has a mean of 0.8383, with a standard deviation of 0.8189 as well as a minimum value of -0.9600 and maximum value of 9.6000 respectively. Given that the range between the minimum and maximum is quite wide, it implies unstable market value as the standard deviation indicated that there is no much slightly wide dispersion of the data from the mean value.

For the other measure of environmental responsibility and economic responsibility, it shows a mean value of 0.3430 and 0.8760 with standard deviation of 0.2492, 0.3302 and a minimum and maximum value of 0.0300, 0.0000, 1.5500 and 1.0000 respectively. This implies that environmental responsibility and economic responsibility witnessed a trivial increase during the study period, as the standard deviation is not so large compared to the mean, together with the low range between the minimum and maximum values. Firm size as control variable has a mean of 5.9364 with minimum value of 3.11000 and maximum value of 8.6800. This implies that the listed firms on the NGX varies significantly in terms of their assets size during the period of the study.

## Correlation Matrix

The correlation matrix table presents correlation relationship between dependent and independent variables and the correlation among the independent variables. This is shown in table 3 as follows:

**Table 3:** *Matrix of Correlation*

| Variables | MKV (1)   | EVR (2)   | ECR (3)  | FSZ (4) |
|-----------|-----------|-----------|----------|---------|
| (1)       | 1.0000    |           |          |         |
| (2)       | -0.0169** | 1.0000    |          |         |
|           | 0.0204    |           |          |         |
| (3)       | 0.0484*   | 0.1729*** | 1.0000   |         |
|           | 0.0642    | 0.0061    |          |         |
| (4)       | 0.4810*** | -0.0804** | 0.1396** | 1.0000  |
|           | 0.0000    | 0.0205    | 0.0273   |         |

**Source:** STATA Output Results, (2024)

NB: 1% = \*\*\*; 5% = \*\*; 10% = \*

In table 3, the correlation analysis, which is used to quantify the association between two continuous variables. In correlation analysis, we estimate a sample correlation coefficient, more specifically the Pearson Product Moment correlation coefficient. The result presented in table 3 confirms that environmental responsibility and economic responsibility has a positive and negative correlation which are -0.01689 and 0.0483 with Tobin Q respectively, while firm size as control variable has a positive correlation with Tobin Q at value of 0.00225.

## Panel Regression Results [Random Effect Model]

This section examines the effect of the predictor variables on the market value of the listed firms on the Nigerian Exchange Group. Thus, the model  $MKV_{it} = \beta_0 + \beta_1EVR_{it} + \beta_2ECR_{it} + \beta_3FSZ_{it} + \epsilon_{it}$  is depicted table Table 4 as follows:

**Table 4:** *Regression Analysis*

| Variables                   | Coefficients | T-Values | P-Values |
|-----------------------------|--------------|----------|----------|
| Constant                    | 1.4646       | 8.5943   | 0.0000   |
| EVR                         | 3.1823       | 2.4430   | 0.0153   |
| ECR                         | 4.0226       | 3.2416   | 0.0809   |
| FSZ                         | 5.0156       | 2.2265   | 0.0021   |
| R-Squared (R <sup>2</sup> ) |              |          | 0.6458   |
| Adjusted R <sup>2</sup> (3) |              |          | 0.6399   |
| F – Statistics              |              |          | 110.7723 |
| Prob>F                      |              |          | 0.0000   |

**Source:** STATA Output Results, (2024)

This study examined the effect of corporate social responsibility on market value of listed consumer and industrial goods firms in Nigeria. From table 4 above, the coefficient of multiple determinations (R<sup>2</sup>) is

0.64 and in line with the panel nature of the data used in this study, the regression model shows that the range of values between adjusted  $R^2$  and  $R^2$  falls between 64 percent, and 63 percent respectively. This indicates that about 64 percent of the total variations in market value proxied by Tobin Q (TQ) is explained by the changes in the independent variables (EVR, ECR, and FSZ), while the remaining 36 percent (36%) of the change in the model is captured by the error term, which further indicates that the line of best fit is highly fitted. The panel regression result for the sampled consumer and industrial goods firm showed that there is positive and significant relationship between environmental responsibility, economic responsibility and Tobin Q with a corresponding significance level of 0.0153 and 0.0809 indicating 5 percent and 10 percent level of significance. However, when taken collectively, the regressors (EVR and ECR) against the regressed (MKV), the value of F-statistic is 110.7723 and the value of the probability of F-statistic is 0.0000. This result implies that the model is good, adequate, and well fitted for the study.

### **Environmental Responsibility and Market Value**

This study evaluates effect of environmental responsibility on market value of listed consumer and industrial goods firms in Nigeria. The findings of this study is on the basis of formulated hypotheses, models and analysis carried out. Firstly, the study found that environmental responsibility of listed consumer and industrial goods firms in Nigeria have a positive and significant effect on Tobin Q as a proxy for market value. The finding is consistent with the priori expectation of the study. Based on the hypothesis one,  $H_{01}$  is strongly rejected. This is consistent with the study of Ezonfade et al. (2024), Lawrence and Benard (2023), Obiora and Omaliko (2022), Onyebuenyi and Ofoegbu (2022) who documented that environmental responsibility has positive and significant effect on financial performance of listed finance institutions in Nigeria. On the contrary, the finding is not in line with the study of Joseph and Grace (2024) who documented an insignificant relationship between environmental responsibility and financial performance.

### **Economic Responsibility and Market Value**

Secondly, study found that pollution control disclosure on market value of listed consumer and industrial goods firm in Nigeria has a positive and significant effect on Tobin Q as measure of market value. The finding is in line with the priori expectation of the study. Based on the hypothesis two,  $H_{02}$  is strongly rejected. This is in consonance with the study of Lawrence and Benard (2023), Obiora and Omaliko (2022), Ofurum and Iwunna (2022), who documented a positive significant effect of economic

responsibility on market value of listed firms. Hence, it is in line with the priori expectation of the study. Thus, for hypothesis two,  $H_{02}$  is rejected. The study disagrees with the study of Lawrence and Bernard (2023) who examined positive effect of environmental disclosure on financial performance of listed industrial goods companies in Nigeria.

### **Conclusion and Recommendations**

Based on the findings of the study, the following conclusions are made:

- (i) Environmental responsibility was found to have positive significant effect on market value of firms listed on the Nigerian Exchange Group. It is concluded that firm's ability to undertake environmental responsibility has a strong and favorable effect on the market value of the listed firms.
- (ii) Economic responsibility has positive and significant effect on market value of firms listed on the Nigerian Exchange Group. Therefore, it is concluded that the economic responsibility undertaken by the listed firms has a weak but favorable effect on the market value of firms listed on the Nigerian Exchange Group.

### **Recommendations**

Based on the conclusion drawn on the findings, the following recommendations are proffered:

- (i) The management of the listed firms should improve on their environmental responsibility as it is instrumental in promoting their market value. This can be achieved by constant waste management and control, as well as pollution control as they enhanced the market value of the listed firms;
- (ii) The management of the listed firms should also improve on their economic responsibilities as it has a direct bearing with the market value of the listed firms. For instance, continuous investment on product/service quality, recycling of waste products, among others. These activities could have the potential of boosting the revenue generation base of the listed firms and ultimately enhancing their market value.

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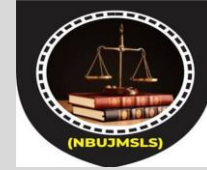
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## **POVERTY AS A TOOL FOR ELECTORAL VICTORY IN NIGERIA'S DEMOCRATIC EXPERIENCE**

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### **ABSTRACT**

Nigerian politicians have turned poverty into a tool for winning elections, trapping the country in a vicious cycle of dependence that hinders democratic progress. By exploiting the vulnerability of impoverished citizens, politicians establish a power imbalance that exacerbates inequality and stifles genuine democratic governance. This study explores the phenomenon of Nigerian politicians relying on the poor to win elections, examining the complex dynamics of this relationship through the lens of clientelism theory. A qualitative research approach was employed, synthesizing existing literature from academic databases, grey literature, and relevant journals. The findings reveal that politicians use various strategies to mobilize the poor, including cash handouts, food distribution, and emotive appeals. In response, the poor vote for politicians who promise to address their basic needs, perpetuating a cycle of dependency. This research argues that politicians exploit the poor using patronage and rhetoric, thereby perpetuating poverty and undermining democratic governance. Clientelism has far-reaching consequences, including the undermining of democratic governance, perpetuation of poverty, and reinforcement of inequality. To address these challenges, this research highlights the need for policies and programs that tackle poverty and inequality. It recommends strengthening Nigeria's democratic institutions to promote transparency, accountability, and good governance. This can be achieved through constitutional reforms, electoral reforms, and institutional capacity building.

**Keywords:** Clientelism, Poverty, Electoral politics, Electoral Victory, Democratic Experience, Political Dependency.

### **1 INTRODUCTION**

In Nigeria, electoral success often hinges on securing the support of impoverished citizens (Obi, 2014). This phenomenon is deeply intertwined with the nation's historical struggles with poverty, inequality, and a system of political patronage (Ake, 1996). A substantial portion of the electorate, the poor, is actively courted by politicians who offer promises of economic uplift and social welfare programmes (Bienen & Herbst, 1996).

However, this relationship frequently manifests as a cycle of exploitation and dependence. Politicians often provide superficial benefits in exchange for votes, a practice known as clientelism (Joseph, 1987). This system perpetuates poverty and hinders genuine democratic development (Osaghae, 1998).

Research has demonstrated that Nigerian politicians utilize various tactics to mobilize the poor, including direct cash payments, food distribution, and political rhetoric that resonate with their hardships (Adebanwi, 2004; Oyegoke, 2015). For instance, Oyegoke's (2015) study revealed that a significant 70% of voters in the 2015 general elections received some form of material or financial incentive from politicians.

Understanding the intricate relationship between politicians and impoverished citizens in Nigerian elections is paramount (Adebanwi, 2004). This understanding exposes how clientelism and patronage perpetuate cycles of poverty and inequality, with politicians exploiting the vulnerabilities of the poor to secure electoral advantage (Joseph, 1987). Instead of empty political rhetoric, there is a critical need for policies that directly address poverty and inequality (Ezemenaka, 2017). This knowledge can inform the development of effective strategies for poverty reduction and economic empowerment, ultimately breaking the cycle of dependence (Oyegoke, 2015).

Civil society organizations and the international community play a vital role in fostering democratic governance and poverty reduction (Bienen & Herbst, 1996). Alternative models of political participation can be explored, and social protection programmes can be designed with the specific needs of the poor in mind (Ake, 1996). The development and implementation of effective policies necessitate a deep understanding of the complex dynamics between politicians and impoverished citizens, rather than prioritizing short-term political gains (Federal Republic of Nigeria, 2017). In essence, this understanding is fundamental for achieving democratic governance, poverty reduction, and economic empowerment within Nigeria.

Since the return to democratic governance in 1999, Nigeria has experienced a complex trajectory marked by both successes and significant challenges. While the nation has made progress in strengthening its democratic institutions and processes (Diamond, 2010), it continues to grapple with persistent issues such as corruption, electoral fraud, and security threats (Ekiyor, 2018). A significant milestone was reached in 2015 with the peaceful transfer of power between two different political parties (Hassan, 2016).

However, the 2019 elections were marred by widespread controversy, violence, and allegations of electoral manipulation (Adejumobi, 2020). Nigeria's democratic journey is deeply influenced by its diverse and complex political landscape, characterized by ethnic and religious divisions (Kew, 2010).

To address these challenges, the Nigerian government has undertaken initiatives such as the National Conference (2014) and the Not-Too-Young-To-Run Act (2018) (Ojo, 2020). Despite these efforts, the future of democracy in Nigeria remains uncertain and faces significant obstacles (Campbell, 2020). To ensure continued democratic progress, Nigeria must proactively address its deep-rooted challenges and strengthen its democratic institutions (Oyovbaire, 2017).

## **2 STATEMENT OF THE PROBLEM**

Poverty has become a powerful tool for politicians to win elections in Nigeria, undermining the country's democratic progress and worsening economic inequality. Since Nigeria returned to democratic rule in 1999, it has struggled with persistent poverty, corruption, and electoral malpractices. Many citizens are

vulnerable to manipulation by politicians who use money and gifts to sway voters, earning Nigeria's electoral system the label of 'cash-and-carry democracy' or 'moneyocracy,' which threatens the nation's democratic stability (Ngara et al., 2014). The 2019 elections, marred by controversy, violence, and allegations of electoral manipulation, exemplify the recurring issues of electoral violence and malpractices (Esidene, 2022).

Using poverty as a tool for electoral victory undermines the legitimacy of elected officials, perpetuates corruption, and hinders effective policies to address poverty and inequality. The vast income inequality in Nigeria is stark, with the poorest segment of the population earning significantly less than the richest (Chujor & Dickson, 2017). This review aims to analyze how politicians exploit the poor for electoral gain and its implications for democratic governance, identifying patterns that can inform policy development.

### **3 THE OBJECTIVES OF THE STUDY**

The study is hinged on two objectives, which include to:

- i. Examine the relationship between politicians and the poor in Nigeria's democratic process.
- ii. Investigate how clientelism influences electoral outcomes and democratic governance in Nigeria.

### **4 THEORETICAL FRAMEWORK**

Clientelism is a political theory that explains the exchange of goods and services for political support (Hicken, 2011). In the context of Nigeria's democratic experience, clientelism manifests as politicians relying on the poor for electoral victory (Adebanwi, 2004). Politicians provide basic necessities like food, water, and cash to the poor in exchange for their votes. This happens mainly during electoral campaign period (Joseph, 1987). This creates a cycle of dependency, where the poor rely on politicians for survival, and politicians rely on the poor for political power (Ezemenaka, 2017). Clientelism undermines democratic governance by perpetuating poverty and inequality (Ake, 1996). It also reinforces patronage and corruption, as politicians use state resources to maintain their clientelist networks (Bienen & Herbst, 1996).

In Nigeria, clientelism has led to the emergence of a patronage-based political culture, where politicians prioritize short-term political gains over long-term development (Oyegoke, 2015). This study argues that clientelism is a significant obstacle to democratic consolidation in Nigeria. By examining the existing literature on clientelism in Nigeria's democratic experience, this review highlights the need for policies and programmes that address poverty and inequality, rather than perpetuating clientelist relationships.

The theory of clientelism, while insightful, has faced significant criticism. Critics contend that it overemphasizes individual relationships, neglecting broader structural factors such as poverty, inequality, and weak institutions that contribute to political exchange (Hicken, 2011). Furthermore, the concept of clientelism lacks clear and consistent definitions, leading to difficulties in its application and measurement across different contexts (Kitschelt & Wilkinson, 2007). Moreover, the theory has been

criticized for its inherent cultural bias, often associating clientelism with "backward" or "traditional" societies, perpetuating harmful stereotypes (Scott, 1977).

Furthermore, critics argue that clientelism overly focuses on material exchanges, neglecting the influence of ideology, identity, and other crucial political motivations (Stokes, 2007). The theory also tends to overlook the potential for collective action and social movements, instead emphasizing individual-level interactions (Tilly, 2006). Concerns have also been raised about clientelism's potential to foster patronage and corruption, creating unhealthy dependencies and undermining good governance (Huntington, 1968). Furthermore, the theory has been criticized for its ahistorical approach, neglecting the impact of colonialism, globalization, and other historical forces on political exchange (Cooper, 2002).

Critics point to the limitations of the clientelism concept itself. Some argue that it is either too broad or too narrow, making it difficult to apply empirically (Hopkin, 2006). Methodological challenges also plague clientelism research, with studies often relying on anecdotal evidence or small-scale investigations rather than systematic and comparative approaches (Mares & Young, 2018). Moreover, the theory often overlooks the crucial role of the state in shaping political and economic structures and influencing patterns of political exchange (Skocpol, 1985).

## **5 CONCEPTUAL REVIEW**

### **6.1 The Concept of Clientelism**

Clientelism, a political system where politicians exchange goods and services for political support, creates a power imbalance, leaving citizens dependent on politicians for basic needs (Hicken, 2018; Adeyemi, 2017). This system perpetuates poverty and inequality in Nigeria, as politicians prioritize short-term political gains over long-term development, hindering democratic consolidation (Diamond, 2019; Oyegoke, 2020).

Clientelism undermines democratic institutions by creating a patron-client relationship, where politicians maintain power and influence over citizens (Flinders, 2019). This erodes democratic norms and perpetuates inequality (Hochschild, 2016). Clientelism also undermines democratic accountability and perpetuates political corruption (Flinders, 2019). Furthermore, it hinders poverty reduction and economic development (Hicken, 2018; Oyegoke, 2020).

In Nigeria, clientelism is often referred to as 'stomach infrastructure,' where politicians prioritise providing basic necessities like food and water in exchange for political loyalty, instead of investing in long-term development projects (Adeyemi, 2017; Oyegoke, 2020). For example, during elections, politicians distribute food items to voters, neglecting the need for sustainable agricultural development. This "stomach infrastructure" approach hinders long-term economic growth and perpetuates a cycle of dependency.

### **6.2 The Concept of Poverty**

Poverty in the context of this paper signifies a state of economic deprivation where individuals or households lack access to essential resources such as food, clean water, adequate shelter, education, and

healthcare (Sen, 1999). This multifaceted issue extends beyond economic hardship, impacting social and political empowerment (Nussbaum, 2011). In Nigeria, poverty remains a significant challenge, with over 40% of the population living below the poverty line (World Bank, 2020). Poverty perpetuates a cycle of political dependence, as politicians often exploit the vulnerabilities of impoverished citizens for political gain (Adeyemi, 2017).

### **6.3 The Concept of Democracy**

Democracy, a system of governance where power resides with the people, either directly or through elected representatives, embodies values such as political equality, freedom, and accountability (Dahl, 1989; Sen, 1999). In Africa, while many countries have transitioned from authoritarian rule to democratic governance, challenges such as clientelism, corruption, and political instability persist (Achebe, 1983; Oyegoke, 2020). These challenges, often exacerbated by political elites prioritizing personal interests over public good (Achebe, 1983), hinder the full realization of democratic ideals.

In Nigeria, the democratic experience has been significantly impacted by clientelism, corruption, and poverty (Adeyemi, 2017). As noted by Dunn (2019), these factors have hindered the consolidation of democracy by fostering political dependency and undermining the principles of accountability and transparency.

### **6.4 The Concept of Electoral Politics**

Electoral politics encompasses the competitive process through which individuals and groups vie for political power within a democratic framework. This involves political parties, candidates, and voters actively participating in campaigns, debates, and the voting process to determine leadership and representation (Dalton, 2008). Key factors influencing electoral outcomes include voter turnout, campaign financing strategies, and the strength of party affiliations (Verba et al., 1995).

In the African context, electoral politics has been significantly shaped by the historical legacy of colonialism, the continent's diverse ethnic landscape, and varying levels of economic development. In Nigeria, for example, electoral politics has been characterized by challenges such as clientelism, vote-buying, and political violence (Adeyemi, 2017). Furthermore, within Nigeria's democratic experience, electoral politics has been marked by obstacles including electoral malpractices, significant political polarization, and voter apathy (Oyegoke, 2020).

### **6.5 The Concept of Political Dependency**

Political dependency describes a situation where individuals or groups become overly reliant on politicians or political parties for their well-being, access to resources, and livelihood (Hicken, 2018). This often results in a patron-client relationship where politicians provide goods and services in exchange for political loyalty and support (Adeyemi, 2017). In Africa, political dependency is a significant challenge, perpetuated by factors such as clientelism, corruption, and widespread poverty (Oyegoke, 2020).

In Nigeria, for example, clientelism has fueled political dependency, with politicians providing basic necessities like food and shelter in exchange for votes (Adeyemi, 2017). This creates a system where

citizens become reliant on politicians for survival, undermining democratic principles and hindering the development of a truly independent citizenry. Political dependency undermines democratic consolidation by creating a power imbalance between politicians and citizens (Dunn, 2019). It also perpetuates poverty and inequality, as politicians prioritize political loyalty over the provision of public goods and services that benefit the entire population (Hicken, 2018). Addressing political dependency requires strengthening democratic institutions, promoting economic development, and empowering citizens to participate meaningfully in the political process (Achebe, 1983).

### **6.6 The Concept of Electoral Victory**

Electoral victory refers to the success of a political candidate or party in securing the highest number of votes in an election, thereby gaining political power (Dalton, 2008). This fundamental aspect of democratic governance determines who will lead and represent the electorate (Verba et al., 1995). Various factors influence election outcomes, including voter turnout, party affiliations, campaign financing, and prevailing political ideologies (Verba et al., 1995).

In the African context, electoral victories are shaped by factors like ethnic diversity, clientelism, and economic development (Adeyemi, 2017). In Nigeria, electoral victories are often marred by controversy, including violence, electoral malpractices, and political polarization. The 2019 general elections exemplify these challenges (Oyegoke, 2020).

Interestingly, the concept of electoral victory can also be measured by the margin of victory in the Electoral College system. This system has been used in US presidential elections, where the winner is determined by securing at least 270 electoral votes. The margin of victory can be calculated by subtracting the number of electoral votes received by the runner-up from the number received by the winner, and then normalizing this value to account for changes in the number of electors over time.

## **6 METHODS**

By adopting a qualitative method of data analyses, which were gathered through secondary source, this research seeks to elucidate the mechanisms underlying clientelistic relationships and their impact on electoral outcomes in Nigeria.

A thorough examination of existing literature was conducted, incorporating insights from scholarly articles, book chapters, reports, and grey literature. Data sources included reputable academic databases such as Google Scholar, JSTOR, and Web of Science. Thematic analysis was employed to identify, categorize, and code patterns related to clientelism, poverty, and electoral politics in Nigeria.

## **7 EMPIRICAL REVIEW**

### **7.1 Relationship between Politicians and the Poor in Nigeria's Democratic Process**

Nigeria's democratic process is plagued by a complex web of relationships between politicians and the poor. Politicians frequently exploit the poor's desperation for survival, leveraging their votes in exchange for fleeting handouts (Ikelegbe, 2011). This transactional dynamic perpetuates a cycle of dependency, leaving the poor without tangible improvements in their living conditions.

Despite democracy's introduction in 1999, poverty remains endemic, with over 80 million Nigerians living on less than \$1.90 a day (World Bank, 2020). Politicians often employ patronage and clientelism to maintain power, trading short-term benefits for loyalty and votes (Kew, 2010). This not only undermines the development of a more equitable society but also reinforces the poor's exclusion from the political process.

The poor's lack of education, resources, and access to information renders them powerless, perpetuating the status quo (Ojo, 2012). Aptly the poor are not just victims of circumstance, but also of a system that perpetuates their exclusion. Furthermore, politicians' use of divisive rhetoric and ethnic manipulation exacerbates social tensions, undermining national unity and fostering a culture of fear and mistrust (Hassan, 2016).

To break this cycle, addressing systemic issues perpetuating poverty and exclusion is crucial. Investing in education, healthcare, and economic opportunities for the poor is essential (Oyovbaire, 2017). Additionally, reforming the political system to ensure greater accountability, transparency, and representation for all citizens, regardless of socioeconomic status, is vital (Diamond, 2010).

Nigeria's democratic process is marred by a profound disconnect between politicians and the impoverished population. This disconnect is characterized by a glaring absence of representation, accountability, and trust. The poor are frequently relegated to the periphery of decision-making processes, their interests relegated to an afterthought by politicians who prioritize their own agendas (Agbaje, 2015). This is starkly evident in the paltry investments in social welfare programmes and infrastructure that could potentially uplift the poor (Adebanwi, 2017).

Politicians often exploit the poor, leveraging them as pawns in their political machinations without providing any tangible benefits (Obi, 2011). This exploitative dynamic perpetuates a vicious cycle of poverty and dependency, as noted by Olukoshi (2013), who astutely observes that the poor are not just victims of poverty, but also of a political system that perpetuates their marginalization.

The poor are also frequently disfranchised, excluded from the electoral process due to voter suppression, intimidation, and manipulation (Ibrahim, 2017). This undermines the legitimacy of democratic elections and perpetuates the status quo. To break this cycle, it is essential to empower the poor, ensuring their representation in the political process through investments in education, civic engagement, and community organizing (Akinduro, 2019).

Moreover, politicians must be held accountable for their actions and inactions, and the political system must be reformed to prioritize the interests of the poor. The lack of trust and credibility in the relationship between politicians and the poor is a significant hurdle to overcome (Oyewole, 2018). The poor are excluded from the benefits of democracy, as noted by Okpanachi (2019), and are instead used as tools for political mobilization without receiving any tangible benefits (Omotola, 2018; Ezeonu, 2018).

Breaking the cycle of poverty and dependency in Nigeria requires a complex approach. Empowering the Poor is key, and this can be achieved by investing in education, civic engagement, and community

organizing (Nwankwor, 2019). Holding politicians accountable for their actions and inactions is also crucial, as is reforming the political system to prioritize the interests of the poor.

The lack of trust and credibility between politicians and the poor is a significant hurdle to overcome (Oyewole, 2018). Empty promises made during election campaigns, which are rarely fulfilled, have led to widespread disillusionment and apathy among the poor (Ojo, 2019; Adeoye, 2020).

To address these issues, it's essential to increase the poor's participation in the policy-making process and ensure their interests are prioritized by politicians (Akinyele, 2017). This can be achieved by investing in social welfare programmes and infrastructure that benefits the poor (Ogunde, 2019). As Okpanachi (2019) notes, the poor are excluded not only from the political process but also from the benefits of democracy.

## **7.2 Clientelism and Electoral Outcomes in Nigeria's Democratic Governance**

Nigeria's democratic governance is heavily influenced by clientelism, a system where political actors exchange resources and services for voter support (Ibrahim, 2017). This creates a web of dependencies that undermines democratic institutions, perpetuating poverty and inequality (Adebanwi, 2017). Only those with access to patronage networks benefit from government resources, while others are left behind (Oyewole, 2018).

Clientelism also distorts electoral outcomes, as voters prioritize short-term gains over policy considerations (Obi, 2011). This leads to the election of leaders who prioritize personal gain over public interest, perpetuating corruption and poor governance (Ezeonu, 2018). Furthermore, clientelism erodes democratic accountability, as leaders respond more to patronage networks than the broader electorate (Agbaje, 2015).

To address these challenges, Nigeria must strengthen its democratic institutions and promote inclusive governance. This requires reforms to the electoral system, political parties, and government institutions to reduce clientelism's influence and promote accountability (Akinduro, 2019). Effective reforms can help break the cycle of corruption and poor governance, ensuring that democratic institutions serve the broader public interest.

Clientelism has significantly influenced electoral outcomes and democratic governance in Nigeria during the Fourth Republic (1999-2019). Here are some examples:

**7.2.1 Manipulation of Voters:** Politicians in Nigeria often engage in voter manipulation by distributing resources and services in exchange for political support. This was evident during the 2011 general elections, where the ruling People's Democratic Party (PDP) distributed food items and gifts to secure votes (Ibrahim, 2017).

**7.2.2 Restricting Voter Participation:** Clientelism also leads to voter suppression, as politicians use their influence to prevent opposition supporters from voting. Reports of voter suppression emerged

during the 2015 general elections, where opposition party supporters were prevented from voting by security agents and political thugs (Umezurike, 2020).

**7.2.3 Electoral Malpractices:** Clientelism perpetuates electoral fraud, as politicians use their resources to rig elections. Widespread reports of electoral fraud, including ballot stuffing and voter registration fraud emerged during the 2007 general elections (Eze, 2019).

**7.2.4 Violence and Intimidation:** Clientelism leads to political violence, as politicians use their resources to intimidate and attack opposition supporters. Reports of political violence emerged during the 2019 general elections, where opposition party supporters were attacked by security agents and political thugs (Okoye, 2018).

**7.2.5 Prioritizing Personal Interests:** Clientelism perpetuates poor governance, as politicians prioritize their personal interests over the public interest. Several cases of corruption and embezzlement by politicians, including the \$2.1 billion arms deal scandal, have been reported during the Fourth Republic (Ogundiya, 2019).

## **8 CONCLUSION**

Nigeria's democratic journey faces significant hurdles, with the relationship between politicians and the poor posing a major challenge. The pervasive influence of clientelism has created a system where the poor are dependent on politicians for basic needs, undermining democratic institutions and perpetuating poverty and inequality. This cycle of dependency is further exacerbated by the lack of education, resources, and access to information among the poor, leaving them vulnerable to exploitation.

Politicians often exploit this vulnerability, leveraging the desperation of the poor to secure votes and maintain power. The lack of trust between politicians and the poor is a major obstacle, as unfulfilled promises during election campaigns have led to widespread disillusionment and apathy among the poor. Breaking this cycle requires a multifaceted approach. Investing in education, healthcare, and economic opportunities for the poor is crucial. Reforming the political system to ensure greater accountability, transparency, and inclusivity is equally important. By empowering the poor and addressing the systemic issues that perpetuate poverty and exclusion, Nigeria can build a more equitable and just society where all citizens have a voice and a stake in the democratic process.

## **10 RECOMMENDATIONS**

Based on the findings of the study, the following recommendations are presented, which include, but are not limited to:

- i. Politicians should focus on implementing policies that promote economic growth, social justice, and poverty reduction. This can be achieved through investments in education, healthcare, and infrastructure.
- ii. Nigeria's democratic institutions should be strengthened to promote transparency, accountability, and good governance. This can be achieved through constitutional reforms, electoral reforms, and institutional capacity building.

- iii. Economic growth should be inclusive and benefit all Nigerians, not just a few elites. This can be achieved through policies that promote entrepreneurship, innovation, and job creation.

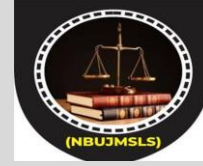
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## **PSYCHOLOGICAL SAFETY AND EMPLOYEE INNOVATION IN PRIVATE UNIVERSITIES IN SOUTH- SOUTH, NIGERIA**

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### **ABSTRACT**

This study explores the influence of psychological safety on employee innovation in private universities, focusing on the relationships between interpersonal trust, support for risk-taking, idea generation, and collaborative innovation. The survey targeted 4,328 employees from private universities in South-South Nigeria, with a sample size of 354 determined using Krejcie and Morgan's (1970) table. Data was obtained through a structured questionnaire, and hypotheses were tested using Partial Least Squares-Structural Equation Modelling (PLS-SEM) via Smart PLS 4.0 to look at the link between psychological safety dimensions and employee innovation measures. The findings highlight that interpersonal trust fosters idea generation and collaborative innovation by reducing fear of judgement and enhancing team synergy, while support for risk-taking encourages creativity and teamwork by promoting experimentation and mitigating the fear of failure. The study concludes that psychological safety relates to employee innovation in private universities in South-South, River State. To enhance employee innovation, the study recommends building trust through team-building activities, transparent communication, and fair management practices, alongside fostering a risk-tolerant culture by recognising innovative efforts, providing resources for experimentation, and encouraging collaborative teamwork.

**Key words:** Psychological safety, Interpersonal trust, Support for risk-taking, Idea generation, Employee innovation.

### **INTRODUCTION**

In today's highly competitive educational landscape, private universities face increasing pressure to differentiate themselves and meet the evolving demands of students and stakeholders. Central to achieving this is the role of employee innovation. The ability of faculty and administrative staff to

generate and implement creative solutions not only enhances institutional effectiveness but also positions the school as a hub of progressive thought and academic excellence. Without innovation at the employee level, they risk stagnation in a dynamic sector that rewards adaptability and forward-thinking approaches (Hughes et al., 2018).

Employee innovation's fosters a culture of continuous improvement and academic excellence. This can manifest through innovative teaching methods, curriculum design, and the integration of technology to enhance learning outcomes (Chimakati & Macharia, 2024). Faculty who are empowered to experiment with new approaches inspire students and set the institution apart from competitors. Furthermore, administrative staff who innovate in operational processes contribute to a smoother and more efficient university experience by ensuring that resources are optimised to serve students and staff alike.

The impact of employee innovation on institutional growth and reputation has been extensively studied (Baroudi & Elsayary, 2024). Private universities often rely on their ability to attract talented students and faculty. When employees are encouraged to think creatively and solve problems effectively, the institution gains a competitive edge. Innovative research initiatives, community engagement programs, or unique academic offerings can elevate the university's standing and appeal. This reputation for excellence not only attracts funding and partnerships but also instills pride in current students and alumni.

Fostering innovation among employees contributes to job satisfaction and retention and supportive creative thinking provide staff with a sense of ownership and purpose (Alessa & Durugbo, 2024). When employees see their ideas being implemented and making a tangible difference, they are more likely to remain committed to the institution. This positive feedback loop of innovation and motivation ensures that the university remains a dynamic and desirable place to work, study, and collaborate, driving sustained success in an increasingly complex educational environment.

Psychological safety refers to an environment where employees feel secure to express their ideas, take risks, and share constructive feedback without fear of humiliation or reprisal (Jones et al., 2024). This sense of safety is essential for both faculty and administrative staff to experiment with new teaching methodologies, propose groundbreaking research ideas, or develop innovative solutions to operational challenges. When employees trust that their contributions will be valued and not criticized prematurely, they are more inclined to think creatively and push boundaries. Psychological safety plays an essential role in fostering employee innovation within private universities.

Creating a psychologically safe workplace encourages collaboration and idea exchange, which are critical to innovation (Kyambade et al., 2024). Cultivating open communication channels allows employees from diverse backgrounds to contribute their unique perspectives. This diversity of thought often leads to the development of innovative academic programs, research projects, and student engagement strategies. Moreover, when faculty and staff work in a supportive environment, they are more willing to challenge the status quo and explore unconventional approaches, driving institutional growth and adaptability in an ever-changing educational sector.

Psychological safety also reinforces a culture of learning from failure, a key component of innovation (Mészáros & Csiszárík-Kocsir, 2024). In private universities, the pressure to maintain high standards can sometimes discourage risk-taking, but an environment that frames mistakes as opportunities for growth empowers employees to explore bold ideas. A faculty member attempting a novel teaching method or an administrator testing a new technology system will be more committed to refining their approach if they know setbacks will be met with support and constructive feedback. This resilience and openness to experimentation enable private universities to remain at the forefront of educational excellence and innovation.

Numerous studies have focused on psychological safety (Baeva, 2024; Ivanova & Stepanova, 2024; Gunawan et al., 2024) and employee innovation (Chimakati & Macharia, 2024; Hughes et al., 2018; Baroudi & Elsayary, 2024), respectively. A dearth of empirical literature on the influence of psychological safety on the innovation of private universities motivates this study. The study will bridge the observed gap in knowledge and provide actionable insights. Focusing on interpersonal trust and support for risk-taking, the study aims to identify key factors that foster a culture of innovation, offering private universities practical strategies to enhance creativity and competitiveness. This research will contribute to academic discourse and serve as a foundation for future studies on innovation in higher education.

## **STATEMENT OF THE PROBLEM**

Despite the critical role of employee innovation in driving competitiveness and excellence, private universities often face significant challenges in fostering a culture that supports creativity and innovation. One major issue is the lack of adequate support structures. Employees, particularly faculty and administrative staff, may struggle to access the resources, training, or tools needed to develop and

implement innovative ideas (Modranský et al., 2020). Budget constraints limited technological infrastructure, or insufficient professional development opportunities can stifle creativity and discourage employees from pursuing innovative initiatives.

Another problem is resistance to change, which is common in many academic institutions. Universities often operate within established traditions and hierarchies that can hinder the acceptance of new ideas. Employees may fear backlash or rejection from their superiors or colleagues, leading to a reluctance to propose innovative solutions (Serdyukov, 2017). This resistance is further compounded by a lack of psychological safety, where individuals feel discouraged from taking risks or sharing unconventional ideas due to concerns about criticism or failure.

Additionally, inadequate recognition and reward systems pose a significant barrier to employee innovation (Figueiredo et al., 2025). In many private universities, the focus on meeting immediate operational goals or maintaining existing practices often overshadows efforts to reward creativity and forward-thinking initiatives. When employees feel that their contributions to innovation go unnoticed or unrewarded, they may lose motivation to invest time and effort into developing new approaches, ultimately stalling the institution's growth.

Poor communication and collaboration can impede innovation (Khan, 2023). Siloed departments and hierarchical structures often limit the cross-pollination of ideas among faculty and administrative teams. This lack of interaction prevents the diverse perspectives and expertise needed for innovative problem-solving. Without platforms for open dialogue and interdisciplinary collaboration, universities miss opportunities to leverage their employees' full creative potential, undermining their ability to adapt to the rapidly changing demands of the educational landscape. Addressing these challenges is crucial for private universities to unlock their employees' full creative potential, cultivate a supportive environment, and drive sustainable innovation that meets the dynamic needs of the academic landscape.

## **AIM AND OBJECTIVES OF THE STUDY**

The study examines the influence of psychological safety on employee innovation. The specific objectives are to determine the association between:

1. Interpersonal trust and idea generation.
2. Interpersonal trust and collaborative innovation.
3. Support for risk-taking and idea generation.

4. Support for risk-taking and collaborative innovation.

## **RESEARCH QUESTIONS**

1. What is the relationship between interpersonal trust and idea generation?
2. How does interpersonal trust relate to collaborative innovation?
3. What is the relationship between support for risk-taking and idea generation?
4. How does support for risk-taking relate to collaborative innovation?

## **RESEARCH HYPOTHESES**

Ho<sub>1</sub>: There is no significant relationship between interpersonal trust and idea generation.

Ho<sub>2</sub>: There is no significant relationship between interpersonal trust and collaborative innovation.

Ho<sub>3</sub>: There is no significant relationship between support for risk-taking and idea generation.

Ho<sub>4</sub>: There is no significant relationship between support for risk-taking and collaborative innovation.

## **PSYCHOLOGICAL SAFETY**

Psychological safety, a strategy for fostering supportive workplace culture, refers to an organisational environment where individuals feel confident expressing themselves, sharing ideas, and taking risks without fear of negative consequences, such as ridicule or punishment (Kyambade et al., 2024). This concept of Edmondson is a cornerstone for fostering creativity and engagement in workplaces. When employees perceive psychological safety, they are more likely to communicate openly, seek feedback, and experiment with new approaches, all of which contribute to innovation and problem-solving (Dong & Li, 2024).

A psychologically safe environment supports diversity of thought (Singh, 2024), as team members feel empowered to share perspectives without fear of criticism. Psychological safety is critical as academic and non-academic staff need freedom to propose new teaching methods, research directions, or administrative solutions. It enables employees to navigate the complexities of education management and innovation confidently (Ivanova & Stepanova, 2024). Institutions with high psychological safety are more adaptive and responsive, as staff feel valued and supported, enhancing both individual performance and the university's overall growth.

### **Interpersonal Trust**

Interpersonal trust involves the belief that colleagues, and leaders will act in a fair, supportive, and reliable manner (Tianqi & Jinhao, 2024). Trust is essential for fostering collaboration and reducing conflicts in team environments, as employees are more likely to cooperate when they believe others have good intentions. High levels of interpersonal trust contribute to transparent communication, accountability, and shared responsibility, creating a foundation for innovation and collective success. Interpersonal trust encourages collaboration among faculty, administrators, and students, fostering a culture where ideas are freely exchanged. Trust facilitates teamwork in academic research, interdisciplinary projects, and curriculum development. When employees trust their leaders and peers, they are more inclined to share bold ideas, work cohesively, and contribute to long-term institutional goals, making trust a critical driver of innovation (Chen et al., 2022; Tran et al., 2023).

### **Support for Risk-Taking**

Support for risk-taking reflects an organization's encouragement of experimentation and acceptance of failure as part of the learning process (Hübner & Pfof, 2024). Institutions that embrace calculated risks create an atmosphere where employees feel comfortable trying unconventional approaches to solve problems or improve processes. Such support is essential for fostering a culture of creativity and resilience. Support for risk-taking allows staff to explore innovative teaching methods, adopt new technologies, and implement novel research ideas. Leaders who value risk-taking create opportunities for growth and drive institutional advancement. This culture not only enhances individual confidence but also promotes a cycle of continuous improvement and innovation within the university (Lee & Kim, 2022; Zhang et al., 2023).

### **EMPLOYEE INNOVATION**

Employee innovation refers to the ability of staff to generate, implement, and sustain new ideas that enhance organisational performance (Almazrouei & Hilmi, 2024). It encompasses creative thinking, proactive problem-solving, and adaptability in changing environments. Organisations that foster employee innovation often enjoy competitive advantages due to their ability to improve processes, services, and products. Employee innovation is pivotal to maintaining academic excellence and operational efficiency. Innovative employees contribute to curriculum design, research breakthroughs, and streamlined administrative processes. By fostering a culture that rewards and recognises innovation,

universities can enhance their reputation and attract talented staff and students (Garg & Rastogi, 2022; Lin et al., 2023).

### **Idea Generation**

Idea generation is the process of creating new and valuable concepts, solutions, or products (Ibrahimi & Benchekroun, 2024). It forms the foundation of innovation and is driven by creativity, critical thinking, and brainstorming. Organisations that prioritise idea generation often leverage diversity and inclusion to harness a wide range of perspectives, which can lead to groundbreaking solutions. Idea generation plays a key role in developing cutting-edge academic programs, enhancing student experiences, and improving institutional processes. Faculty and staff can engage in collaborative discussions to address challenges, maximise resource utilisation, and drive educational innovation. By creating platforms for open dialogue and creativity, universities can sustain a flow of innovative ideas that align with their strategic goals (Nguyen et al., 2023; Singh et al., 2022).

### **Collaborative Innovation**

Collaborative innovation occurs when individuals or teams work together to develop and implement new ideas (Shashyn et al. 2024). It combines diverse skills, perspectives, and expertise to tackle complex challenges, fostering a culture of teamwork and shared success. Effective collaboration requires open communication, trust, and alignment of goals among stakeholders. Collaborative innovation is essential for interdisciplinary research, joint program development, and institutional growth. For example, faculty from different departments can collaborate on research projects addressing global challenges, while administrators work together to enhance operational processes. By promoting collaboration, universities can achieve synergistic outcomes that benefit students, staff, and the broader academic community (Hansen et al., 2023; Zhou et al., 2022).

### **PSYCHOLOGICAL SAFETY THEORY**

Psychological Safety Theory highlights the importance of fostering an environment where individuals feel secure to express ideas, ask questions, and admit mistakes without fear of negative consequences, as introduced by Amy Edmondson (1999). It encourages open communication, collaboration, and innovation by enabling individuals to take interpersonal risks in a supportive setting. In private universities, psychological safety empowers employees to share creative solutions, experiment with new

methods, and collaborate on innovative projects without fear of criticism or failure. This culture enhances operational efficiency, supports institutional goals, and attracts top talent, making psychological safety a key driver of employee innovation and organisational success.

## **EMPIRICAL REVIEW**

Mahdia (2024) examines the relationship between psychological safety in the workplace and organisational innovation, along with its managerial implications. The research adopts the PRISMA method to systematically collect and analyse articles from reputable international databases, such as Scopus and Web of Science. The selected articles are empirical studies investigating the link between psychological safety and organisational innovation. The findings reveal that psychological safety is pivotal in fostering an environment where employees feel secure to collaborate, take risks, and propose new ideas without fear of negative judgement.

Elsayed et al. (2023) explore the relationship between perceived psychological safety and innovative work behaviour (IWB), focussing on error risk-taking and perceived organisational innovation climate. The study suggests a moderated mediation model in which (a) error risk-taking is a mediator between perceived psychological safety and IWB, (b) perceived organisational innovation climate strengthens both the positive relationship between error risk-taking and IWB and the mediated relationship between perceived psychological safety and IWB through error risk-taking. The model was tested using data from 315 full-time employees in six information and communication technology companies located in a high-technology business district in Egypt. The results largely support the idea that perceived psychological safety relates to innovative work behaviour (IWB).

Liu et al. (2023) examined how ethical leadership fosters innovative work behaviour (IWB) using a moderated mediation model based on social exchange and social learning theories. Data from 397 service industry employees in China was analysed using SPSS and AMOS. Results showed that ethical leadership positively impacts IWB, mediated by psychological safety and work engagement. The link between work engagement and IWB is moderated by openness to experience. Ethical leadership also has an indirect effect on IWB, which is heightened for employees who are highly open.

Kyambade et al. (2024) examine the relationship between innovative work behaviour (IWB) and socially responsible leadership (SRL) with a focus on the mediating role of psychological safety. The aim is to explore how SRL influences employees' engagement in innovative activities and the extent to which

psychological safety facilitates this connection. Data for the research were collected from Ugandan public universities, with a total of 214 employees participating in the study. To test the research hypotheses, the Processes Macro and AMOS software were employed, providing a robust analytical framework for evaluating the proposed relationships. The findings reveal that socially responsible leadership significantly enhances followers' innovative work behaviour in the context of Ugandan's public universities. It was also found that psychological safety played a big role in this relationship. This shows that SRL has a positive effect on employees' IWB by creating an atmosphere of trust and safety.

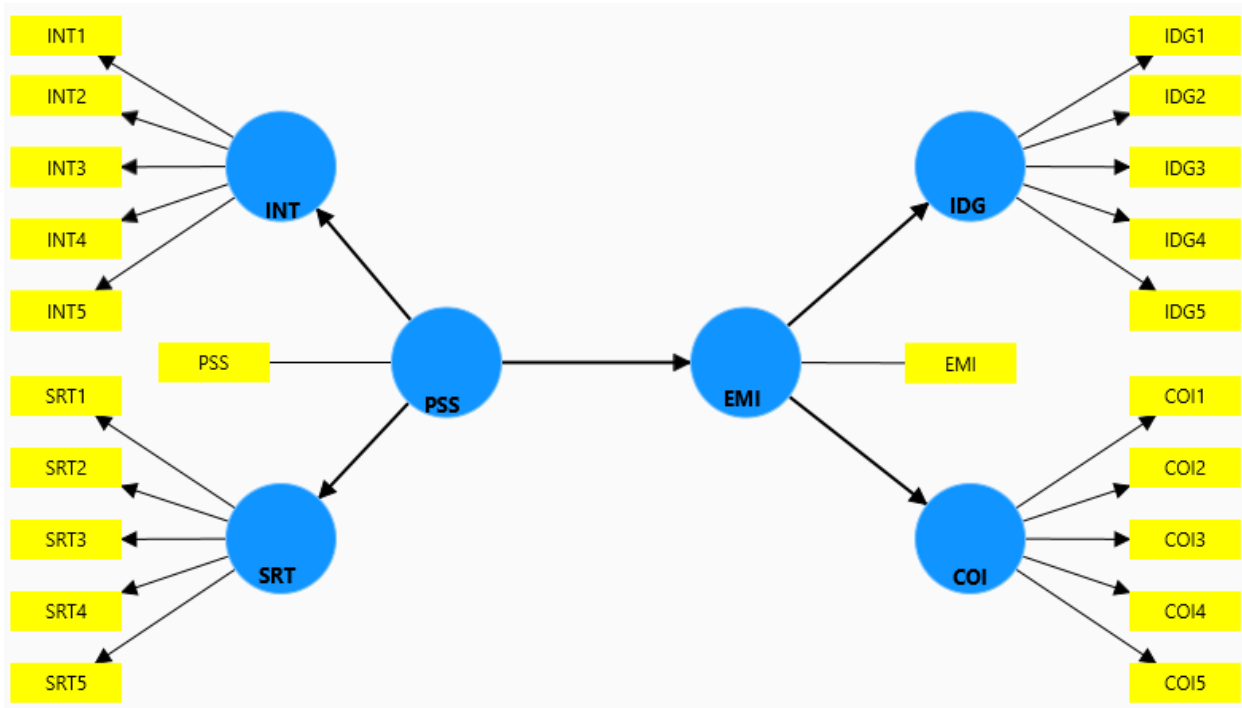
## **METHODOLOGY**

The accessible population for this survey comprises 4328 employees of private universities in South-South, Nigeria. A sample size of 354 was determined using the Krejcie and Morgan (1970) table. Data was gathered using a structured questionnaire. Responses were rated on a 4-point Likert scale. The instrument's validity was established through face and content validation, while reliability was confirmed using Cronbach's Alpha, with a threshold of 0.7. The predictor variable (psychological safety) was measured with interpersonal trust and support for risk-taking. 5 items were used to measure interpersonal trust (e.g. "I trust my colleagues to act in my best interest"), and support for risk-taking was measured with 5 items, (e.g. "In this organization, trying new approaches is encouraged, even if they fail"). The criterion variable (employee innovation) was measured with idea generation and collaborative innovation. 5 items were used in measuring idea generation (e.g. "I frequently come up with new and practical ideas to improve our work processes"), and 5 items were used in measuring collaborative innovation (e.g. "I actively collaborate with colleagues to develop and implement innovative solutions). Partial Least Squares–Structural Equation Modelling (PLS-SEM) with the aid of Smart PLS 4.0 was utilised in testing the hypotheses to examine the relationship between the dimensions of psychological safety and the measures of employee innovation.

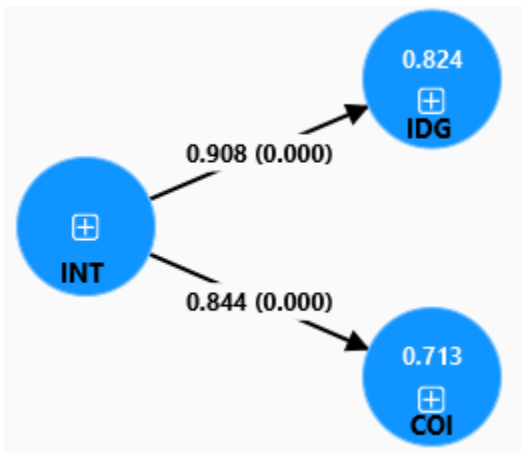
## **ANALYSES AND DISCUSSION**

289 copies of the 354 questionnaires issued were returned and used in the study. PLS-SEM was used to test hypotheses on the relationship between psychological safety and employee innovation. Each of the 20 observable parameters has its own item. Each of the 20 observable characteristics is conceptually linked to one of four latent variables (interpersonal trust, support for risk-taking, idea generation, and

collaborative innovation). The variable link is depicted diagrammatically in the Path Diagram in Figure 2.



**Figure 1:** Research Model



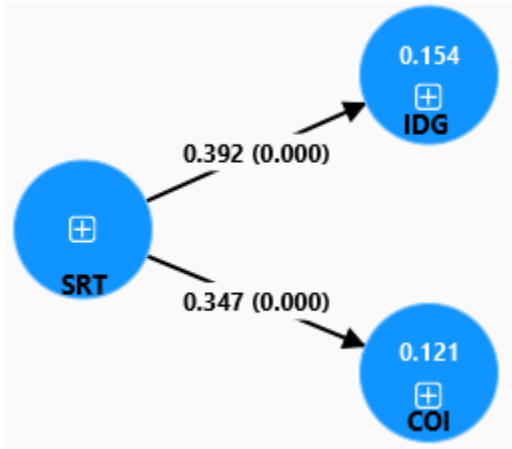
**Figure 2:** Hypotheses 1 and 2

The path relationship analysis presented in Figure 2 indicate that there are positive and significant paths between Interpersonal trust and Idea generation (where,  $\beta = 0.908$ ;  $p = 0.000$ ; and  $R^2 = 0.824$ ), and

Interpersonal trust and Collaborative innovation (where,  $\beta = 0.844$ ;  $p = 0.000$ ; and  $R^2 = 0.713$ ). Therefore, the null hypotheses 1 and 2 were rejected and the alternate hypotheses were accepted. Hence,

*There is a significant relationship between interpersonal trust and idea generation.*

*There is a significant relationship between interpersonal trust and collaborative innovation.*



**Figure 3:** Hypotheses 3 and 4

The path relationship analysis presented in Figure 3 indicate that there are positive and significant paths between Support for risk-taking and Idea generation (where,  $\beta = 0.392$ ;  $p = 0.000$ ; and  $R^2 = 0.154$ ), and Support for risk-taking and Collaborative innovation (where,  $\beta = 0.347$ ;  $p = 0.000$ ; and  $R^2 = 0.121$ ).

Therefore, the null hypotheses 3 and 4 were rejected and the alternate hypotheses were accepted. Hence, *There is a significant relationship between support for risk-taking and idea generation.*

*There is a significant relationship between support for risk-taking and collaborative innovation.*

**Table 1:** Hypotheses Testing Result

| Hypotheses            | Path Relationship                                | Path Coefficient ( $\beta$ ) | P Values ( $p$ )       | Predictive Accuracy ( $R^2$ ) | Decision                      |
|-----------------------|--------------------------------------------------|------------------------------|------------------------|-------------------------------|-------------------------------|
| <b>Ho<sub>1</sub></b> | Interpersonal trust and idea generation          | 0.928<br>(Strong)            | 0.000<br>(Significant) | 0.824<br>(Substantial)        | <b>Reject null hypothesis</b> |
| <b>Ho<sub>2</sub></b> | Interpersonal trust and collaborative innovation | 0.844<br>(Strong)            | 0.000<br>(Significant) | 0.713<br>(Substantial)        | <b>Reject null hypothesis</b> |

|                       |                                                      |                     |                        |                 |                               |
|-----------------------|------------------------------------------------------|---------------------|------------------------|-----------------|-------------------------------|
| <b>H<sub>03</sub></b> | Support for risk-taking and idea generation          | 0.392<br>(Moderate) | 0.000<br>(Significant) | 0.154<br>(Weak) | <b>Reject null hypothesis</b> |
| <b>H<sub>04</sub></b> | Support for risk-taking and collaborative innovation | 0.347<br>(Moderate) | 0.000<br>(Significant) | 0.121<br>(Weak) | <b>Reject null hypothesis</b> |

### Discussion of Findings

The hypothesis testing results indicate that both interpersonal trust and support for risk-taking have a positive impact on employee innovation. Higher levels of interpersonal trust among team members can foster greater idea generation. This might be because trust reduces fear of judgement and encourages open sharing of ideas. Research has shown that trust is a critical factor in team dynamics and creativity. Organisations can enhance idea generation by building trust among their teams. Team-building activities, transparent communication, and the creation of a safe environment for idea sharing can achieve this. For instance, Elsayed et al. (2023) noted that perceived psychological safety relates to innovative work behaviour. et al. (2023) noted that perceived psychological safety relates to innovative work behaviours.

A positive relationship between interpersonal trust and collaborative innovation indicates that trust among team members not only boosts individual creativity but also enhances collaborative efforts to innovate. Trust may lead to better cooperation, resource sharing, and synergy among team members. Kyambade et al. (2024) suggest that trust facilitates cooperative behaviour and collaborative innovation. Trust reduces the need for extensive monitoring and allows teams to focus on creative problem-solving. To foster collaborative innovation, organisations should focus on trust-building measures, such as conflict resolution training, regular feedback sessions, and ensuring a consistent and fair management approach. Kyambade et al. (2024) assert that socially responsible leadership significantly enhances followers' innovative work behaviours.

The results reveal that support for risk-taking significantly enhances employee innovation. A positive link between support for risk-taking and idea generation implies that organisational support for risk-taking encourages employees to come up with new and innovative ideas. Support for risk-taking may alleviate the fear of failure and encourage a culture of experimentation. Organisations should actively support risk-taking by recognising and rewarding innovative efforts, providing resources for

experimentation, and framing failures as learning opportunities. Similarly, a positive relationship between support for risk-taking and collaborative innovation suggests that support for risk-taking not only aids individual idea generation but also enhances collaborative innovation. This might be because a risk-tolerant environment encourages joint ventures and collective brainstorming. To encourage collaborative innovation, organisations should foster a culture that values risk-taking and teamwork. This can be done by creating cross-functional teams, providing collaborative tools and resources, and celebrating collective successes. This finding aligns with Mahdia (2024), who revealed that psychological safety is pivotal in fostering an environment where employees feel secure to collaborate, take risks, and propose new ideas without fear of negative judgement.

## **CONCLUSION**

The study examined the influence of psychological safety on employee innovation, focusing on the relationships between interpersonal trust, support for risk-taking, idea generation, and collaborative innovation. The findings provide valuable insights into how psychological safety, facilitated by trust and a risk-tolerant environment, drives employee innovation within organisations. Interpersonal trust was found to positively impact both idea generation and collaborative innovation. This suggests that a high level of trust among team members fosters openness, reduces fear of judgement, and enhances both individual creativity and teamwork. Trust creates an environment where employees feel confident in sharing ideas and cooperating, ultimately improving team synergy and innovation outcomes. Organisations aiming to build trust should implement teambuilding activities, transparent communication, and fair management practices to create a foundation for innovation.

Similarly, the study revealed that support for risk-taking is a significant enabler of employee innovation. Encouraging risk-taking not only promotes the generation of novel ideas but also facilitates collaborative innovation by fostering a culture of experimentation and teamwork. When employees feel encouraged to take risks without fear of failure, they are more likely to engage in creative problem-solving and collaborate effectively. Organisations should nurture this culture by providing resources, recognising innovative efforts, and viewing failures as opportunities for learning and growth. By creating an environment characterised by trust and support for risk-taking, organisations can unlock the full innovative potential of their employees, leading to enhanced creativity, collaboration, and overall organisational performance.

## RECOMMENDATIONS

1. Private universities should build and maintain interpersonal trust through team-building activities, transparent communication, and a non-judgemental environment, complemented by regular feedback and fair management practices to enhance idea generation.
2. Trust-building measures like conflict resolution training, open dialogue, and fair resource allocation should be implemented, alongside opportunities for collaborative projects and cross-functional teamwork to foster cooperation.
3. Universities should promote a culture of risk-taking by rewarding innovation, providing resources for experimentation, and reframing failures as learning opportunities, with leaders modelling risk-tolerant behaviour to inspire creativity.
4. Universities should create environments that prioritise both risk-taking and teamwork by forming cross-functional teams, offering collaborative tools, celebrating collective successes, and encouraging diverse perspectives through joint brainstorming sessions.

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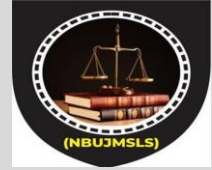
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## **ECONOMIC POLICIES AND THE PERFORMANCE OF THE STOCK EXCHANGE MARKET IN NIGERIA**

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### **Abstract**

The stock exchange market is one of the major determinants of the economy. This is important for investors in informing their investment decisions. The study on the impact of economic policies on the performance of the Stock Exchange in Nigeria aims to empirically understand how spendings by the government, value-added tax, and government debt profile have impacted on the stock exchange market over a period of 33years. Using time series data from the CBN and ARDL regression analysis, the study found that there is a positive and significant relationship between spendings by the government, government debt profile and the all-share index of the Nigerian stock exchange at 5% level of significance. However, VAT is shown to be negatively related to ASI. The study concludes and recommends that ASI can be improved with the reduction in VAT while increasing the spendings by the government. However, a great care must be taken when adjusting the government debt profile as this may encourage corrupt practices.

*Keywords: value-added tax, all-share index, spending's by the government, government debt profile*

### **Introduction**

Fiscal policy plays a critical role in shaping the economic landscape of any nation. In Nigeria, reflects the impact of government taxation, public spending, and debt management policies according to Adegboyoye et al. (2021).

The market is important in the mobilization and allocation of capital to drive economic growth, earning it the reputation of being the engine of economic progress (Adegboyoye et al., 2021). As a key financial institution, the equity market enhances capital allocation and formation efficiency, enabling businesses and the government to secure long-term funds for new projects, operational activities, and expansion. Functioning as a distribution channel, the equity market connects savers and investors. Its proper and efficient operation is vital for capital investment in the economy, as any inefficiencies could disrupt economic activities and lead to a downturn (Raifu et al., 2021).

Moreover, equity market growth is considered essential for the government to finance significant fiscal deficits without resorting to external borrowing, which carries exchange rate risks. A well-developed equity market also facilitates the sterilization of large capital inflows (Olawale & Obinna, 2023).

Ehiedu & Obi, (2022) noted that the primary goals of fiscal policy include economic stabilization and regulation. According to Omodero (2023), the supervisory function of fiscal policy encompasses the equitable distribution and allocation of resources, as well as maintaining stable income levels, which in turn stimulates cumulative demand and fosters growth-oriented activities.

Depending on the government's policy direction, fiscal strategy can be either expansionary or contractionary. An expansionary fiscal policy boosts aggregate demand by increasing government spending or reducing taxes, thereby increasing the overall money supply. Conversely, a contractionary fiscal policy involves reducing government spending or raising taxes to regulate economic activity (Osuagwu, 2022).

However, monetary policy also plays a significant role in shaping the economy by influencing lending rates, which affect both the equity market and public banking, differentiating it from the economic policies (Ehiedu & Priscilla, 2022). Loan and deposit lending rates, in particular, impact the cost of capital. It is important to recognize that fiscal policy decisions influence the equity market through variables such as government spending and taxation. A healthy combination of both fiscal and monetary policies is often necessary to establish a stable macroeconomic environment (Chucks et al., 2021).

Babatunde (2020) argues that when capital is efficiently allocated to productive sectors, economic performance in less developed countries improves. Furthermore, as economies expand, greater financial resources are required to sustain rapid growth. In this regard, the equity market serves as a crucial mechanism for mobilizing savings and channeling them into key economic sectors, ensuring that increasing demand is met to support economic expansion and efficiency. The stability of equity prices in developing economies often indicates overall economic stability (Fabian et al., 2023).

As Uniamikogbo et al. (2021) stated, the equity market is widely regarded as the best measure of economic performance, as it reflects the performance of all publicly listed companies on the Nigerian Stock Exchange (NSE). It provides a comprehensive overview of market trends, offering investors valuable insights into investment opportunities within the country.

However, Ibrahim & Isiaka, (2021) argue that the Nigerian Equity market operates below its optimal capacity due to several challenges, including weak institutional frameworks, a relatively small market size, fluctuating lending rates, and persistent liquidity issues. Additional factors such as the underperformance of the securities market, multiple taxation, inefficient underwriting processes, delays in share certificate issuance, and macroeconomic instability further hinder its growth (Babatunde, 2020). The decline in investment and capital flight has led to a sharp depreciation of the naira, contributing to rising unemployment, inflation, and an overall increase in the cost of living. As a key component of the financial system, the Nigerian Stock Exchange plays a crucial role in resource allocation across different economic sectors. However, its efficiency is largely influenced by government regulations and policies (Ayange et al., 2021).

Nwokoye & Otu (2018) highlighted that the 2008 equity market crisis resulted in the collapse of major businesses, a decline in consumer wealth, and a slowdown in economic activity. (Orji & Agubata, 2021) regarded this crisis as the most severe financial downturn since the Great Depression of the 1930s. Despite a slow but steady rise in market capitalization, the total value of traded stocks remains exceptionally low, limiting the equity market's overall contribution to economic growth (CBN, 2015). Between 2006 and early 2008, an increase in both the market capitalization ratio and the total value traded ratio coincided with a period of stronger economic growth. However, since 2009, the equity market's impact on economic expansion has been minimal and unsustainable (CBN, 2015). Furthermore, the equity market's liquidity challenges remain significant, as evidenced by the total value traded relative to GDP, which was below 1% in 2017 and approximately 1% in 2015 (Abdulwahab et al., 2023).

Orji & Agubata (2021) also argue that structural inefficiencies in both the real and financial sectors prevent policymakers in developing economies from achieving the intended outcomes of their fiscal and monetary policies. These rigidities diminish the effectiveness of government initiatives, further exacerbating the challenges faced by the Nigerian Equity market.

This article there takes a deeper dive to empirically study the impact of economic policies of the government affect the performance of the stock exchange market in Nigeria over a period of time.

### **Research Aims and Objectives**

The aim of the study is to analyze the relationship between economic policies and the performance of the Nigerian Stock Exchange. Specifically, the objectives include:

- To examine the impact of value added tax (VAT) policies on all share index.
- To analyze the effect of spendings by the government on all share index.
- To evaluate the influence of public debt on all share index.

### **Research Hypotheses**

H<sub>01</sub>: VAT does not have any significant relationship with the all-share index of the stock exchange.

H<sub>02</sub>: There is no significant relationship between government total expenditure and all share index

H<sub>03</sub>: There is no significant relationship between government debt burden and all-share index

### **Literature Review**

#### **Conceptual Framework**

Fiscal policy refers to government strategies involving revenue generation (taxation) and expenditure to regulate economic activities (Nwaogwugwu, 2018). The equity market serves as a platform where securities are traded, influencing capital formation and economic development. Understanding the interaction between fiscal policy and market performance analysis is crucial for effective policymaking (Enang et al., 2024).

## **Fiscal Policy and Market performance analysis**

Fiscal policy refers to the government's use of taxation and public spending to regulate economic activity and achieve macroeconomic objectives (Babalola, 2015). It serves as a crucial tool for managing economic growth, ensuring full employment, and maintaining price stability. The effectiveness of fiscal policy depends on its coordination with monetary policy, as both strategies must be optimally combined to achieve desired economic outcomes (Ogbulu et al., 2015).

According to Ohazurike & Igwe (2024), fiscal policy instruments—such as spendings by the government, taxation, and public borrowing—are essential for steering the economy toward sustainable growth and stability. While the primary objective of fiscal policy in many economies is to stimulate overall economic output (Doyle, 2017), its influence extends beyond aggregate demand and GDP growth to directly impact the real sector and commodity markets. These sectors are closely linked to the financial markets, including the stock exchange, making fiscal policy a key determinant of market performance analysis.

The relationship between fiscal policy and equity market efficiency is multifaceted as opined by (Ohazurike & Igwe 2024). Government spending, for instance, can stimulate economic activity by increasing demand for goods and services, which in turn drives corporate earnings and enhances market performance analysis. On the other hand, excessive government borrowing to finance budget deficits may lead to higher lending rates, crowding out private investments and reducing equity market liquidity. Similarly, taxation policies influence investor behavior, as higher corporate taxes can reduce company profits and dividends, discouraging investment in the equity market. Conversely, tax incentives and relief measures can attract both domestic and foreign investors, boosting market participation and capital formation (Nwogo, 2024).

Moreover, the wages and salaries of government employees play a role in shaping equity market dynamics according to (Adegboyoye et al., 2021). The disposable income of public sector workers affects their ability to invest in financial instruments such as stocks and bonds. Their investment decisions are influenced by market expectations, anticipated returns, and the relative attractiveness of alternative investment opportunities (Raifu et al., 2021). A stable fiscal environment that fosters economic confidence can encourage greater participation in the equity market, thereby enhancing market liquidity and efficiency.

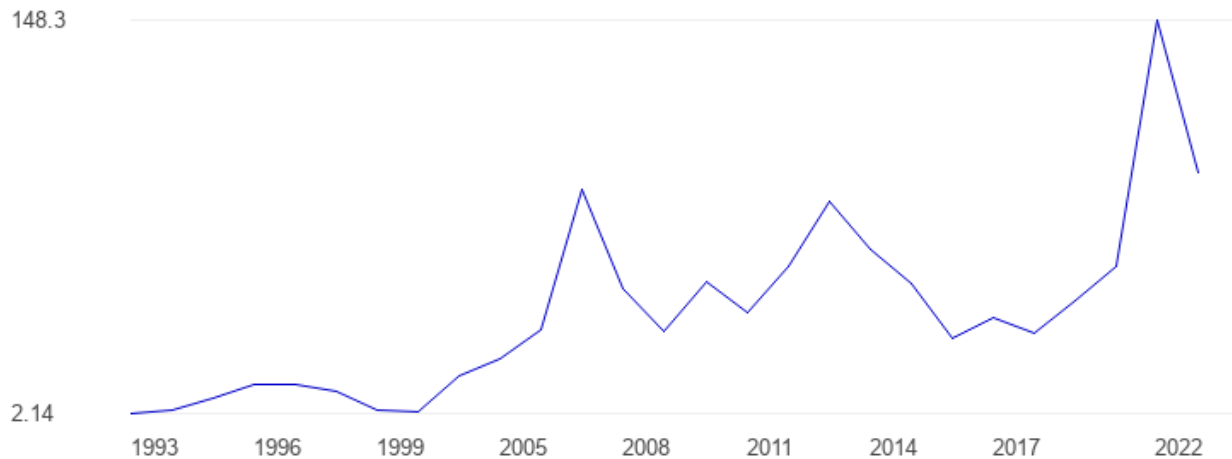


Fig 1: Performance of All share index

Source: Thomas et al. (2023)

Studies suggest that all-share index of the stock exchange market has been fluctuating over the years, recording slight increases over time. The line trend, according to (Thomas et al., 2023), reveals that the stock exchange performance had periods of increases and declines, highlighting the instability of the market performance analysis.

Fiscal policy plays a significant role in determining market performance analysis by shaping macroeconomic conditions, influencing investor sentiment, and impacting corporate profitability. Effective fiscal management, including prudent government spending and well-structured taxation policies, is essential for fostering a vibrant and resilient equity market (Adegboyo et al., 2021).

## Theoretical Framework

This study relies on the Keynesian theory. This theory, known as Keynesian economics, was developed by the British economist John Maynard Keynes. It states that government intervention through Fiscal policies, including taxation and government expenditure, can impact macroeconomic conditions and productivity levels (Keynes, 1936). Keynesian economists argue that active government participation in economic affairs is crucial for maintaining macroeconomic stability. They believe that fiscal policy can stimulate overall demand by increasing spendings by the governments, which, in turn, strengthens the economy and potentially boosts equity prices, thereby influencing market performance analysis (Keynes, 1975).

Jia et al. (2021) assert that an increase in the government's budget deficit negatively affects asset market performance, particularly stock and bond prices, as it leads to rising lending rates. From the perspective of market participants, higher lending rates reduce economic activity and discourage investment since borrowing becomes more expensive, thereby limiting consumption and spending. This cycle of lower economic activity and increasing lending rates could further strain fiscal capacity, creating a negative feedback loop (Jia et al., 2021). As a result, fiscal policy decisions may crowd out the money market and productive sectors of the economy (Nwokoye & Otu, 2018).

A traditional Keynesian response to a recession involves implementing fiscal stimulus measures, such as reducing lending rates. The underlying principle is that recessions often stem from insufficient aggregate demand for goods and services. By lowering taxes or increasing government spending, overall demand can be stimulated, leading to higher output and employment levels (Lawal et al., 2017).

Keynesian economists frequently argue that private sector decisions can sometimes lead to inefficient macroeconomic outcomes, necessitating proactive public sector interventions. They maintain that an entirely privatized economy, without government regulation, risks falling into recession. In such a scenario, government intervention to revive economic activity would be beneficial, as it would likely stimulate equity market growth, ultimately strengthening the broader macroeconomy (Adegboyoye et al., 2021).

### **Empirical Review**

Lawal et al. (2018) investigated the interplay between fiscal and monetary policies and their influence on equity market behavior in Nigeria. Using monthly data and applying the Autoregressive Distributed Lag (ARDL) model and the Exponential Generalized Autoregressive Conditional Heteroskedasticity (EGARCH) model, the study found that fiscal and monetary policies significantly impact equity market returns. The ARDL results confirmed a long-term association between the All-Share Index (ASI) and monetary-economic policies. Additionally, volatility estimates indicated that ASI fluctuations are highly responsive to interactions between these policy instruments. The study underscored the need for an integrated policy approach, advocating for the joint consideration of monetary and economic policies rather than treating them separately.

Nwaogwugwu (2018) also conducted an empirical study examining the impact of macroeconomic policy on Nigeria's equity market behavior. Utilizing the ARDL bounds testing approach, the study assessed broad money supply, lending rates, government spending, tax revenue, and Gross Domestic Product (GDP) as key macroeconomic policy indicators, with equity prices representing market performance. The findings demonstrated that both monetary and fiscal policy variables—particularly money supply, lending rates, government spending, and taxation—had statistically significant effects on the equity market in both the short and long run. The study emphasized the need for a well-coordinated fiscal and monetary policy framework to maximize the equity market's potential in Nigeria.

Enang et al. (2024) investigated the influence of fiscal policy on market performance in Nigeria from 1999 to 2023, utilizing secondary data from the National Bureau of Statistics (NBS). Employing the Ordinary Least Squares (OLS) regression technique, the study analyzed the impact of government spending, taxation policies, and government borrowing on market performance. The findings revealed that government spending had a statistically significant positive effect on market performance, accounting for 64.8% of its variability ( $R^2 = 0.648$ ,  $p < 0.05$ ). Likewise, taxation policies explained 52.1% of equity market fluctuations ( $R^2 = 0.521$ ,  $p < 0.05$ ), while government borrowing influenced market performance by 75.6% ( $R^2 = 0.756$ ,  $p < 0.05$ ). The study emphasized that government spending stimulates economic activity, whereas favorable taxation policies boost investor confidence and market stability. However, excessive government borrowing negatively impacts the equity market by increasing lending rates and crowding out private investments. It recommended the adoption of prudent economic policies to create a favorable investment climate and promote equity market growth.

Nwogo (2024) analyzed the effects of fiscal policy on market performance analysis in Nigeria, focusing on company income tax, petroleum profit tax, government capital expenditure, and recurrent expenditure. Utilizing an ex post facto research design with time-series data from the Central Bank of Nigeria (CBN) Statistical Bulletin and the Nigerian Stock Exchange Group, the study employed the Johansen co-integration test, which confirmed a long-term association among the variables, with an annual speed of adjustment of 10.01%. The findings indicated that government capital and recurrent expenditures had significant positive effects on market performance analysis, whereas company income tax and petroleum profit tax negatively impacted market trends. The study recommended increasing capital expenditure on critical infrastructure to boost investor confidence, sustaining or increasing recurrent spending to enhance market performance analysis, and revising company income tax policies to minimize their adverse effects on equity market activities. Furthermore, it suggested that petroleum profit tax should only be increased to address environmental concerns linked to petroleum operations.

Collectively, these empirical studies highlight the substantial influence of fiscal policy on market performance analysis in Nigeria. While government spending and debt financing can stimulate equity market growth, excessive revenue generation through taxes and loans may have adverse effects. The findings emphasize the importance of a well-balanced fiscal approach that aligns government policies with equity market stability and broader economic growth.

## Methodology

### Research Design

The research design adopted for the study is based on the expo-factor quasi-experimental research design. This design was informed due to the nature of data involved, which is a time series data. The researcher shall use the design method in the cause of this study.

### Data Source

The data used for this study were obtained based on data from the Central Bank of Nigeria (CBN) Statistical Bulletin. More so, the period covered by the study is 1990-2023. It is worthy of mention that there is no economic reason for the choice of period; but the availability of data informed the period covered.

### Model Specification

The functional form of the model is stated below:

$$ASI = f(VAT_t, GEX_t, PDE_t)$$

The econometric estimation form of the functional specification of models 1-3 above are presented as follows:

$$ASI = \beta - \beta_1 VAT + \beta_2 GEX - \beta_3 PDE + \mu$$

The Logged Form:

$$\log ASI = \beta - \beta_1 \log VAT + \beta_2 \log GEX - \beta_3 \log PDE + \mu$$

Where:

ASI = All-share index

VAT = Value Added Tax

GEX = Spendings by the government

PDE = Public debt

$u_t$  = Stochastic Term

*A priori* expectation =  $\beta_1 < 0, \beta_2 > 0, \beta_3 < 0$ .

## Data Analysis Technique

### Pre-estimation Tests

The study performs pre-estimation tests, including descriptive analysis, stationarity tests using the Augmented Dickey-Fuller (ADF) test method, and a bounds test for cointegration. These tests assess the suitability of the data for the research.

The stationarity tests help determine the appropriate cointegration test to apply, while the cointegration tests evaluate whether a long-term association exists among the time series variables in the model. Ultimately, the selection of the model estimation technique is based on the results of both the stationarity and cointegration tests.

### Model Estimation

This study employs both the Error Correction Model (ECM) and the Autoregressive Distributed Lag (ARDL) econometric techniques. The ECM is used when all time series in the model are cointegrated, meaning they exhibit a long-term association despite being individually non-stationary. In contrast, the ARDL model is suitable when the variables have a mixed order of integration—some being stationary at level  $I(0)$  and others at first difference  $I(1)$ .

When  $(Y_t)$  and  $(X_t)$  are cointegrated, their relationship can be expressed through an ECM specification, which captures both short-run dynamics and long-run equilibrium. In this model,  $(\beta_1)$  represents the impact multiplier, measuring the immediate effect of changes in  $(X_t)$  on  $(Y_t)$ , while  $(\pi)$  indicates the speed of adjustment, reflecting how quickly deviations from equilibrium are corrected in subsequent periods (Neusser, 2016).

The ARDL model, estimated using the Ordinary Least Squares (OLS) method, is particularly useful for analyzing relationships between variables with different integration orders. Once the ARDL model is estimated, the bounds testing approach is applied to determine the presence of a long-term association. If cointegration is confirmed, the corresponding ECM can then be derived to evaluate short-run adjustments toward equilibrium (Nkoro & Uko, 2016).

### Post-estimation Diagnostic Tests

Two key post-estimation residual diagnostic tests were conducted on the estimated model. They are the serial autocorrelation test and heteroscedasticity. While the serial autocorrelation for the residuals tests for the presence of serial autocorrelation among the independent variables, the heteroscedasticity test determines whether the variance of the regression is constant or not over time. If the variance is not constant, there will be high standard error resulting to poor analytical use of the result.

The study uses EViews version 10 to conduct these analyses.

## Results and Data Analysis

### Descriptive Analysis

|              | LOG_ASI_  | LOG_VAT_ | LOG_GEX_ | LOG_PDE_ |
|--------------|-----------|----------|----------|----------|
| Mean         | 3.924431  | 12.46488 | 3.854477 | 3.896178 |
| Median       | 3.981549  | 12.37879 | 3.815204 | 3.858538 |
| Maximum      | 3.101199  | 12.86190 | 3.985069 | 4.018525 |
| Minimum      | 3.666122  | 12.20126 | 3.793352 | 3.848593 |
| Std. Dev.    | 0.137826  | 0.241162 | 0.065262 | 0.057048 |
| Skewness     | -0.418180 | 0.448455 | 0.748228 | 0.927458 |
| Kurtosis     | 2.564374  | 1.564488 | 2.006427 | 2.306197 |
| Jarque-Bera  | 1.562092  | 4.655858 | 5.404447 | 6.373371 |
| Probability  | 0.157117  | 0.007497 | 0.167056 | 0.241309 |
| Sum          | 154.7766  | 486.1304 | 150.3246 | 151.9509 |
| Sum Sq. Dev. | 0.721853  | 2.210042 | 0.161846 | 0.123670 |
| Observations | 33        | 33       | 33       | 33       |

Source Eviews (2025)

Descriptive statistics play a crucial role in economic studies by helping researchers understand the characteristics of the data being analyzed. In this study, skewness, kurtosis, and the Jarque-Bera (JB) test were examined to assess the normality of the dataset. Based on the JB test results, Value Added Tax (VAT) is not normally distributed, whereas the other variables exhibit normal distribution, as indicated by their respective JB probability values (Prob > 0.05).

### Unit Root: ADF Tests

| Test at levels           | Variables | P Value | Order of Integration |
|--------------------------|-----------|---------|----------------------|
|                          | LOGASI    | 0.1127  | I(1)                 |
|                          | LOGVAT    | 0.9609  | I(1)                 |
|                          | LOGGEX    | 0.0008  | I(0)                 |
|                          | LOGPDE    | 0.6518  | I(1)                 |
| Test at First Difference | Variables | P-Value | Order of Integration |
|                          | LOGVAT    | 0.0238  | I(1)                 |
|                          | LOGGEX    | 0.0052  | I(1)                 |
|                          | LOGPDE    | 0.0062  | I(1)                 |

Source: Authors computation using Eviews, 2025

The unit root test results as shown in the table able shows that the variables are stationary at various levels. However, LOGGEX is stationary at levels. The mixture of the variables in the ADF analysis satisfies for the use of ARDL model in the regression analysis.

## Bounds Test for Cointegration

| F-Bounds Test  |          | Null Hypothesis: No levels relationship |                       |      |
|----------------|----------|-----------------------------------------|-----------------------|------|
| Test Statistic | Value    | Signif.                                 | I(0)                  | I(1) |
|                |          |                                         | Asymptotic:<br>n=1000 |      |
| F-statistic    | 5.833508 | 10%                                     | 2.75                  | 3.79 |
| k              | 5        | 5%                                      | 3.12                  | 4.25 |
|                |          | 2.5%                                    | 3.49                  | 4.67 |
|                |          | 1%                                      | 3.93                  | 5.23 |

Source: Authors computation from Eviews, 2025

Based on the stationarity test results, the study found that the variables in the specified model have different orders of integration, indicating a mixed integration order. Consequently, the ARDL Bounds Cointegration test was selected to determine whether a long-term relationship exists among the variables. The test results confirmed the presence of a long-run association between the dependent and independent variables over the study period.

The ARDL model offers several advantages. As noted by Ibukun & Aremo (2017), its primary strength lies in its suitability for small sample studies. Unlike other cointegration methods that estimate long-term associations using multiple equations, the ARDL approach employs a single reduced-form equation, enhancing its efficiency (Pesaran & Shin, 1995).

## ARDL Model Estimation

### LONG RUN RESULTS

Dependent: LOGASI

| Variable      | Coefficient | Std. Error | t-Statistic | Prob.  |
|---------------|-------------|------------|-------------|--------|
| @TREND        | 0.016594    | 0.006962   | 2.383321    | 0.0254 |
| LOG_ASI_(-1)* | -0.578051   | 0.203848   | -2.835691   | 0.0091 |
| LOG_VAT_**    | -0.065679   | 0.128858   | -0.509702   | 0.6149 |
| LOG_GEX_**    | 5.334369    | 3.162590   | 1.686709    | 0.1046 |
| LOG_PDE_**    | -5.834198   | 3.381586   | -1.725285   | 0.0973 |

Dependent: LOGASI  
RESULT

### SHORT RUN

| Variable     | Coefficient | Std. Error | t-           | Prob.         |
|--------------|-------------|------------|--------------|---------------|
| Statistic    |             |            |              |               |
| LOG_VAT_     | -0.265679   | 0.128858   | -2.061797    | 0.0009        |
| LOG_GEX_     | 1.004369    | 0.162590   | -6.177311    | 0.0000        |
| LOG_PDE_     | 3.356198    | 1.381586   | 2.429257     | 0.0073        |
| CointEq(-1)* | -0.615251   | 0.136447   | 4.236441     | 0.0003        |
| R-Squared    | F-Stat      | =          | Prob(F-stat) | D-W           |
| =0.705612    | 9.896152    |            | 0.000529     | stat=2.191892 |

Source: Eviews, 2025

The results presented above include both the long-run and short-run estimates of the ARDL model. The coefficient of determination ( $R^2$ ), which measures the model's goodness-of-fit, indicates that the independent variables account for 71% of the variations in the dependent variable. Additionally, the F-test confirms the overall statistical validity of the model. The speed of adjustment from short-run deviations to long-run equilibrium is estimated at 0.61 (61%) per year.

### Serial Autocorrelation Test

Breusch-Godfrey Serial Correlation LM Test:

|               |          |                     |        |
|---------------|----------|---------------------|--------|
| F-statistic   | 0.231889 | Prob. F(2,22)       | 0.3275 |
| Obs*R-squared | 3.576181 | Prob. Chi-Square(2) | 0.1226 |

Source: Author's computation from Eviews

The serial or autocorrelation helps to determine if the variables are serially correlated or not. As the result shows using the Prob of F-stat (0.3275), there is no problem of serial autocorrelation.

### Heteroskedasticity Test

Heteroskedasticity Test: Breusch-Pagan-Godfrey

|                     |          |                     |        |
|---------------------|----------|---------------------|--------|
| F-statistic         | 5.711465 | Prob. F(7,24)       | 0.6270 |
| Obs*R-squared       | 23.00632 | Prob. Chi-Square(7) | 0.3317 |
| Scaled explained SS | 32.55961 | Prob. Chi-Square(7) | 0.1270 |

Source: Author's computation from Eviews

The variance of the model is also constant based on the results of the heteroskedasticity test.

### Granger Causality Test

Pairwise Granger Causality Tests

Date: 02/21/25 Time: 19:41

Sample: 1990 2021

Lags: 2

| Null Hypothesis:                                                                     | Obs | F-Statistic        | Prob.            |
|--------------------------------------------------------------------------------------|-----|--------------------|------------------|
| LOG_VAT_ does not Granger Cause LOG_ASI_<br>LOG_ASI_ does not Granger Cause LOG_VAT_ | 31  | 2.08318<br>0.83243 | 0.0006<br>0.4442 |
| LOG_PDE_ does not Granger Cause LOG_ASI_<br>LOG_ASI_ does not Granger Cause LOG_PDE_ | 31  | 1.60697<br>54.6364 | 0.2163<br>5.E-11 |
| LOG_GEX_ does not Granger Cause LOG_ASI_<br>LOG_ASI_ does not Granger Cause LOG_GEX_ | 31  | 1.74407<br>54.8089 | 0.1910<br>5.E-11 |

Source: Author's computation from Eviews

The pair-wise granger causality test shows the direction of cause between the dependent and the independent variables. This does not necessarily connote a relationship between the variables. As shown above, there is a two-way causal relationship between the ASI and PDE, and GEX. However, there is one-way causal relationship between ASI and VAT over the period.

## Tests of Hypotheses

*H<sub>01</sub>: There is no significant relationship between ASI and VAT*

The results indicate a negative relationship between the All-Share Index (ASI) and Value Added Tax (VAT), aligning with theoretical expectations. Specifically, a one-unit increase in VAT leads to a decrease in ASI by -0.265679 and vice versa. Furthermore, VAT is meaningful in statistical terms at the 5% level of significance, as confirmed by the t-test. Consequently, we Fail to support the null hypothesis ( $H_0$ ) and accept the alternative hypothesis ( $H_1$ ), concluding that a significant relationship exists between VAT and ASI over the study period.

*H<sub>02</sub>: There is no significant relationship between GEX and ASI in Nigeria*

The findings reveal a positive relationship between ASI and Spendings by the government (GEX), which is consistent with prior expectations. A one-unit increase in GEX results in a corresponding increase in ASI by 1.004369. Additionally, GEX is meaningful in statistical terms at the 5% level of significance, reinforcing the strength of the relationship. Based on this evidence, we Fail to support the null hypothesis ( $H_0$ ) and accept the alternative hypothesis ( $H_1$ ), concluding that ASI and GEX are significantly related over the study period.

*H<sub>03</sub>: There is no significant relationship between PDE and ASI in Nigeria*

Contrary to theoretical expectations, the results suggest a positive relationship between ASI and Public Debt Expenditure (PDE). A one-unit increase in PDE leads to an increase in ASI by 3.356198. Despite being unexpected, PDE is meaningful in statistical terms at the 5% level of significance, confirming the robustness of this relationship. Therefore, we Fail to support the null hypothesis ( $H_0$ ) and accept the alternative hypothesis ( $H_1$ ), concluding that PDE has a significant impact on ASI over the study period.

Overall, the results indicate that VAT negatively affects market performance analysis, while both spendings by the government and public debt expenditure positively influence ASI. These findings highlight the importance of fiscal policy decisions in shaping equity market behavior, emphasizing the need for strategic policy formulation to enhance market stability and growth.

## Discussion of the Findings

The results provide valuable insights into the extent to which the independent variables influence the dependent variable over the study period. It is evident that fluctuations in the independent variables directly impact the financial performance of the Nigerian Stock Exchange (NSE). A key takeaway from the analysis is that government economic policies play a crucial role in shaping market performance analysis.

A deeper examination of the findings reveals a positive and significant relationship between public debt and market performance analysis in Nigeria. This suggests that funds borrowed for capital and economic development projects, intended to enhance public welfare, are often diverted into the equity market by government officials. This may be driven by an incentive to exploit short-term trading gains before allocating the borrowed funds to their intended purposes. Such actions underscore the prevalence of corrupt financial practices within the system. The findings align with those of Ogbulu et al. (2015), who

emphasized how corruption has contributed to the mismanagement of public funds by those entrusted with national wealth.

Furthermore, the study confirms a positive and significant relationship between the All-Share Index (ASI) and spendings by the government over the period. This indicates that an increase in government spending leads to improvements in market performance analysis, and vice versa. It also suggests that deficit budgeting, where spendings by the governments exceed revenue, can potentially enhance equity market activities by injecting liquidity into the economy. These findings support the work of Lawal et al. (2018), who asserted that increased spendings by the government can positively impact market capitalization within the stock exchange.

Finally, the study identifies a negative and significant relationship between VAT and the All-Share Index, implying that an increase in VAT leads to a decline in market performance analysis. This occurs as higher VAT rates discourage both corporate and individual investors from actively participating in the market. Increased taxation reduces disposable income, thereby limiting potential investments in the stock exchange. The study's conclusions align with Ogbulu et al. (2015), further highlighting the critical role of VAT policies in shaping equity market dynamics.

Overall, the study underscores the significant influence of government economic policies on market performance analysis in Nigeria. While public debt and government spending can stimulate equity market growth, excessive taxation, particularly VAT increases, can have adverse effects by restricting investment opportunities. These findings reinforce the need for transparent and well-structured economic policies that balance economic growth with investor confidence, ultimately fostering a more robust stock exchange market.

### **Conclusion, Policy Implications, and Recommendations**

Building on the insights gathered from the review of empirical literature and the findings of this study, it is evident that fiscal policy changes significantly impact the performance of the Nigerian Stock Exchange (NSE). The study highlights the crucial role of VAT policies, spendings by the governments, and public borrowing in influencing equity market dynamics.

#### *1. VAT Policies and Market performance analysis*

The study reveals that increases in Value-Added Tax (VAT) negatively affect market performance analysis by discouraging investments and reducing disposable income. As such, it is recommended that VAT rates be reduced to stimulate investor participation and enhance equity market growth. However, the government can also use VAT adjustments as a tool to regulate the equity market's performance, increasing VAT when it deems fit to moderate equity market activity.

#### *2. Spendings by the government as a Catalyst for Equity market Growth*

Empirical evidence shows that spendings by the government has a positive and significant impact on the NSE. This suggests that when the government increases spending—particularly on infrastructure and economic development—it creates a ripple effect that enhances market performance analysis. Therefore, government spending should be periodically increased to sustain equity market growth. Conversely, a reduction in spendings by the government may lead to a decline in equity market activity.

### 3. Public Borrowing and Its Mismanagement

The study also finds that government borrowing positively influences the All-Share Index (ASI). While this may appear beneficial to market performance analysis, it raises serious concerns about the mismanagement of public funds. The findings suggest that funds borrowed for infrastructure and social development projects are often diverted into private hands before eventually being allocated to their intended purposes. This unethical practice allows government officials to profit from financial speculation before fulfilling public obligations.

To curb this, a more transparent and accountable borrowing process is essential. Lending institutions and government oversight bodies must scrutinize borrowing procedures, the officials responsible for fund allocation, and the actual utilization of borrowed funds. Implementing stricter monitoring mechanisms and financial audits will help ensure that public funds serve their intended purposes without first being funneled through private interests.

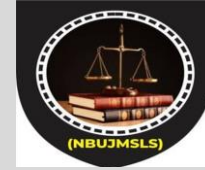
In summary, fiscal policy decisions play a crucial role in shaping the Nigerian Stock Exchange. A strategic approach to VAT adjustments, prudent government spending, and a more transparent borrowing system are essential for fostering a stable and efficient equity market. By implementing these recommendations, policymakers can strike a balance between economic growth, investor confidence, and fiscal responsibility, ultimately ensuring that the equity market operates as an engine of sustainable economic development.

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## **WORK PROCESS REENGINEERING AND ORGANIZATIONAL EFFECTIVENESS OF MANUFACTURING FIRMS IN RIVERS STATE, NIGERIA.**

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### **Abstract**

This study ascertained the relationship between work process reengineering (WPR) and organizational effectiveness of manufacturing firms in Rivers State, Nigeria. Quasi-experimental research design was adopted for the study. The population size was 750; comprising of employees of manufacturing firms in Rivers state, Nigeria. A sample size 251 was used. The study adopted a questionnaire as the instrument for data collection. The data generated with the questionnaire was analyzed using modified four point Likert type scale, standard deviation, and linear regression analysis at a significance level of 0.05%. All tests for the study were carried out using the Statistical Package for Social Sciences (SPSS). The study reveals that all the dimensions of work process reengineering respectively had a significant and positive relationship with the measures of organizational effectiveness of manufacturing firms in Rivers State, Nigeria. It was therefore concluded that work process reengineering greatly impacted on the organizational effectiveness of manufacturing firms in Rivers state, Nigeria. It went further to recommend (amongst others) that management of manufacturing firms in Rivers State, Nigeria, should reengineer their work processes as to right-tune themselves with the business environment. They should ensure management commitment from the top. Also, work process reengineering must touch the core aspects of the organizations work processes, and management must pay more attention to employee training to ensure effectiveness.

**Keywords:** Effect, Work Process Reengineering, Organizational Effectiveness, Efficiency, Manufacturing Firms.

### **Introduction**

Business organizations operate in a dynamic environment. In recent times, the changes in the environment have been rapid and unpredictable. Economic variables have been complex; both in form and impact on business operations. Consumers and clients have been showing complex behaviours in

local and international markets. The most dramatic change has been that exhibited by competitive pressures. Competitors have been applying one strategy or the other to adapt to the ever-changing and unpredictable business environment to ensure effectiveness.

Regrettably, many Nigerian companies' operations leave much to be desired despite the clamouring for efficiency and effectiveness. In the face of alarming pace and complexity of change in the business environment, work designs and processes adopted by these organizations had been introspective rather than focused on the customer. This has hampered their responsiveness to changes in the business environment. The sheer rapidity of competitive change in today's Nigeria business environment calls for greater organizational adaptability. There is increasing complexity as well as accelerating rate of change in the environment, and there is conviction that the future of the environment is unpredictable. Unfortunately, these companies have not been able to "right-tune" themselves to deal with the dictates of the time.

In a bid to survive, many Nigerian companies have adopted such familiar strategies as process rationalization and automation. Unfortunately, these have not yielded the needed results. Heavy investments in information technology have delivered disappointing results; largely because the companies tend to use technology to mechanize old ways of doing things. They leave the existing processes intact and use computers to simply speed them up. This has led to such statement as "our operations are now computerized". Speeding up these processes cannot address their fundamental deficiencies. This stems from the fact that many business managers in Nigeria are not aware of or neglect Work Process Reengineering (WPR) - also referred to as Business Process Reengineering (BPR), as a business management strategy. Where awareness exist, they are very often conservative and/or deliberately neglect it. Some see work process reengineering (WPR) as a western business phenomenon or philosophy. Business managers in Nigeria need to understand its essence and importance, and also the fact that Nigeria is no exception to the dynamics of the new world order.

It is very sad to note that many business managers of manufacturing firms operating in Rivers State, Nigeria, are often more interested in the profitability of their companies, rather than achieving a fit between the organization's business environment, work processes and goals. Consequently, they neglect work process reengineering (WPR). No organization can continue to survive and grow in our dynamic and globalized environment that fails to "fine-tune" its operations to the dictates of its business environment. Work process reengineering (WPR) is a management strategy focused on analyzing and redesigning core work/business processes to achieve significant improvements in critical contemporary performance measures: productivity, efficiency, and quality. The success and survival of many manufacturing firms in Rivers State, Nigeria, depend on how well they anticipate and respond to both unexpected and foreseeable changes by "cooperating" with them. The imperative of an effective response cannot be overemphasized. This is evident in the rate of business failure recorded in the state. The consequence of failing to achieve effectiveness is a decline in the critical contemporary measures of performance, or even outright death of the company in most cases. Given these circumstances, it becomes pertinent to

carry out a critical examination of the relationship between work process reengineering (WPR) and organizational effectiveness (OE) of manufacturing firms in Rivers State, Nigeria.

## **Literature Review**

### **Work Process Reengineering (WPR)**

Work Process Reengineering (WPR), also referred to as Business Process Reengineering (BPR) is a business management strategy originally pioneered in the early 1990's by management scholars like Rye (1996); Davenport (1993); Hammer and Champy (1993); Hammer, (1990) etc. focusing on the analysis and design of work flow and business processes within an organization. Work process reengineering (WPR) helps organizations rethink their work processes to enhance customer service, reduce costs, and improve competitiveness. It is a structured approach that critically evaluates and redesigns processes to enhance key areas important to customers. Organizations assess necessary tasks for customer value before deciding how to execute them. Reengineering allows managers to enhance an organization's workflow by updating existing processes to eliminate waste, boost efficiency and increase profits. It follows a reverse-design approach, starting with the desired outcome and working backward to align value-chain elements required to achieve its goal. Thus, work process reengineering (WPR) restructures key functions to enhance efficiency, product quality, and cost-effectiveness.

Bain (2023), Hammer and Champy (1993), argue that work process reengineering (WPR) is a:

*“fundamental rethinking and radical redesign of work processes to achieve dramatic improvement in critical, contemporary measures of performance. Re-inventing the enterprise by challenging its existing doctrines, practices and activities and then innovatively redeploying its capital and human resources in cross-functional processes. This re-invention is intended to optimize the organization's competitive position, its value to shareholders and its contribution to society” (Hammer and Champy, 1993:32)*

Kennedy (1994) posits that work process reengineering involves redesigning organization around its core work process to achieve step changes in performance as to enhance the attainment of expected results in reasonable time with minimum amount of money, discomfort or energy. Hammer (1990) argues that work process reengineering strives to break away from the old rules guiding work design, work processes, control mechanism and organizational structures. It involves recognizing and doing away with some of the existing ones and finding imaginative new ways to do work. New rules will emerge based on the redesigned work processes, and this requires employees to be reengineered. According to Kotter (1996), successful reengineering requires addressing the human side of change, including overcoming resistance to change, aligning organizational culture, and ensuring that leadership communicates effectively throughout the process. Hence, employees need to reengineer their behaviour, attitude, and career (develop skills) to enable them perform their reengineered functions. Reengineering employees will improve the basic relationship existing between them and their jobs. It will change their behaviour directly in such a way that would maintain the change. Notably, while technology is an

important tool in reengineering, the successful implementation of WPR is contingent on human and organizational factors.

However, it is also worthy to note that:

*“Work or business process reengineering is not automation, restructuring, reorganization, or delaying, although, these may be consequences of the exercise”*  
(Rye, 1996:29).

### **The Essence of Work Process Reengineering (WPR)**

Work process reengineering (WPR) involves redesigning organizations around their core processes to achieve efficiency and effectiveness in operations. At the core of reengineering is the notion of discontinuous thinking – of recognizing and breaking away from the outmoded rules and functional assumptions that underlie operations. Unless the rules are changed, achieving true effectiveness will be impossible, as management would only be making superficial adjustments without addressing the underlying issues. Therefore, management must challenge old assumptions and shed the old rules that made the organization ineffective.

Many organizations are replete with implicit rules carried over from earlier decades. Hammer (1990) argues that these rules of design are based on assumptions about technology, people, and organizational goals that no longer hold. The contemporary repertoire of growth and expansion in information communication technology (ICT) is vast and quick expanding. Hence, quality, innovation and service are now more important than cost, growth and control. Many companies' work processes and structures are outmoded and obsolete. They have not kept pace with the changes in technology, demographics, and business objectives. Many managers have organized work as a sequence of separate tasks and employed complex mechanisms to track its process.

Organizations traditionally structured work into narrowly defined tasks, reassembling them within departments managed by supervisors. Information flowed up hierarchical chains to a selected few responsible for decision-making. However, Hammer (1990) argues that such conventional process structures are fragmented and lack the integration necessary to maintain efficiency, quality, and service. This disjointed approach fosters tunnel vision, where employees focus on departmental goals rather than the organization's overall objectives. As work passes from one individual to another, delays and errors are inevitable, accountability becomes blurred, and critical issues often go unnoticed. Consequently, businesses struggle to adapt quickly to new challenges. Many managers attempt to piece together fragmented processes to respond to change, yet this method is rarely effective. When customer service fails, additional oversight mechanisms are introduced, further thickening bureaucracy, increasing costs, and providing opportunities for competitors to gain market share.

Work Process Reengineering (WPR) offers an alternative approach by eliminating outdated workflows and rethinking the fundamental design of business processes. Managers can achieve greater efficiency, responsiveness, and profitability through well-planned, structured reengineering efforts.

### **Principles of Work Process Reengineering (WPR)**

Creating innovative business processes suited for the modern environment requires a shift in conceptualizing workflows. WPR must be carefully planned, organized, and guided by the following core principles:

1. **Focus on Outcomes, Not Tasks:** According to Hammer (1990), WPR requires a shift from task-based work to outcome-driven processes. Instead of assigning isolated tasks, organizations should empower employees to oversee entire processes, ensuring alignment with broader business objectives.
2. **Assign Process Execution to Those Who Use Its Output:** Hammer (1990) emphasizes that with the availability of computer-based data and expertise, employees, departments, and units can manage their own processes rather than relying on intermediaries. By reengineering workflows, individuals who require process outputs can perform tasks themselves, reducing overhead and increasing efficiency.
3. **Integrate Information Processing with Actual Work:** Organizations often separate information processing from core operations. Hammer (1990) challenges this by suggesting that those responsible for producing information should also process it. Historically, limitations in time and trust prevented this integration, but modern technology enables seamless execution of both functions.
4. **Decentralize Resources While Maintaining Centralized Efficiency:** Hammer (1990) argues that the traditional conflict between centralization and decentralization can be resolved through strategic resource allocation. By leveraging databases, telecommunication networks, and standardized processing systems, organizations can enjoy the benefits of both flexibility and coordinated efficiency, reducing redundancy and bureaucratic inefficiencies.
5. **Coordinate Parallel Activities in Real Time:** Instead of integrating results after processes are completed, organizations should establish real-time coordination between parallel functions. Communication networks, shared databases, and teleconferencing facilitate seamless collaboration, ensuring efficiency throughout the workflow.
6. **Place Decision-Making Within the Process:** Hammer (1990) advocates for shifting decision-making authority to the individuals directly involved in execution. By embedding control mechanisms within processes, organizations can reduce the need for excessive management layers, allowing for more agile and self-regulating workflows. Information technology and expert systems further support informed decision-making at the operational level.
7. **Capture Data at the Source:** In traditional workflows, information collection and transmission involved repeated steps, leading to delays and errors. With modern technological solutions such as

barcoding, relational databases, and electronic data interchange (EDI), organizations can store and share information efficiently, minimizing redundancy and overhead costs.

### **Dimensions of Work Process Reengineering (WPR)**

Work process reengineering (WPR) has differentiating characteristic dimensions which include: Redesigned (streamlined) work or business process, Reinvented organization (new rules/practices), Employee training. For this study, we shall examine and analyze the above stated characteristics/dimensions and the effect on organizational effectiveness of manufacturing firms in Rivers State, Nigeria.

1. **Redesigned (streamlined) Processes:** WPR involves process analysis which can help streamline operations, improve efficiency and reduce cost. It involves analyzing existing work processes and making significant changes to optimize them. Streamlining processes, eliminating unnecessary steps, and leveraging automation can significantly improve quality, cost, and speed.

Redesigning the work process, however, has the potential to drastically alter both the nature of work and the relationship that employees have with their jobs. This has the potential to alter corporate procedures and disturb workflows.

2. **Re-invented Organization:** The redesigned work processes will bring about new rules and practices in the organization as companies try to survive in their business environment faced with rising cost of energy, weak supply chains, trade bans and labour shortages. As a result, companies can only thrive when their procedures, and practices adapt to the new globalization-driven business environment.

3. **Employee Training:** Employees and their teams must be informed about the new work processes as a result of redesigned work processes and a reimagined organization. As a result, everyone is informed and on the same page. For an organization to succeed, employees' careers must be redesigned to fit the new working patterns. Workers must be informed about long-term changes. Cost reduction is a result of effective work processes, which must be continuously assessed, shared, and comprehended by staff members. Employee ability to work to produce desired goods and services to achieve organizational objectives depends to a great extent on their competence and skill to perform their jobs. This makes employee training imperative and very crucial. The emphasis placed by organizations on employee training is implicitly emphasis placed on employee utilization, productivity, commitment, motivation and growth. Training employees puts them in tune with the demands of their jobs and existential circumstances. Therefore, companies must thus make sure that workers who lack the requisite skills are assisted in acquiring them, and those who do receive assistance in updating them. Nwachukwu (1988) posits that training 'is organizational effort aimed at helping an employee to acquire basic skills required for the efficient execution of the functions for which he was hired'. Okere (2013) observed that: "Training is a process of learning a sequence of programmed behavior ... it gives people an awareness of the rules and procedures to guide their behavior... attempts to improve their performance on the current job or prepare them for an intended job" (Okere, 2013:99). Therefore, employee training may

be seen as organizational teaching and practice aimed at enabling an employee develop skills and behavior required for the efficient and effective performance of the functions for which he was hired.

Scholars in the field of management and organizational theory like Nwoka (2019); Okere (2013); Nwachukwu (1988), have identified certain purposes for which organizations embark on employee training programmes. They include: skill development, attitude modification, education, development. The method and technique used for employee training is often a matter of convenience, intensity of the training required and organizational policy. Methods of employee training include: (a) On the job training (b) Conferences (c) Apprenticeship programmes training (d) Classroom training method (e) Lectures (f) Case study. Other methods of training include the use of television, video tape recorders, CDs and DVD etc.

### **Objectives and Importance of Work Process Reengineering (WPR)**

Work process reengineering objectives and importance are to:

- (1) Improve efficiency, effectiveness, and performance of manufacturing firms.
- (2) Enhance quality, customers' satisfaction, increase agility or responsiveness to emerging changes in the market conditions and customers' needs, especially technological advancement in manufacturing industry.
- (3) Improve competitiveness by adopting the latest best practices, leveraging on current technology and new innovative processes, especially redesigning business processes in manufacturing industry in Nigeria.
- (4) It should be noted that the objectives of work Process Reengineering is to help organizations reimagine and reinvent their existing processes and redesign them to achieve extraordinary results more than ever before.
- (5) Achieve cost savings, cost reduction, cost control and effective cost management strategies in the manufacturing companies in Nigeria.

### **Organizational Effectiveness (OE)**

Organizational theorists have defined organizational effectiveness (OE) in various ways. Cunningham (2017) maintained that "the concept of organizational effectiveness is an elusive one; there is no single or adequate way of defining it". Similarly, Dhooper and Gupta (2022) assert that organizational effectiveness is a multifaceted and significant concept. Organizational effectiveness could be seen as a concept of how effective an organization is in achieving the outcomes the organization intends to achieve. There are different models of organizational effectiveness. Choosing a particular model for

organizational effectiveness will undoubtedly affect how a business chooses to measure and make improvements, but despite these differences, the same indicators of organizational effectiveness can offer insight into the efficiency and effectiveness of a business. These models offer different perspectives on how to view, conceptualize, and measure organizational effectiveness. These perspectives can be based on, for example, how well an organization meets its stated objectives, the efficiency of business functions and process, how well an organization meets the needs of its stakeholders, and how well an organization can obtain and use resources.

Rojas (2012) argues that organizational effectiveness incorporates both economic and non-economic or behavioural dimensions. In order to get a clear picture of an organization's effectiveness, it is necessary to develop a clear set of criteria to evaluate. Since no two organizations will have the same set of criteria, for-profit organizations measure effectiveness differently through self-assessment, and as a result, a company may decide to express the assessment's finding in terms of particular goals attained or desired. Organizational effectiveness points towards effective, prudent and strategic use of all the organizational resources - human, finance and technological resources for creating competitive advantage. Therefore, organizational effectiveness can be understood as the extent to which a company's goals align with its actual outcomes. It acts as a measure of how well internal processes support the original vision. Each employee plays a role in achieving organizational effectiveness by contributing through their performance, skills, experience, and motivation. Thus, organizational effectiveness remains a subjective evaluation.

On the relationship between effectiveness and efficiency, organizational effectiveness connotes the idea of internal efficiency, pursuit of worthwhile goals, the attainment of the latter and the development of employees. Thus, if efficiency is the increase in the level of output per revenue generated by input or expenditure, efficiency is a substance of effectiveness. Effectiveness can be assessed in nearly every process that contributes to an organization's operations. Efficiency always relates to the resources or financial costs involved and the outcomes achieved from an action. Therefore, the question of what efficiency actually is in any given situation must remain in part a subjective rather than a precise figure. Efficiency is a substance of effectiveness. In this study, organizational effectiveness is defined as the extent to which an organization is able to acquire and utilize resources efficiently to satisfy customers, motivate employee and achieve objectives being flexible and adaptive to situations in a profitable manner.

### **Measures of Organizational Effectiveness**

In this study, organizational effectiveness is evaluated using the following variables: efficiency, organizational flexibility and customer satisfaction.

#### **Efficiency**

Efficiency refers to an organization's capacity to implement its plans utilizing minimum feasible expenditure of resource. It is an important factor in the firm's organizational effectiveness; this being the ease and degree of success with which the organization is able to accomplish its aims. Organizational

efficiency focuses on enhancing effectiveness by minimizing resource usage, including time and money, while still achieving the desired goals. It is measured in terms of time, effort, and overall performance. Organizational efficiency refers to the relationship between the resources used (inputs) and the goods or services produced (outputs). Simply put, an organization is more efficient when it can generate a higher output using the same amount of resources. For example, if an organization can make 80 bicycles with X value of resources it is more efficient than another that can only make 60 identical bicycles with the same value of resources. Efficiency is closely linked to productivity, and a key priority for managers is to sustain or enhance productivity within their team and organization (Ostroff and Schmitt, 2013).

Businesses can assess efficiency by examining the use of resources, time, or costs. Resource efficiency is achieved when organizations use their assets effectively to reduce waste, while time efficiency means meeting objectives within a designated period or sooner. Cost-efficient operations allow a business to produce and deliver goods at a low cost while making a profit. An organization's efficiency is evaluated based on how successfully it achieves its predetermined objectives. A key measure of organizational effectiveness is the extent to which it meets its goals. This can be assessed by analyzing the efficiency of various business functions, areas, and processes. Factors such as cost-effectiveness, speed, and overall efficiency in reaching objectives play a crucial role. A fundamental approach is to compare expenditures with returns, treating each business project or process as an investment and assessing its outcomes as the return on investment. This serves as one of the clearest indicators of organizational effectiveness. In this context, organizational effectiveness is essentially a cost-benefit analysis. Organizations that achieve or surpass their established goals are deemed more effective than those that fall short.

### **How to Measure Efficiency**

Efficiency is typically assessed by comparing the useful output to the total input. Thus, efficiency in a productive enterprise is defined as  $E = O/I$ .

Where: E = efficiency

O = output

I = input

Efficiency can be calculated by dividing the output by a standard input rate and multiplying the result by 100 to express it as a percentage. This method can be applied to evaluate the efficiency of an individual employee, as team, or even entire sector of the economy (Davis and Pett (2002); Nwachukwu (1988)). Thus, for an organization to achieve efficiency it must focus on opportunities to produce revenue, to create market, and to effect changes on the economic characteristics of existing products. Maximizing results for survival defines efficiency, while effectiveness serves as the cornerstone of success. As Drucker (1961) stated, efficiency focuses on performing tasks correctly, whereas effectiveness emphasizes choosing the right tasks. Efficiency is an integral part of effectiveness.

An employee's job performance has a direct impact on their contribution to the efficiency and outcomes of a business unit. In turn, the performance of each business unit influences the overall success of the organization. Various efficiency indicators, such as partial, complex, social, corporate, regional, and

macroeconomic, are used to assess an entity's efficiency. Nwoka (2015) argues that corporate efficiency expresses the efficiency of the given organization or plant through supply, requirement, productivity and output-related indicators. Several factors can impact employee work performance efficiency, including management, work design, rules and practices, organizational culture, values and mission, technology, work environment, employee engagement, and supervision.

### **Organizational Flexibility**

Every business enterprise is embedded in an environment with which it has to interact. Organizational flexibility is the capacity of an organization to quickly adjust to changes in its environment. Thus, an organization is flexible if it is capable of multiple responses to its environment. Cherry (2021) describes organizational flexibility in terms of managerial capability to quick responsiveness. Organizations need to adapt to environmental changes to remain viable and achieve success. Organizational flexibility allows enterprises to access innovation resources while also enhancing their adaptability in dynamic and complex environments. In other words, it enables businesses to quickly adjust to external changes and efficiently carry out innovation processes. However, there is no widely accepted, practical, and operational method for measuring organizational flexibility. The major basis for strategy formulation and strategic choice is the information gathered from environmental scanning; strengths, weaknesses, opportunities and threats (SWOT) analysis. The environment of the organization is categorized into:

- a. **External environment:** This consists of a large number of factors like international and local economy, technology, natural factors, political systems etc.
- b. **Internal environment:** The resources, behavior, strengths, weaknesses, synergy and distinctive competences constitute the internal environment of an organization.

Strategic flexibility, as a reactive capability, refers to an organization's ability to respond and adapt to shifts in the business environment.

### **Customer Satisfaction**

Customer satisfaction (often abbreviated as CSAT or Csat) is a term more often used in marketing. It measures how products and or services put in the market by an organization meet or surpasses the expectation of customers. Customer satisfaction refers to the proportion or number of customers whose experiences with a company, its products, or its services surpass predefined satisfaction benchmarks. It is a subjective and abstract concept, as the way satisfaction is perceived and expressed differs among individuals and across various products or services (Rojas, 2012). Satisfaction is influenced by a combination of psychological and physical factors that are linked to behaviours like repeat purchases and recommendations. Additionally, the level of satisfaction can fluctuate based on the alternatives available to the customer and comparisons with other products in the market.

Customer satisfaction is a crucial performance metric in business and is often included in a balanced scorecard. In a competitive market, where companies strive to attract and retain customers, it serves as a key differentiator and plays an essential role in business strategy. Ideally, businesses continuously

gather feedback to enhance customer satisfaction. It also acts as an early indicator of customer loyalty and purchase intentions, making it one of the most commonly tracked measures of market perception. In literature, the factors influencing satisfaction are examined from various perspectives. These considerations range from psychological to physical aspects and encompass both normative and positive dimensions

A customer's expectations about a product tell us how he anticipates that product will perform. Consumers may have various "types" of expectations when forming opinions about products anticipated performance. Miller (2017) identified four types of expectations: ideal, expected, minimum tolerable and desirable. Miller further identified specific expectations related to cost, product characteristics, the effort required to gain benefits, and social values. The performance of the product received is crucial, as it enables comparisons with these expectations.

### **Aim and Objectives of the Study**

This study was aimed at examining the relationship between work process reengineering (WPR) and organizational effectiveness (OE) of manufacturing firms in Rivers State, Nigeria. For this reason, the study was designed to achieve the following objectives. To:

1. Examine the extent to which work process reengineering affect organizational efficiency of manufacturing firms in Rivers State, Nigeria.
2. Examine the extent to which work process reengineering affect organizational flexibility of manufacturing firms in Rivers State, Nigeria.
3. Examine the extent to which work process reengineering affect customer satisfaction of manufacturing firms in Rivers State, Nigeria.

### **Research Questions**

It is hoped that the findings of this research have provided answers to the following questions:

1. What is the relationship between work process reengineering and organizational efficiency of manufacturing firms in Rivers State, Nigeria?
2. What is the relationship between work process reengineering and organizational flexibility of manufacturing firms in Rivers State, Nigeria?
3. What is the relationship between work process reengineering and customer satisfaction of manufacturing firms in Rivers State, Nigeria?

### **Hypotheses**

To meet the need for statistical test on the data collected based on the questions above, the following hypotheses were formulated:

- Ho1.** There is no significant relationship between work process reengineering and organizational efficiency of manufacturing firms in Rivers State, Nigeria.

- Ho<sub>2</sub>.** There is no significant relationship between work process reengineering and organizational flexibility of manufacturing firms in Rivers State, Nigeria.
- Ho<sub>3</sub>.** There is no significant relationship between work process reengineering and customer satisfaction of manufacturing firms in Rivers State, Nigeria.

## **Methodology**

The quasi-experimental research design was adopted for the research design. This design, sometimes called a “survey”, is suitable for correlational research such as this. Specifically, field study, a kind of cross-sectional survey was adopted. Field study is a detailed analysis of a selected number of cases. The population consists of employees of manufacturing firms operating in Rivers State, Nigeria. Data from the Manufacturers Association of Nigeria (MAN), Rivers State branch 2024, reveals that forty-five (45) manufacturing firms are registered with the association, and do business in Rivers State, Nigeria. From the employees of the respective firms, samples were taken for this study. The higher the degree of confidence, the larger the sample required to give the required precision. The confidence level for this study was set at 95 percent (0.05%). Another factor that was considered in determining the size of the sample is the maximum error allowed in estimating the population mean. This is the extent to which the sample findings are different from what they would be if all the sampling units in the target population had been studied. Effort was, however, made to ensure sampling error was minimized in order to maximize representativeness of the sample. It is, however, important to note that no researcher can be certain of the representativeness of a sample unless the entire population is tested.

For this study, the researcher employs the Krejcie and Morgan sample size determination table with a sample size of 254. The researcher’s instrument for data collection is the questionnaire. To ensure validity of the instrument, draft copies of the study questionnaire were appraised by other test and evaluation experts from the university whose constructive criticisms and corrections were taken into consideration to ensure the questionnaire contained all the relevant dimensions of the study. Reliability of the questionnaire was evaluated using Cronbach’s Alpha  $\alpha$  test which measures internal consistency. The Cronbach’s Alpha  $\alpha$  test technique was used to measure the questionnaire internal consistency. Measure stability dimension of reliability was examined using the test-retest method. This emphasizes reliability across time. In this study, data obtained from the respondents were analyzed in three main categories: the primary, the secondary and the tertiary levels. All tests for the study were carried out using the Statistical Package for the Social Sciences (SPSS) version 25.0.

## Results

**Table 1: Summary of Descriptive Statistics on Work Process Reengineering Purveyed by Redesigned Work Processes in Manufacturing Firms in Rivers State, Nigeria.**

| SN | Redesigned Work Processes                                                              | N=251       |             | Remark   |
|----|----------------------------------------------------------------------------------------|-------------|-------------|----------|
|    |                                                                                        | Mean        | SD          |          |
| 1  | I have shorter work cycle times                                                        | 3.20        | 0.94        | *        |
| 2  | I have achieved great improvement in productivity.                                     | 3.22        | 0.93        | *        |
| 3  | I have improved on my quality of work.                                                 | 3.55        | 0.54        | *        |
| 4  | I feel fulfilled in doing my job.                                                      | 3.31        | 1.02        | *        |
| 5  | I am able to deliver high quality work on time and take responsibility for my actions. | 3.30        | 0.97        | *        |
| 6  | I have respect and commitment to deliver on customer value and expectations.           | 3.32        | 0.96        | *        |
|    | <b>Grand mean</b>                                                                      | <b>3.32</b> | <b>0.75</b> | <b>*</b> |

\*High extent

Source: SPSS output - Researcher's desk 2024

The result from Table 1 shows the summary of descriptive statistics on Work Process Reengineering purveyed by redesigned work processes in manufacturing firms in Rivers State, Nigeria. It shows that the grand mean rating of the respondents over work reengineering purveyed by redesigned work processes in manufacturing firms in Rivers State, Nigeria was 3.32, SD=0.75. The result shows that the respondents strongly indicated that they have improved on their quality of work (M=3.55, SD=0.54), this was followed by the fact that they have respect and commitment to deliver on customer value and expectations (M=3.32, SD=0.96), they feel fulfilled in doing their job (M=3.31, SD=1.02), they are able to deliver high quality work on time and take responsibility for their actions (M=3.30, SD=0.97) and they have achieved great improvement in productivity (M=3.22, SD=0.93) among others.

**Table 2: Summary of Descriptive Statistics on the Organizational Effectiveness Purveyed by Efficiency in Manufacturing Firms in Rivers State, Nigeria.**

| SN | Efficiency                                                                                   | N=251 |      | Remark |
|----|----------------------------------------------------------------------------------------------|-------|------|--------|
|    |                                                                                              | Mean  | SD   |        |
| 7  | In my organization waste of resources is minimized as jobs are completed within time limits. | 3.34  | 0.57 | *      |
| 8  | In my organization output is maximized.                                                      | 3.41  | 0.55 | *      |

|                   |                                                             |             |             |          |
|-------------------|-------------------------------------------------------------|-------------|-------------|----------|
| 9                 | My organization makes profit                                | 3.37        | 0.57        | *        |
| 10                | My organization's profit is more than its cost              | 3.18        | 0.66        | *        |
| 11                | My organization is able to achieve its business objectives. | 3.47        | 0.59        | *        |
| 12                | My organization is doing well in its industry.              | 3.27        | 0.91        | *        |
| <b>Grand mean</b> |                                                             | <b>3.34</b> | <b>0.37</b> | <b>*</b> |

**Source:** SPSS output - Researcher's desk 2024

The result from Table 2 shows the summary of descriptive statistics on the organizational effectiveness purveyed by efficiency in manufacturing firms in Rivers State, Nigeria. It shows that the grand mean rating of the respondents over organizational effectiveness purveyed by efficiency in manufacturing firms in Rivers State, Nigeria was 3.34, SD=0.37. The result shows that the respondents strongly indicated that their organization was able to achieve its business objectives (M=3.47, SD=0.59), this was followed by the fact that in their organization output is maximized (M=3.41, SD=0.55), their organization makes profit (M=3.37, SD=0.57). In their organization waste of resources is minimized as jobs are completed within time limits (M=3.34, SD=0.57), their organization is doing well in its industry (M=3.27, SD=0.91) and their organization's profit (income) is more than its cost (M=3.18, SD=0.66).

**Table 3: Summary of Descriptive Statistics on the Organizational Effectiveness Purveyed By Flexibility in Manufacturing Firms in Rivers State, Nigeria.**

| SN         | Flexibility                                                                                                 | N=251       |             |          |
|------------|-------------------------------------------------------------------------------------------------------------|-------------|-------------|----------|
|            |                                                                                                             | Mean        | SD          | Remark   |
| 13         | My organization plans its operations and needs.                                                             | 3.72        | 2.69        | *        |
| 14         | My organization's operations are planned to ensure smooth running of its affairs in the present and future. | 3.62        | 0.51        | *        |
| 15         | My organization employs people from diverse cultures and races.                                             | 3.49        | 0.61        | *        |
| 16         | My organization responds quickly to demands on it from the environment.                                     | 3.39        | 0.92        | *        |
| 17         | My organization's products meet the demands of customers in the market.                                     | 3.37        | 0.82        | *        |
| 18         | My organization makes timely changes to ensure that future demands on it by customers are met.              | 3.41        | 0.91        | *        |
| Grand mean |                                                                                                             | <b>3.50</b> | <b>0.63</b> | <b>*</b> |

**Source:** SPSS output - Researcher's desk 2024

The result from Table 3 shows the summary of descriptive statistics on the organizational effectiveness purveyed by flexibility in manufacturing firms in Rivers State, Nigeria. It shows that the grand mean

rating of the respondents over organizational effectiveness purveyed by flexibility in manufacturing firms in Rivers State, Nigeria was 3.50, SD=0.63. The result shows that the respondents strongly indicated that their organization plans its operations and needs (M=3.72, SD=2.69), this was followed by the fact that their organization's operations are planned to ensure smooth running of its affairs in the present and future (M=3.62, SD=0.51), their organization employs people from diverse cultures and races (M=3.49, 0.61), their organization makes timely changes to ensure that future demands on it by customers are met (M=3.41, SD=0.91), their organization responds quickly to demands on it from the environment (M=3.39, SD=0.92) and their organization's products meet the value, expectations and demands of customers in the market (M=3.37, SD=0.82).

**Table 4: Summary of Descriptive Statistics on the Organizational Effectiveness Purveyed By Customer Satisfaction in Manufacturing Firms in Rivers State, Nigeria.**

| SN | Customer Satisfaction                                          | N=251       |             |          |
|----|----------------------------------------------------------------|-------------|-------------|----------|
|    |                                                                | Mean        | SD          | Remark   |
| 18 | My organization's products meet the customers' expectations.   | 3.33        | 0.97        | *        |
| 19 | Customers purchase more of our products                        | 3.35        | 0.95        | *        |
| 20 | My organization's customer service personnel are well trained. | 3.49        | 0.63        | *        |
| 21 | My organization enjoys repeat business.                        | 3.05        | 1.02        | *        |
| 22 | In my organization referrals are a major source of sales.      | 3.00        | 0.91        | *        |
| 23 | My organization's sales figures are increasing over time.      | 3.16        | 0.82        | *        |
|    | <b>Grand mean</b>                                              | <b>3.23</b> | <b>0.71</b> | <b>*</b> |

**Source:** SPSS output - Researcher's desk 2024

The result from Table 4 shows the summary of descriptive statistics on the Organizational Effectiveness purveyed by customer satisfaction in manufacturing firms in Rivers State, Nigeria. It shows that the grand mean rating of the respondents over organizational effectiveness purveyed by customer satisfaction in manufacturing firms in Rivers State, Nigeria was 3.23, SD=0.71. The result shows that the respondents strongly indicated that their organization's customer service personnel are well trained (M=3.49, SD=0.63), customers purchase more of our products (M=3.35, SD=0.95), their organization's sales figures are increasing over time (M=3.16, SD=0.82), their organization's products meet the customers' expectations (M=3.33, SD=0.97) and their organization enjoys repeat business (M=3.16, SD=0.82).

### **Bivariate Analysis**

**H<sub>01</sub>.** There is no significant relationship between work process reengineering and organizational efficiency of manufacturing firms in Rivers State, Nigeria.

**Table 5: Summary of Linear Regression Analysis on the Relationship between Work Process Reengineering and Organizational Efficiency of Manufacturing Firms in Rivers State, Nigeria.**

|   |            | Unstandardized Coefficients |            | Standardized Coefficients |        |      |
|---|------------|-----------------------------|------------|---------------------------|--------|------|
|   |            | B                           | Std. Error | Beta                      | t      | Sig. |
| 1 | (Constant) | 2.308                       | .134       |                           | 17.270 | .000 |
|   | Leadership | .302                        | .039       | .444                      | 7.828  | .000 |

a. Dependent Variable: Efficiency,  $y=2.308+.302x$

**Source:** SPSS output - Researcher's desk 2024

The result from Table 5 shows the summary of linear regression analysis on the relationship between work process reengineering and organizational efficiency of manufacturing firms in Rivers State, Nigeria. It shows that the relationship between work process reengineering and organizational efficiency of manufacturing firms in Rivers State, Nigeria was positive and strong (Beta=.444). The regression equation also shows that any increase in the value of work process reengineering may lead a concomitant increase in the value of organizational efficiency of manufacturing firms in Rivers State, Nigeria and vice-versa. The result further indicated that there is significant relationship between work process reengineering and organizational efficiency of manufacturing firms in Rivers State, Nigeria (F=61.274, p=.000). The null hypothesis was rejected at .05% level of significance.

**H02.** There is no significant relationship between work process reengineering and organizational flexibility of manufacturing firms in Rivers State, Nigeria.

**Table 6: Summary of Linear Regression Analysis on the Relationship between Work Process Reengineering and Organizational Flexibility of Manufacturing Firms in Rivers State, Nigeria.**

|   |            | Unstandardized Coefficients |            | Standardized Coefficients |        |      |
|---|------------|-----------------------------|------------|---------------------------|--------|------|
|   |            | B                           | Std. Error | Beta                      | t      | Sig. |
| 1 | (Constant) | 1.174                       | .206       |                           | 5.697  | .000 |
|   | Leadership | .680                        | .060       | .586                      | 11.417 | .000 |

a. Dependent Variable: Flexibility,  $y=1.174+.680x$

**Source:** SPSS output - Researcher's desk 2024

The result from Table 6 shows the summary of linear regression analysis on the relationship between work process reengineering and organizational flexibility of manufacturing firms in Rivers State, Nigeria. It shows that the relationship between work process reengineering and organizational flexibility of manufacturing firms in Rivers State, Nigeria, was positive and strong (Beta=.586). The regression equation also shows that any increase in the value of work process reengineering may lead a concomitant

increase in the value of organizational flexibility of manufacturing firms in Rivers State, Nigeria and vice-versa. The result further indicated that there is significant relationship between work process reengineering and organizational flexibility of manufacturing firms in Rivers State, Nigeria ( $F=130.339$ ,  $p=.000$ ). The null hypothesis was rejected at .05% level of significance.

**H<sub>03</sub>.** There is no significant relationship between work process reengineering and customer satisfaction of manufacturing firms in Rivers State, Nigeria.

**Table 7: Summary of Linear Regression Analysis on the Relationship Between Work Process Reengineering and Customer Satisfaction of Manufacturing Firms in Rivers State, Nigeria.**

|                          |            | Unstandardized      |                   | Standardized        |          |             |
|--------------------------|------------|---------------------|-------------------|---------------------|----------|-------------|
| <b>r= .806, r²=.650</b>  |            | <b>Coefficients</b> |                   | <b>Coefficients</b> |          |             |
| <b>F=462.932, p=.000</b> |            | <b>B</b>            | <b>Std. Error</b> | <b>Beta</b>         | <b>T</b> | <b>Sig.</b> |
| 1                        | (Constant) | -.407               | .171              |                     | -2.379   | .018        |
|                          | Leadership | 1.064               | .049              | .806                | 21.516   | .000        |

a. Dependent Variable: Customer Satisfaction,  $y = 1.064x - .407$

**Source:** SPSS output - Researcher's desk 2024

The result from Table 7 shows the summary of linear regression analysis on the relationship between work process reengineering and customer satisfaction of manufacturing firms in Rivers State, Nigeria. It shows that the relationship between work process reengineering and customer satisfaction of manufacturing firms in Rivers State, Nigeria, was positive and strong ( $Beta = .806$ ). The regression equation also shows that any increase in the value of work process reengineering may lead a concomitant increase in the value of customer satisfaction of manufacturing firms in Rivers State, Nigeria and vice-versa. The result further indicated that there is significant relationship between work process reengineering and customer satisfaction of manufacturing firms in Rivers State, Nigeria ( $F = 462.932$ ,  $p = .000$ ). The null hypothesis was rejected at .05% level of significance.

## Discussion of Findings

### Work process reengineering (WPR) and organizational efficiency of manufacturing firms

The result from Table 5 showed that the relationship between work process reengineering and organizational efficiency of manufacturing firms in Rivers State, Nigeria was positive and strong ( $Beta = .444$ ). The regression equation also shows that any increase in the value of WPR may lead a concomitant increase in the value of organizational efficiency of manufacturing firms in Rivers State, Nigeria and vice-versa. The result further indicated that there is significant relationship between WPR and organizational efficiency of manufacturing firms in Rivers State, Nigeria ( $F = 61.274$ ,  $p = .000$ ). The null hypothesis was rejected at .05% level of significance. This finding is in agreement with an earlier

finding of Ottih (2016: 4), that “every business is continually faced with new sets of environmental conditions which cause it to rethink, re-adjust, re-position itself or re-establish its *raison d’être*, its niche”. Ottih went further to argue that an organization must continuously be evaluated for suitability and re-engineer its work processes as it grows and its purpose, objectives, strategies, domain and general mandate change. Therefore, organizations need to recognize and break away from outdated rules, designs and functional assumptions that underlie their operations as to ensure efficiency. No organization in present times can achieve efficiency without time to time redesigning of its work processes to achieve a fit with the peculiarity of its business environment and need in order to succeed. Manufacturing firms in Rivers State, Nigeria, must reengineer their work processes as to be efficient and thrive.

### **Work process reengineering (WPR) and organizational flexibility of manufacturing firms**

The result from Table 6 showed that the relationship between work process reengineering and organizational flexibility of manufacturing firms in Rivers State, Nigeria was positive and strong (Beta=.586). The regression equation also shows that any increase in the value of work process reengineering may lead a concomitant increase in the value of organizational flexibility of manufacturing firms in Rivers State, Nigeria and vice-versa. The result further indicated that there is significant relationship between work process reengineering and organizational flexibility of manufacturing firms in Rivers State, Nigeria ( $F=130.339$ ,  $p=.000$ ). The null hypothesis was rejected at .05% level of significance. This finding is in agreement with earlier findings of Iyang (2018), Wojtczuk-Turek and Turek (2015). Findings by Iyang (2018), established that employees develop competences, skills and adaptive behaviour because today's organizations are facing dynamic and changing environments that emphasize the importance of enhanced organizational flexibility and adaptation. Increased competition, changing markets, innovation, and advances in technology are some of the forces that require organizations to continuously change and develop. In turn, this fast pace of environmental and organizational change implies heightened pressure on employee to be increasingly adaptable, versatile, and tolerant of uncertainty in order to perform effectively in the new or changing work environment. The competency to successfully adjust to a changing work context is a key quality of effective employees in today's organizations. Thus, organizational flexibility of manufacturing firms in Rivers State, Nigeria, is hinged on employee adaptiveness to environmental factors.

Furthermore, findings of Wojtczuk-Turek and Turek (2015) establishes that innovative leadership generate market flexibility for organizations and hence their competitiveness. Leadership is considered as firm-level resources capable of influencing flexibility of the firm in periods of market turbulence. Leadership behaviour influences firm's competitiveness. It is more viable to use this firm-level resource to create market flexibility to amplify the effect. This means, when leadership propels the flexibility drive in combination with employees' individual flexibility and their leadership/positive character traits, such as optimism, hope, resistance or self-efficacy, the firm is able to reengineer its work processes, connect, coordinate and synchronize functional units to take advantage of new product and market opportunities based on the innovative behaviors in the workplace.

### **Work process reengineering (WPR) and customer satisfaction of manufacturing firms**

The result from Table 2 showed that the relationship between work process reengineering and customer satisfaction of manufacturing firms in Rivers State, Nigeria was positive and strong ( $\text{Beta}=.806$ ). The regression equation also shows that any increase in the value of work process reengineering may lead a concomitant increase in the value of customer satisfaction of manufacturing firms in Rivers State, Nigeria and vice-versa. The result further indicated that there is significant relationship between work process reengineering and customer satisfaction of manufacturing firms in Rivers State, Nigeria ( $F=462.932$ ,  $p=.000$ ). The null hypothesis was rejected at .05% level of significance. This finding is in agreement with earlier findings of Park and Deitz (2006); Hammer and Stanton (1995) that BPR initiatives have resulted in greater customer satisfaction and improved service delivery which established that no matter what the company's product or service may be, customer satisfaction is essential to any team's success. This can be viewed as the level of happiness connected to employee work which could lead to job satisfaction. In addition, effective employees (leaders) provide their team members/mates with the resources to serve their customers most effectively. Customer service is about culture.

Research shows that one major way to increase customer satisfaction is to reengineer work processes and to create avenue for employees to express themselves. Employees who improve their team leadership skills also enjoy increased satisfaction among their customers. High quality team leadership results in happier, more cohesive, and more productive team of employees who in turn provide better service to their customers. In addition, effective team leaders provide their team members/mates with the resources to serve their customers more effectively through adaptive leadership behavior – altering of work place behavior to achieve a fit to enhance goal attainment.

Satisfied, loyal customers are essential to the success of almost every business. A happy and loyal customer base can increase profitability for the organization in several ways:

- a. These customers tend to purchase more, and may be more likely to pay a premium for quality service.
- b. Expenses related to attracting new customers (i.e. marketing costs) can be reduced.
- c. Satisfied customers can increase business through “word of mouth” referrals.

Thus, work process reengineering makes the difference between success and failure of organization. The importance of WPR in customer service extends to empowering employees. An employee with job satisfaction will be positioned to improve the way he deals with customers and give them the attention and service they require to ensure customer satisfaction. Research findings reveal that employees of the surveyed manufacturing firms operating in Rivers State, Nigeria, with reengineered work processes, work effectively to ensure customer satisfaction.

### **Conclusion**

The study reveals that all the dimensions of work process reengineering (WPR) respectively had a significant and positive relationship with the measures of organizational effectiveness (OE) of manufacturing firms in Rivers State, Nigeria. Based on the specific objectives of this study and research

findings, the study therefore concludes that work process reengineering (WPR) greatly impact on the organizational effectiveness (OE) in manufacturing firms in Rivers state, Nigeria. Hence, WPR remains a powerful tool for manufacturing organizations seeking to enhance operational efficiency, reduce costs, and improve quality. As these businesses continue to navigate the complexities of a rapidly changing environment, WPR will remain relevant as a strategy for transformative growth, innovation and efficiency.

## **Recommendations**

Based on the findings, and conclusions of the study, the following recommendations are made:

1. Manufacturing firms in Rivers State, Nigeria, should make work process reengineering (WPR) a hallmark of their business strategy, to enhance effectiveness. It should be an ongoing process of organizational re-positioning, where continuous refinement and adaptation are critical for sustaining organizational competitiveness. Consequently, manufacturing firms in Rivers State, Nigeria, should reengineer their work processes to be in tune with time and environment as to ensure efficiency and goal attainment. Also, HR managers need to increase their capability of recruiting and acquiring persons with needful traits and skills for the right positions and must be able to maintain them.
2. The reengineering team must ensure management commitment from the top. Also, work process reengineering must touch the core aspects of the organization's work processes to ensure customer satisfaction.
3. Managers must ensure that work place grievances are duly addressed and resolved to ensure a peaceful work environment. They must create a friendly and cordial environment to enable employees express and develop themselves. This will help reduce the heightened pressure on employee to be increasingly adaptable, versatile, and tolerant of uncertainty in order to perform effectively in the new or changing work environment.
4. Human resource management (HRM) policies must be put in place to guide the effective usage of human resources in these organizations.
5. HR managers need to conduct routine and/or periodic employee training to curb or reduce knowledge gaps and modify workplace attitudes to enhance effectiveness.

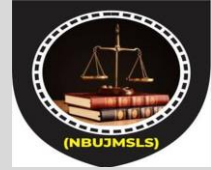
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## PROMOTING WOMEN'S DIGNITY FROM ISLAMIC PERSPECTIVE ON GENDER EQUALITY AND EMPOWERMENT: EXPLORATORY APPROACH

By

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### Abstract

*This paper explores the Islamic approach to promoting women's dignity and gender equality. It examines the Quranic and Hadith narratives that emphasize the importance of respecting women's rights and dignity. The paper also discusses the various ways in which Islamic principles can be applied to promote women's empowerment and challenge patriarchal norms. Islam make provision for equality between men and women in religious, social and economic life. Islam attached equal reward in every righteous good deed and equal punishment in every evil and sinful deeds. The work also explored that Muslim women has the right to work outside their home in order to contribute to the society. The work recommend that Muslim in general as well as the general public should study gender issues with caution so as not to misinterpret the primary source of Islam. By highlighting the Islamic perspective on women's dignity, this paper aims to contribute to a more nuanced understanding of the intersection between Islam and gender equality. It also avers that further research should be done in areas of Islam and religious and social equality between men and women.*

Keywords: Gender equality, Women's dignity, Employment, Gender Justice, Islamic perspective

### Introduction

The concept of women's dignity is a fundamental aspect of human rights and social justice. In Islam, the dignity of women is deeply rooted in the Quranic and Hadith narratives, which emphasize the importance of respecting women's rights and dignity. Gender recognition is an area of concern for most contemporary societies (Ibrahim & Adeoye, 2015). Specifically, there is a tradition of male domination in most human societies, resulting in the struggle for women's emancipation. The most note-worthy

among the fervent champions of women's emancipation are those men and women who in the name of Islam put out some mischievous allegations that Islam has in all respects negative images of woman. For most people, Islam is basically anti-women and anti-feminist. The Muslim woman is therefore stereotyped as one who is emotionally, psychologically and physically dependent on a man. She is in a sort of bondage, an object in material bond and not a subject in partnership. In short, she is oppressed and marginalized.

However, this paper concerns itself with the recognition of woman from the Islamic point of view as opposed to the belief of most people in and outside Nigeria. It follows therefore that this paper examines the liberation of woman by Islam from exploitation and oppression, and from inferiority in relation to man, for the purpose of social justice and human development. This paper seeks to explore the Islamic approach to promoting women's dignity and gender equality, with a focus on the Quranic and Hadith narratives that emphasize the importance of respecting women's rights and dignity. By examining the Islamic perspective on women's dignity, this paper aims to contribute to a more nuanced understanding of the intersection between Islam and gender equality. This paper explores the Islamic perspective on promoting women's dignity, gender equality, and empowerment. It examines the Quranic and Hadith narratives that emphasize the importance of respecting women's rights and dignity.

### **Position of women in cultural variations**

Before embarking upon a detailed discussion of the position of women in Islam, we propose first to survey in brief the position of women in European and other non-Islamic societies. Women in Europe were once looked upon as nonentities. Their positions brought about some funny questions such as: Has woman got a soul or not? If yes, what is the nature of her soul? Is it human or animal? Supposing she does possess a human soul, then what social and human position should she occupy in relation to man? Is she born as a slave to man or does she hold a position slightly superior to that of a slave? (Ahmed, 2020). Women were no more than means of diversion and entertainment for the licentious rich who applauded their appearances, in public out of sheer vanity and self-conceit. This did not signify any respect towards woman, she was important mainly because of the pleasure she brought to men.

This position of women remained unaltered during the periods of serfdom and feudalism. Women were cajoled, in their ignorance, sometimes by luxury and license, and many a time were content to live as animals, which is eating, drinking, bearing children, working day and night (Marsso & Hassan, 2018).

Even when the industrial revolution took place in Europe it brought in its beginning the worst possible sufferings for women. Women nonetheless at that time worked in some simple cottage industries such as are found in any agricultural society. In this way, they paid back the price to men for supporting them. It was later, women were given, to some extent, recognition with their male counter-parts as they were granted the rights to vote, work for themselves, receive wages similar to those of men, etc.

Similarly, in the work of Balogun, 1999, he maintained that in Chinese culture, woman had been regarded as the water or woe that washed away all good fortune. She was considered to be the property of her husband. She could be sold by him and would be inherited like a chattel by the heirs of the husband. She had no rights, and if there was no man in the house, she could not answer the call of a visitor, because she was not a complete human being.

Moreover, in Babylonian and Egyptian civilization, women could not participate in the affairs of state. All laws were made for women; men were out of their reach. Female slaves were kept in a cottage for gratifying male lust (Balogun, 1999).

Previously, women had no legal, social or political importance in Roman culture. Girls lived in absolute subjection, first to their fathers, and then to their husbands. Their husbands had absolute power over them (Doi, 1983) In the event of a divorce, the woman had no right of re-marrying at all. She could not hold any civil or public office, nor be a witness or tutor, nor adopt a child or be adopted nor make a will at all.

Mesopotamian society too was a male dominated one. Women were not given any regard whatsoever. They had no right to speak against the wishes of their masters, who had full authority over them. Rape and adultery were prevalent in their society. Girls could not choose the men they would marry; their consent was not necessary at all (Doi, 1983).

Similarly in Judaism, woman in Christianity was seen as the root cause of all evils and a pathway to hell fire. She was a daughter of falsehood, a sentinel of Hell, the enemy of peace, and through her. Adam lost paradise (Balogun, 1999). In addition, St. John Chrysostom said that she was an enviable evil, an eternal mischief, an attractive calamity, a domestic risk, a charming and decorated misfortune (cited by Aziz-us-Samad n.d). In the New Testament, there is a statement that suggests it is good for a man not to marry: "seek not a wife" (1 Corinthians 7:8). No wonder then that celibacy and spinsterhood have been the pinnacle of nobility of character in Catholic affairs. Because Paul advice in the above chapter and

verse emphasizes the benefits of singleness and the potential distractions of marriage, but also acknowledges the legitimacy of marriage.

In African traditional culture, the roles of woman were restricted to domestic affairs. In African Traditional religion the women were not given the same opportunities as the men. There were some ritual activities which were not supposed to be practiced by women, such as masquerades and Oro festivals in Yoruba land. In addition, women were not supposed to own property of their own, such as house, land or farm (Ahmed, 2020). Women were even prohibited from going to certain places in their husband homes and could not eat certain foods, especially after delivery. This scenario happened mostly in South- West, among the Yoruba. It is just in recent times that African women have developed self-awareness to own houses even estates, cars, land, shops, etc.

Furthermore, Balogun, S.U 1989 posit that there are proverbs attached to African women in a bid to stratify them culturally and make them feel inferior. There are numerous examples on record, such as:

- a. "Woman never reigns" (Igbo).
- b. "If you give your heart to a woman she will kill you" (Hausa).
- c. "Obedience to woman makes one enter hell" (Moorish). African Traditional Religion
- d. "Women have no mouth" (Beti-Cameroon).
- e. "Women who urinate from behind" (Yoruba).
- f. "If you give any woman a gift, she will deny, that is the reason why she does not have a beard on her jaw" (Ikwerre).
- g. "What the devil does in a year, an old woman does in an hour" (Kanuri).

These proverbs, from different parts of Africa, speak for themselves.

Before the birth of Islam, there was a period called Jahilliyah that is the period of ignorance. It was a time of disintegration and anarchy in the life of people, especially women. Their positions were shameful and disgraceful. Even the birth of a female child was a curse to her family (Marsso & Hassan, 2018). Quran 16:58 testifies to this: "When the news is brought to one of them at the birth of a female child his face darkens, and he is filled with inward grief."

In the marital bond, the woman was under the full control of her husband. She had no say in the affairs of her immediate family. The man had the power to divorce her and stop her from re-marrying. She could not inherit, but could be inherited after the death of her husband by the next of kin, whether she

liked it or not. As a result of the ill-treatment, the second rightly guided Khalifah said: "By Allah, we had not given any importance to woman in the Jahilliyah period until Allah revealed His guidance in respect of them and fixed whatever portion was to be fixed for them" (Ibrahim & Adeoye, 2015).

To sum up, one may say that all cultures of the world we have examined did not accord justice to women; instead they deprived them of their socio- political, economic and human rights. They were considered as classless citizens without much dignity.

### **Women's dignity in Islam**

According to Quranic teaching, woman was created of the same nature as Adam. Quran 16:72 says: "And God has made for you mates (and companions) of your own nature..." This verse describes women as mates to men. Thus, woman is seen as a human being, not a sub-human or a slave. The nature of the man-woman relationship is presented not merely as a sexual one, but as a total life partnership in all circumstances. Quran 7:26 also explains clearly thus:

O ye children of Adam, We have bestowed raiment upon you to cover your shame as well as to be an adornment to you But the raiment of righteousness, that is the best.

The above verse explains further the relationship of man and woman in their matrimonial affairs, which must be peaceful, respectful and careful. It should be seen as a blessing not a curse. It is similarly said in Quran 2:187: "... they are your garments and ye are their garments...." The matrimonial relations must be seen as protection, treasure and beauty, just as the body derives all these benefits from the garment. There should not be any cheating or ill-treatment between husband and wife, on this note the Prophet Muhammad said:

Fear Allah with regard to women. The best of you are those who behave kindly to their wives (Ibn Majah 636).

On the spiritual side, woman is independently responsible for herself, her belief and her religious rights. As such, she is equally responsible for rewards of her good deeds or punishment for her evil deeds. The obligation of both man and woman towards God is similar in all respects, as Quran 9:71 declares:

The believers, men and women are protectors one of another. They enjoin what is just. And forbid what is evil; they observe Regular prayers, practice regular Charity, and obey God and His Apostle. On them will God pour His mercy; for God is exalted in power and wise.

The Glorious Qur'an expressly indicates that there is no discrimination between the two sexes with regard to the place of spiritual importance. Quran has dignified the positions of the mother of 'Isa (Jesus), the mother of Musa, the wife of Zakariyah and the wife of Pharaoh. In addition, Islamic history records the exploits of many eminent and saintly women in Islam, such as Khadijah, Safiyyah and Aishah, the wives of Prophet Muhammad, and, more prominently, the famous Rabiyyatul Adawiyyah whose spiritual assessment raised her to a position of honour and admiration. Quran 4:124 reads: "Whoever does righteous deed, whether male or female... such will enter paradise and not the least injustice will be done to them." The importance of this verse is that it places woman in the right perspective as far as God's consciousness is concerned. She is a possessor of a free personality and enjoys equality with man in respect of her spiritual and moral status, which means they are independent of one another.

In the economic sphere, Islam liberates women. Women have long been enslaved economically. But Islam specifies for women economic rights such as the right of inheritance, although there is a disparity in the distribution of the inheritance, with man receiving more than woman. The greater share for man is because of the burden of man to care for woman financially. This is in the realm of the husband. Nevertheless the wife enjoys property and wealth from inheritance, and she is under no obligation to hand over her own share (UN Women, 2019).

Furthermore, Islam specifies for woman lawful trading activities. She needs a little assistance to support herself and her family as well. Even so, Islam objects to indecent work such that contradicts the Islamic legal system, especially in respect of dress and modesty. For instance, working as a dancer, bar maid or prostitute is not lawful even with the consent of her husband. We have on record numerous women who engaged in lawful trading activities and operated within the scope of Shari'ah. Women can learn handiwork, such as sewing, designing, painting textile materials, weaving baskets, making jewelry and ornaments, embroidering, knitting, making brooms, trading as well etc (UN Women, 2019).

However, the relevance of women's education to the economic life of any nation is beyond doubt. Education is a stimulating and positive force in human endeavor. To this end, Islam provides equal educational opportunity for both sexes. Imam al-Ghazal said "Wealth and property are the servants of body which is the vehicle of soul of which the essence is knowledge and for which there is honour of soul" (Ibrahim & Adeoye, 2015). Islam therefore opens the door of education to both sexes as a matter of obligation, especially the knowledge of Islamic precepts. Also, secular knowledge is highly endorsed

by Islamic sources. Nigeria and other places in West Africa seed women professionals in the fields of medicine (especially gynecology), education, administration, law, journalism, and so on.

In spite of the enormous benefits from Western education, some Muslims are still averse to everything from the West. Thus, they are not ready to support the idea of women's education. In their parochial view, western education brings about immoral practices. The other category consists of chauvinist husbands who keep their wives within the four walls of their houses for the sake of pseudo- purity. Their wives therefore become unable to contribute to the development of their countries. The two groups need proper enlightenment because they should understand that Islam is a progressive faith. Politically, women participated in public affairs during the time of Prophet Muhammad. They discussed freely with him, asked questions, and received lectures from him. His wife, Aishat, was a public servant. Abdur-Rahman b. Awf was said to seek the opinion of Muslim women before the election of Uthman b. Affan, the third rightly guided Khalif. The wives of Prophet Muhammad were also consulted throughout the period of rightly guided Khalifs on political issues. It is reported that the wife of Habeeb b Maslamah, a commander of Muslim forces, participated in the encounter of Muslims with the allied forces of Rome and Turkey (Ahmed, 2020). In public affairs, women expressed their opinions freely.

The above discussion has been made to throw light on the fact that Islam has never made it a law that women should be restricted to the four walls of their family house or compound. Despite the misinterpretation of the Quran by some Muslim scholars, the veil and seclusion of women are not fundamentally based on a clear text of the Quran. The Quran enjoins women to live virtuous lives and to dress modestly by covering themselves with the exception of face and hands. It was recognized during the time of Prophet Muhammad that women could participate in congregations of men, especially in the mosques, unveiled. It is also well confirmed that the mosques in the time of Prophet Muhammad contained no screens to separate the two sexes. The only difference was that women stood in rows behind the men (Ali, 1986). Quran 24:31 reads: And say to the believing females that they should lower their gaze and guard their modesty... that they should not let all their attractiveness to be known except what the necessary compels for, that they should further cover their chest... and let them not stamp their feet so as to reveal what they hide of their adornment.

The above and other verses alike command the woman to dress modestly and comport herself in public places. It would be wrong, therefore, to claim that Muslim women should be restricted to a prescribed uniform. As regards the seclusion of women, some scholars consider it as an element of oppression.

After all, there is no clear specific legislative detail directing all Muslim women to maintain seclusion or purdah. The seclusion of women will seriously discourage Western education and accelerate their early marriage. Islam has provided educational rights for women and they have to claim them. They have to be educated in order to fulfill their social, economic, religious and political responsibilities (Marsso & Hassan, 2018).

In the sphere of possession and custodianship of public property, women were equal to if not more valued than men. Women generally are more trustworthy than men, especially in keeping money or documents. To buttress this point, a copy of al-Quran was kept with Hafsa, wife of Prophet Muhammad. She kept the copy very carefully and returned it at the appropriate time without interpolation or mutilation. In this regard, the provisions on legal evidence, where two women are required while one man will do for evidence to be accepted by a court, does not mean that a woman is no better than half a man. The reason is that women by their nature are vehemently emotional, impressionable and liable to digress from the facts of the case in court. Therefore, it is wise to have a woman corroborate another. However, it must be added here that a lone woman's evidence is accepted as being quite dependable if she is a specialist in female diseases and she appears as a witness in a case concerning this matter (Ahmed, 2020)

### **Conclusion and Recommendation**

From all that has been discussed in this paper, it could be seen that the role and recognition accorded to women in Islam show clearly that women are not inferior to man in all human activities.

During the time of Prophet Muhammad, the ideal was maintained as he was there to rectify misinterpretations of the female role. After his death, many changes took place through ethnic sentiment or personal interest. Islam has been acculturating, and adjustments have been made to the extent of relegating the position of women to the background. The authoritative material, available both in al-Quran and in the practice of Prophet Muhammad, are enough to remove women from oppressive tendencies and suppressive sexuality

As a matter of fact, the ill-treatment of women in many Muslim states and countries has its origin in patriarchal non-Islamic cultural traditions which have been accentuated by external influence. Islam speaks of freedom of the individual as sacred. If equal opportunity is not given to the individual, there is bound to be social stagnation of women in cultural variations. Equally. Islam recognizes man and

woman as complementary to each other and sees woman not as an accessory or a rival or a subject of oppression in relation to man, but as a partner in progress.

It is important that we should look forward to women's involvement in politics generally. It is equally interesting to suggest that we need a woman president in Nigeria in particular and other nations in general. It is too obsolete in outlook to insist that only men must rule even in the Nigeria situation where a large number of our leaders have failed the country woefully. Women possess personality, intellect, administrative acumen, political prowess and good spirit as the man or even more. The Glorious Quran gives an account of the Queen of Sheba who was brave, powerful, clever and intelligent, and democratically and successfully ruled her subjects.

More importantly, the education of the woman must be taken very seriously. They have to be enlightened so that they become aware of their social, political, religious and economic rights. Islam has enshrined their rights but it is left to them to claim them.

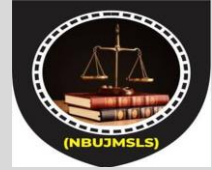
Finally, it is clear that Islam recognizes the status of women and gives them absolute recognition as well. Islam condemns the common belief of the devil. The status of woman in Islam is something unique, novel, reward able which has no similarity in other religions and cultures.

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## **The Effects of Brain Drain on Nigeria's Socio-Economic Development: A Study of skilled Migration**

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### **ABSTRACT**

With an emphasis on skilled migration, this study investigates how brain drain affects Nigeria's socioeconomic development. The study looks into how the nation's economic development, healthcare, education, and technological advancement are affected by the loss of qualified workers. A combination of statistics and personal stories is used to give a full description of the topic. The findings show that Nigeria's socioeconomic progress is significantly harmed by brain drain. including reduced economic growth, decreased quality of healthcare and education, and limited technological progress. The study comes to the conclusion that combating brain drain necessitates a multifaceted strategy that involves government initiatives to invest in education and training, retain qualified workers, and foster economic growth. The nation must raise the pay and working conditions for its core workforce if it hopes to bring about long-lasting reform. There are a variety of solutions to help the nation's experts stay, like paying them well and supplying adequate infrastructure.

**Keywords:** Brain drain, skilled migration, Nigeria, Healthcare, Human capital, migration policy

### **Introduction**

The philosophical phrase "brain drain," sometimes referred to as "human capital flight," refers to the movement of individuals to first and second world nations in pursuit of better prospects and living conditions. According to Romero (2013), the drain effect is the reduction in the human capital stock that occurs as a result of skilled emigration. This phenomenon has had a significant impact on Nigeria's political economy, leading to the loss of human capital, decreased productivity, stagnated innovation, and the depletion of skilled labour. An ineffective political structure that does not support the prominent modern scientific and technological breakthroughs within a person's country can lead to brain drain.

Talent from less developed regions is drawn to wealthy nations by "better standards of living and quality of life, higher salaries, access to advanced technology, and more stable political conditions," claim Dodani and LaPorte (2005). The amazing career chances for professionals in all fields of human endeavour in other nations are the main cause of brain drain.

Brain drain in Nigeria significantly impacts socio-economic development by depleting the workforce, reducing the quality of services, and hindering innovation. This loss of skilled professionals leads to shortages in critical sectors like healthcare and education, resulting in reduced productivity and potential for economic growth.

One of the main causes of Nigeria's confused state of taking one stride forward and six steps backward has been recognised as brain drain. In many nations, including Nigeria, it has been viewed as one of the main obstacles to achieving a truly global standard of development (Docquier and Rapoport, 2006; Emeghara, 2013). Given that Nigeria has been around for more than 60 years and is still having difficulty emerging from the third world, this portends poorly for the country.

Furthermore, there is no question that Nigeria has a large population of citizens in Europe and America due to the creativity of many Nigerians and the lack of opportunities for them to develop their abilities. The annoyance of these mobility concerns is that Nigeria has not given its inhabitants the opportunity to demonstrate their potential, therefore migration and brain drain have made the country's anti-development challenges worse. Even in adjacent nations like Ghana and the Benin Republic, studying abroad has become a source of pride, despite the fact that our colleges are now empty as a result of bad government policies. In terms of medical practice, it has been noted that many Nigerian physicians and nurses work in the UK, while our politicians who are unable to improve the medical system at home seek medical care in the UK.

Therefore, the migration of Nigerians has a twofold impact on the country: first, those who receive training in Nigeria and acquire the necessary skills depart and become resourceful in their new countries; second, in their quest for a better life, Nigerians have faced discriminatory treatment, including indiscriminate xenophobic attacks in South Africa and harsh treatment of Nigerians who have illegally migrated to Europe through Libya. Due to migration, many young girls are prostitution dealers in Europe today, some guys are drug dealers, and other people believe that they would rather die than go back to their native country.

There is nothing wrong with Nigerians wanting a "better life," but the burden of migration has been largely attributed to corruption. This paper aims to reveal the factors that have caused this movement and how they can be addressed. Even though there have been numerous studies on the effects of migration and brain drain on developing countries, this paper aims to give the reader a thorough understanding of these phenomena and how they affect Nigeria's development. It also issues a strong call to action for all well-meaning Nigerians to take action on the issue and effectively reduce the scourge of brain drain, which impedes Nigeria's progress.

## **Statement of the Problem**

Nigeria is experiencing a significant loss of skilled professionals to other countries, resulting in a brain drain that threatens the nation's socio-economic development. The country's healthcare, education, and technological sectors are particularly affected, with many skilled professionals seeking better opportunities abroad. This phenomenon has severe consequences, including reduced economic growth, decreased quality of healthcare and education, and limited technological progress. Despite the significance of this issue, there is a dearth of research on the effects of brain drain on Nigeria's socio-economic development, particularly in the context of skilled migration. This study aims to investigate the impact of brain drain on Nigeria's socio-economic development, with a focus on skilled migration, and to identify potential solutions to address this challenge.

## **Aim and Objectives of the Study**

With an emphasis on skilled migration, the study's aim is to examine how brain drain affects Nigeria's socioeconomic development and to pinpoint viable ways to deal with this issue.

1. To investigate the causes and effects of the push and pull forces that lead to brain drain in Nigeria, as well as how it affects the socioeconomic development of the nation.
2. To assess the impact of brain drain on Nigeria's economic growth, healthcare, education, and technological advancement.
3. To analyze the characteristics and motivations of skilled migrants from Nigeria.
4. To identify policies and strategies to retain skilled professionals and universities' lecturers in Nigeria and promote socio-economic development.

## **Research Questions**

1. What are Nigeria's brain drain's causes and effects?
2. What effects does brain drain have on Nigeria's technical innovation, healthcare, education, and economic growth?
3. What are the characteristics of skilled migrants from Nigeria, and what are their motivations for migrating?
4. What policies and strategies can be implemented to retain skilled professionals and universities' lecturers in Nigeria and promote socio-economic development?

## **Theoretical Framework**

Human capital theory says that putting effort into education and training significantly enhances personal wealth and the economy. Learning new things and gaining new skills helps a person earn more and improve their investment earning potential.

Along with what they hope to achieve, employees differ in their knowledge, skills, learning and abilities. Education and training help a worker provide more useful efforts than they could without it, stated McConnell et al. (2009) (p. Because human capital theory supports better organizational results, an organisation treats its employees' skills, experience and education as a fundamental part of creating value.

Adam Smith (1773) started a movement in the eighteenth century to increase human potential, which is crucial to production. In his publication at the American Economic Review Theodore W. Schultz established the phrase "investment in human capital" in 1961. Human capital gained wide acceptance after Gary Becker received his Nobel Prize. The human capital theory demonstrates that higher education along with better training produces better earning potential because greater knowledge base and abilities directly result in obtaining better position opportunities (Blair, 2012). Becker stated in his work (1964) that human capital represents an actual production instrument. Companies allocate their resources to human capital investment through health programs education and formal training. Human capital has been defined as "the component of human capital consisted of abilities, knowledge, skill, personal talent, behaviour, and effort when those three components plus time" (p. 10). Davenport added four important elements in 1999: abilities, knowledge, skill, personal talent and behaviours, along with time.

The knowledge contained both wide and detailed facts of the job, along with levels of intelligence and IQ.

Skill is what allows a person to perform tasks using body movement and their job tasks.

3) Talent is an important personal skill that gets better when you work on it.

4) Behaviour demonstrates a person's or group's standards, sense of right or wrong, personal beliefs and how they interact.

5) To succeed, you use your natural abilities plus your experience, knowledge and strong work ethic. There is also time to consider.

According to Becker (1964) different teaching methods such as education alongside training and migration and maintaining good health result in human capital accumulation. The different modes enable employees to develop knowledge and skills and abilities. Businesses participate in human capital development because they treat individuals as valuable assets which they predict will generate profitable returns in the upcoming future. Through education or training investments people expect their acquired knowledge and skills will boost their job career advancement. The employment sector along with business operations have traditionally been considered expenses that organizations should minimize

according to Ulrich (1998). Humans serve as capital that creates value that results from human capital thinking. According to Phillips (2005) the conceptual model for human capital changed profoundly from standard to contemporary viewpoints (see Table 1). An activity-based process transitioned into result-oriented procedures because both methods align with corporate strategy and view human capital as an essential value-creating instrument for strategic management. Vejchayanon (2005) explained that human capital exists as an important asset wherein organizations must enhance its development while integrating various technological elements.

When organizations direct their attention toward maximizing the bottom line instead of traditional top-down management approaches they create a human capital paradigm that moves from activity-focused metrics to result-driven metrics that include business impact alongside cost-benefit analysis and output monitoring and performance effectiveness measurements (Phillip, 2005).

## **Literature Review**

### **Concept of Brain-Drain**

There are several explanations by researchers for what brain drain is. NOUN (2009) described brain drain as when learned professionals go from their homeland institutions to work abroad in settings that appreciate their achievements the most. UNESCO included brain drain among the irregular ways scientists and specialists move across countries, where the world's advanced countries mainly gain from it. Across the last decade, universities have suffered from the loss of academic staff because of their financial struggles and have seen hiring rates fall. Two factors can contribute to brain drain: direct and complete outmigration and the refusal of foreign-trained graduates to return (Kaempf and Singh 1987). The process through which knowledge together with human capital moves internationally is defined as brain drain by Docquier and Rapoport (2006). Developed countries accept experts and professionals alongside professors and technical professionals who move from developing countries to their territories. The phrase "brain drain" refers specifically to the departure of educated professionals including academics and doctors, scientists, engineers and skilled workers possessing university degrees in the non-academic literature. Poor countries' progress has been severely hampered by brain drain.

Heavy workloads, the waning financial appeal of higher education employment, and the low level of academic earnings over the last ten years are the reasons of these brain drains.

### **Factors Contributing to Brain Drain**

The analysis of brain drain in Nigerian higher education considers poor pay along with an unfavourable work environment and poor staff development and inadequate infrastructure and strikes and security concerns.

### **Poor salary**

Brain drain in Nigerian higher education is mainly caused by low pay. Compared to academic staff around the globe, teachers and researchers make less money each month in China. Inadequate government funding is the reason why academic staff at Nigerian higher education institutions are given low pay and little else. The decline in oil revenue, corruption, and other economic sectors including infrastructure, security, and health are also to blame for the low salaries. Ehichoya and Ogunode (2020) noted that a number of reasons contribute to brain drain in Nigeria, such as low motivation, an unfavourable work environment, subpar working conditions, and unappealing pay. A study conducted by Anna (2017) examined the work performance and motivation of instructors at Nigerian tertiary institutions. Three hypotheses were developed to direct the investigation in order to look into the issue. The "Lecturers' Motivation Scale" and the "Lecturers' Job Performance Scale" were the two tools utilised. The results indicated that there was no significant correlation between the work environment of lecturers and their job performance; however, there was a significant correlation between their job performance and their salary or incentives; and a significant correlation between their job performance and their promotion.

### **Unpleasant Workplace**

One of the main causes of the large-scale exodus of academic personnel from the nation's higher education institutions to other countries is an unfavourable work environment. The majority of Nigeria's higher education institutions have unfavourable working conditions that hinder efficient service delivery. Professionals are not encouraged to stay and advance their careers by the working policies, administrative bottleneck, leadership, and quality of supportive services including internet access, light, and academic freedom. According to Ogunode (2020), unfavourable working conditions, low motivation, insecurity, inadequate finance, and political meddling are some of the causes of brain drain in Nigerian public colleges. The consequences of brain drain at Nigerian public colleges include a high student-teacher ratio, low educational quality, and a lack of instructors.

### **Inadequate Staff Training**

Inadequate staff development initiatives are a major factor in the exodus of academic staff from Nigerian universities to those in other nations where academicians have greater options for professional advancement. Poor capacity development is another issue that most academic staff members at Nigerian universities face, according to Ogunode, Jegede, and Musa (2021). Many academics in Nigerian colleges are denied the chance to obtain funding for their own professional development. The calibre of career development chances offered by an institution is one of the main elements that draws professionals to stay and advance their careers there. Higher education institutions in Nigeria lack well-developed staff development policies, and the policies' coverage of all academic staff is inadequate. Many of the system's academic employees pay for their own training. A study conducted by Basil, Felix, and Eno (2013) looked at the involvement of university instructors in capacity-building initiatives in South-South

Nigeria and how it affected sustainable development. It focusses on the degree to which instructors participate in capacity building programs' workshops, seminars, conferences, ICT training, and mentoring components. To guide this investigation, two hypotheses and one research question were developed.

The results showed that more university teachers attend conferences than any other program aimed at increasing their capacity. The involvement of lecturers in capacity building initiatives, such as workshops, seminars, conferences, and ICT training and mentorship, is notably low. The involvement of male and female instructors in capacity building initiatives does not differ significantly.

### **Insufficient Facilities for Infrastructure**

Inadequate university facilities are a major reason why so many Nigerian academics leave the country. Ogunode and Agwor (2021) point out that the social capital in educational establishments starts with good school infrastructure. In this category are places like classrooms, exam areas, auditoriums, desks, staff offices, seminar/conference/board rooms, laboratories, workshops, studios, farms, gymnasiums, central libraries, specialized/professional libraries, faculty libraries, departmental libraries, as well as institutes, centres, specialised facilities such as ICT infrastructure, special laboratories, conference facilities and boards like interactive, magnetic, screen and chalk. In addition, ICT includes services like computer labs and network connectivity, as well as systems for audio, multi Boys' and girls' hostels are among the hotels and lodging options for students; other amenities include staff schools, security facilities, sports facilities, good road networks, water and power supplies, and other civic and physical infrastructure. Further outlining the significance of infrastructure in educational institutions, Ogunode & Agwor (2021) state that it facilitates the efficient execution of administrative tasks in schools, ensures dependable and quick service delivery, and allows teachers to give courses quickly. Both teachers and pupils can work in a conducive environment thanks to infrastructure; Students can study more easily and effectively thanks to infrastructure, and teachers may prepare their lectures and present them online thanks to infrastructure (ICT). It is regrettable that many public higher institutions in the nation lack the necessary infrastructure, despite the fact that it is crucial for the efficient delivery of services. Abdul (2013) noted that academic and inadequate staff members lack offices at several of the nation's higher education institutions. To pass the time, several non-academic employees go from office to office and sit beneath the trees.

Offices intended for two lecturers are shared by four to five academic staff members. While many non-teaching staff members sit under trees and go between offices because they lack an office to sit in, Ogunode, Jegede, and Musa (2021) noted that many academic staff members share offices and some do not even have one. In order to support their online teaching program, many academic staff members need internet access and consistent lighting in their workplaces. According to NOUN (2009), all postsecondary schools lack enough office space. In some of the institutions (some of them are prefabricated buildings), three or four lecturers share offices. Because the offices are uncomfortable, employees—especially the teaching (academic) staff—are unable to perform effectively. Insufficient funding, corruption, population growth, poor infrastructure design, a lack of maintenance culture, and

unfinished projects were all cited by Ishere and Ogunode (2021) as reasons why Nigerian public universities lacked suitable infrastructure.

### **Take Actions**

Strike activities represent a major problem which affects public university management in Nigeria based on Ogunode (2020). Multiple organizations within the union have maintained their history of ongoing work stoppages throughout Nigerian public universities. Strike actions by different union groups continue to frustrate the public university management system in Nigeria. The paper by Ogunode, Jegede, and Musa (2021) explains that NASU, NAAT, or ASUU strikes limit many academic staff members from working their positions. Strike activities disrupt both teaching and research programs of academic staff members in universities. The instability experienced in academic operations occurred because of ongoing work stoppage actions. According to Ogunode (2020) multiple union strikes occurred due to bad working environments alongside insufficient facilities as well as poor union group agreement enforcement and insufficient state university funding. Global rankings and student enrollment at Nigerian public universities suffer while institutions gain negative reputation because the repeated labor strikes create academic irregularities and decrease teaching quality.

### **Low Educational Quality**

The migration of professors from Nigerian higher education to other countries stems from motivation issues and ties to the substandard educational standards. The educational staff represents the core element which determines higher education quality. The overall quality of future workers depends on the education level of academic staff who work in higher education institutions. It is impossible to overstate the importance of academic staff in any academic institution, according to Yohanna and Simon (2013). Any university's intellectual resource pool is equally composed of its academic personnel. Naturally, no university is better than its faculty.

For the country's university system to succeed, the kind, calibre, and number of instructors are vital to achieving its aims and objectives. Specifically, the better the graduates, the more equipped they are and the more likely they are to succeed in their chosen fields. Higher education institutions must have enough faculty members and other facilities in the proper numbers and conditions in order to provide high-quality instruction. Inadequate academic personnel the inadequacy of funding combined with resource shortages lead to substandard education standards at most universities in Nigeria. The exodus of skilled professors leads to a decrease in academic personnel numbers at Nigerian universities.

### **Migration and Brain Drain's Impact on Nigeria**

Many Nigerians today take great pride in leaving their nation in search of a better life due to the dire circumstances that exist there. "Brain drain affects development and its effect becomes unambiguously negative when the emigration rate is high," state Ademeyi et al. (2018) (p. 73). One of the main effects of Nigerian migration and brain drain is that the host nations benefit from the increased productivity of

these individuals rather than their home country. According to Alabi (2015), Nigeria has thus lost a substantial amount of tax revenue as a result of the brain drain of highly qualified and educated people. Nigeria is actively seeking qualified and skilled workers to advance their nation, but regrettably, the majority of these skilled workers are contributing to the GDP of developed countries and are primarily from developing countries, especially Nigeria (pp. 121–130). Nigerians have achieved success in a number of disciplines in recent years, yet the United States or Britain, where the people live, receive the credit for these accomplishments. Philip Emeagwali, a computer scientist who is well-known for taking a huge step towards creating the fastest computer system, is one example. He was dubbed "the Unsung Hero behind the Internet" by the Times Magazine. In the realm of sports, Anthony Joshua held three of the four major boxing titles and was the unified world heavyweight champion until his loss to Andy Ruiz on June 1, 2019. He also won gold while representing Great Britain at the 2012 Olympics. Nigeria has failed to secure a gold medal after its achievement at the 2008 Olympic Games in Athens but British citizen Christine Ijeoma Ohuruogu has taken home three gold medals and one silver and two bronze medals. The Grammy award is the most esteemed entertainment accolade but Nigerian-born musicians Sade Adu and Seal (Olusegun Olumide Adeola Samuel) accomplished superior feats by earning their award four times while domestic Nigerian artists have failed to secure this achievement.

Although only a fraction of immigrants came to the United States and the United Kingdom, Nigerians have also proved their creativity in various roles within health care. Benneth Omalu was the first to demonstrate innovation, discover and research CTE, when he worked at the Allegheny County coroner's office in Pittsburgh. Dr. Before moving to Canada, Omalu worked at the University of California, Davis Department of Medical Pathology and Laboratory Medicine after being the chief medical examiner in San Joaquin County (Laskas, 2015). Smith played the leading character in the big 2016 movie Concussion, based on his amazing success in sports.

### **Nigerian universities and the brain-drain**

Nigeria is having problems, and the Federal Government is not doing much to help. The brighter younger ones have moved overseas. They move overseas as soon as they finish their first degree, succeed there, and never return to this country (Bage, 2023).

The federal government should take immediate action to stop the trend towards widespread ignorance and poor educational delivery, as the news media are expressing real concern about the crisis that is looming in Nigerian public universities. Many lecturers have moved overseas to find improved professional prospects that has caused this university crisis.

It was recently revealed that approximately half of the professors at our public universities had already resigned. Details show that the percentage is 40% at the University of Ilorin, 45% at AAUA, 75% at UI, and 50% A significant proportion of approximately 50% of lecturers have left their assignments at Students are studying Obafemi Awolowo University (OAU), Federal University of Agriculture (FUNAAB) and Olabisi Onabanjo University (OOU) to seek degrees abroad.

Five notable public universities in Nigeria such as the University of Ibadan (UI) along with the University of Lagos (UNILAG), the University of Ilorin (UNILORIN), the University of Benin (UNIBEN) and Ahmadu Bello University (ABU) Zaria, are part of academic migration.

As the term "mass exodus" suggests, those who have not yet "jappa" are actually becoming more inclined to do so. In fact, according to recent statistics obtained by the media, there is concern that up to 80% of the surviving academics are getting ready to go. That is, assuming things continue as they are right now. Do you blame these lecturers for leaving the country for greener pasture overseas? Of course, not. Imagine a University Professor does not earn up to N500,000 a month, but our Senators, House of Assembly and Governors earn in millions, for doing what. This is worrisome, is it not?

The failure to pay university instructors' unpaid salaries, as previously agreed by the federal government, is one of the other relevant factors given. Students experienced this situation throughout the Academic Staff Union of Universities (ASUU) strike period. Middle East Technical University includes the unprecedented price surge of petrol diesel and cooking gas caused by the fuel subsidy removal as well as the current challenging economic situation. Various commodities together with transportation costs experienced price increases.

The academic workforce continues its migration to foreign countries despite government approval of pay increases up to 35 percent and 23 percent for all federal tertiary employees during the presidency of Bola Ahmed Tinubu. The negotiating positions between the government and university professors exhibited marked differences compared to what ASUU members had pursued during past years.

The group called for resumed talks based on their 2009 agreement with the Federal Government as well as the replacement of the Integrated Personnel Payroll Information System (IPPIS) with the University Transparency and Accountability Solution (UTAS).

The union also demanded that the reports of visitation panels to federal colleges and objections to salary payment irregularities be made public. Additionally, there are the crucial issues of earned academic allowance, inadequate funding for state universities, and money for public university revitalisation. Days after the strike started, Adamu Adamu, the minister of education, formed the visiting panels' white paper panel. However, he failed to inaugurate them when it was due.

We have multiple questions about why Nigeria prefers to export its raw resources of crude oil alongside agricultural items plus solid minerals including yam, cassava, cocoa, coffee and gold, iron ore and lithium to other countries using these materials for processing and refinement to generate greater economic benefits. Our country dismisses the job improvement requests from its leading talent pool who seek better employment environments to work in foreign nations that develop them into accomplished creators and thinkers such as Philip Emeagwali, Silas Adekunle and Jelani Aliyu. These inventive products move towards benefiting international markets instead of Nigerian society. Our current government style is no longer acceptable for running the nation.

## **Conclusion**

People leaving the country for other countries should not be blamed especially young ones. Our Politicians have made this our country to become something else, the cost of things are unimaginable to say the least. The price of fuel very high, and people are still on the same salary that they have been for the past ten years. Amidst growing political Numerous highly educated Nigerians are being drawn to work in the US and Europe due to the country's instability, poverty, widespread unemployment, and lack of prospects for the future. One of the biggest challenges to Nigeria's development has been the "Brain-Drain," or the huge exodus of its highly qualified and intelligent citizens to Western countries. As a result, there are now insufficient professionals and skilled workers needed for the nation's development. Because there aren't enough opportunities or challenges in their native nation, many of Nigeria's top talent is currently employed abroad. By creating the conditions and resources necessary for them to fully benefit the nation from their education, skills, and experience, the government should encourage them to return.

## **Recommendations**

Because brain drain has such detrimental social and economic impacts, efforts should be made to stop the unpleasant trend. To slow the nation's brain drain tendency, the government should take firm but constructive action. Nigeria and other developing nations should put in more effort to maintain their competitiveness and appeal in comparison to their developed peers. If they are unable to supply their employees with the necessary equipment and supplies, they should also import more sophisticated facilities and technology.

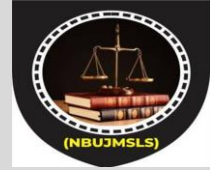
The government of the country needs to do more to stop talented Nigerians from leaving for other nations. A number of important industries will be stimulated with efficient governance and administration, guaranteeing job possibilities for the general public. Better economic prospects and, eventually, a path for the industry's expansion would result from this. It is also important to make sure that plans are in place for the development of social security programs, better infrastructure, and an all-around higher standard of living. These help to make the nation's standard of living appealing. But these are only suggestions for palliation. The nation must raise the pay and working conditions for many of its key employees if it hopes to bring about long-lasting reform. There are numerous ways to persuade the nation's experts to remain and contribute to its development, including offering them competitive pay and sufficient infrastructure.

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## EFFECT OF CORPORATE SOCIAL RESPONSIBILITY COSTS ON THE FINANCIAL PERFORMANCE OF LISTED NON-FINANCIAL SERVICES FIRMS IN NIGERIA

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### ABSTRACT

*Certain corporate entities, particularly those within the non-financial services sector in Nigeria, have experienced a succession of socio-economic disturbances that have resulted in a significant downturn in the profitability of the publicly listed firms over time. The declining state of companies' financial performance hinders their capacity to meet their financial obligations. This research investigated the impact of corporate social responsibility expenditures on the financial performance of publicly listed non-financial services companies in Nigeria. The research paradigm adopted for this study was positivism, utilising an ex-post facto research design. The study's population encompasses all 75 non-financial services firms listed on the Nigeria Exchange, with a sample size of 41 determined after a filtering process. The information for this analysis was derived from secondary sources, specifically the published annual financial statements of non-financial firms listed on the Nigeria Exchange. This research was carried out over a decade, from 2014 to 2023. The regression analysis indicated that both product quality cost and local community cost significantly influence the financial performance of listed non-financial services firms in Nigeria. Nevertheless, the costs associated with environmental responsibility and employee welfare exhibited a negligible impact on the financial performance of publicly listed non-financial services companies in Nigeria. Consequently, it remains imperative for the pertinent stakeholders and management of non-financial services firms in Nigeria to persist in their efforts to enhance expenditures aimed at elevating product quality and engaging in local community initiatives, as these endeavours directly contribute to the firms' financial performance. Particular emphasis ought to be placed on individuals with disabilities, orphanages, widows, scholarships for out-of-school children, alongside the importance of making donations and charitable contributions.*

**Keywords:** Employee Welfare, Product Quality Costs, Environmental Costs, Local Communities, Profitability

### Introduction

Accounting metrics of financial performance are key instruments for understanding an organization's financial health and operational effectiveness. Revenue, net income, return on assets (ROA), and profits

per share (EPS) are metrics that enable stakeholders to assess a company's profitability, liquidity, and solvency over time. These measurements are not only necessary for internal management but also serve as the foundation for external assessments done by investors, regulators, and creditors (Liu et al., 2023). They are essential instruments for determining an organization's financial health and operational efficiency and provide quantitative insights into profitability, liquidity, solvency, and growth potential, allowing stakeholders to assess the organization's current performance and future possibilities.

These metrics serve as an important foundation for decision-making. Management uses them to efficiently allocate resources, identify areas for improvement, and plan for long-term growth. Investors and creditors rely on them to determine the organization's sustainability and risk profile before allocating resources. Accounting measures help management recognise the organization's strengths and weaknesses while making internal decisions (Khadka et al., 2024). By examining financial data, management may effectively allocate resources, optimise operations, and set realistic goals. For example, examining cost-to-revenue ratios might aid in identifying inefficiencies in production or service delivery. Accurate financial performance data is also required for strategic planning and forecasting, which ensures that decisions are data-driven and in line with organisational goals (Chen & Wei, 2023).

Furthermore, financial performance measures enable organisations to benchmark against competitors and industry norms, increasing competitiveness (Arraya & Ferreira, 2024). They also fulfil regulatory requirements, assuring transparency and adherence to financial reporting standards. Financial performance measurements are important to investors when analysing an organization's risk and return profile. Earnings per share and dividend payment ratios are two metrics that investors use to determine where to put their cash. Credible and consistent financial performance data also boosts shareholder trust, as it signals the company's stability and growth potential (Huang et al., 2022). Furthermore, creditors use financial performance indicators like debt-to-equity ratios to determine an organization's capacity to satisfy its financial obligations.

Corporate social responsibility (CSR) connects business operations with the welfare of society. Beyond their immediate operational goals, organisations are becoming more aware of their responsibility to solve social, environmental, and economic challenges. Although CSR programs are frequently presented as charitable efforts, they also function as tactical instruments that match a business's objectives with those of the public (Srivastava, 2024). However, there are substantial expenses associated with this dual-

purpose strategy, which range from expenditures in sustainable production methods to charitable contributions and community development initiatives. These expenses are strategic investments that have the potential to impact a company's financial performance as measured by accounting metrics like profitability, return on assets (ROA), and earnings per share (EPS). CSR initiatives, such as environmental protection, employee welfare, and community development, are increasingly seen as investments that can enhance financial performance (Ogungbade, 2020). Companies that integrate CSR into their operations frequently report improved financial metrics such as return on assets and equity (Liu & Zhang, 2023). However, the extent of these benefits varies across industries, particularly between high and low-polluting sectors.

The link between CSR costs and financial performance has sparked great academic and practical attention. Proponents say that CSR investments improve brand reputation, consumer loyalty, and staff satisfaction, resulting in long-term financial gains (Srivastava, 2024; Rafay & Siddiqui, 2024). Critics argue that CSR investments detract from current profits and may harm short-term financial indicators (Bouwens, 2024; Kantus et al., 2024). This duality underlines the complexities of CSR's impact on a company's accounting measurements of financial performance. By evaluating this dynamic, we may determine whether CSR charges are a true investment in company sustainability or a drain on financial resources. CSR costs and financial performance are frequently affected by factors such as brand equity and stakeholder relationships. Companies with strong social capital can better leverage their CSR investments to increase profitability and stakeholder trust. In polluting businesses, CSR compliance frequently reduces reputational risks and regulatory penalties, resulting in good financial consequences (Liu & Zhang, 2023). This emphasises the strategic value of matching CSR investment with long-term financial objectives.

However, the effects of CSR costs are not always good. High expenditures that are not clearly aligned with organisational goals can have a negative impact on profitability, especially in smaller enterprises or cost-sensitive industries (Samuel, 2024). Furthermore, differences in the accounting treatment of CSR expenditures complicate their comparison to financial performance measurements, frequently yielding disparate outcomes across empirical investigations. Thus, understanding the complex link between CSR investments and financial consequences remains an important research priority. Furthermore, the influence of CSR spending on financial performance varies by industry and geographical region. This dynamic is heavily influenced by market rivalry, regulatory frameworks, and stakeholder expectations.

Companies in highly regulated industries, such as oil and gas, may see a greater impact from CSR costs on their financial performance than firms in less scrutinised areas. Similarly, corporations operating in areas with a high societal demand for environmental stewardship may gain more financially from CSR operations than those in less CSR-conscious markets. These contextual considerations highlight the need of customising CSR policies to a firm's specific operational and financial circumstances.

The importance of corporate social responsibility is further highlighted by the increasing focus on sustainability in international markets. Companies are being urged to declare their CSR operations in monetary terms by policymakers and stakeholders, who are calling for greater responsibility and transparency. To ensure that socially conscious practices add to both societal and commercial value, this has led to a move towards incorporating CSR issues into financial performance measurements (Jing & Liu, 2023). Despite several studies on corporate social responsibilities (Samuel, 202; Liu & Zhang, 2023; Srivastava, 2024; Rafay & Siddiqui, 2024 and financial performance (Hashim, 2024; Arraya & Ferreira, 2024; Jawajala et al., 2024) respectively.

A dearth of empirical study on effect of corporate social responsibility costs on the financial performance of listed non-financial services firms in Nigeria motivate this study. This study has bridged the observed gap in knowledge and highlights empirical evidence on whether CSR practices significantly increase an organization's financial burden or improve its financial health by assessing the effects of CSR-related expenditures on key financial parameters and provides useful information for business executives and legislators on how to strike a balance between social obligations and financial goals.

### **Statement of the Problem**

The reliability and applicability of accounting metrics of financial performance in Nigeria are compromised by a number of issues. The uneven use of accounting standards is a significant problem that makes it more difficult to compare financial statements from different companies (African Development Bank Group, 2023). Due to a lack of training and restricted access to knowledge, many organisations still have trouble complying with International Financial Reporting Standards (IFRS) (Johri, 2024). This discrepancy makes it more difficult for regulators and investors to assess company performance and makes financial statements less comparable, which makes investment decisions more difficult (World Bank, 2023).

However, firms that prioritize profitability over environmental preservation, employee relations, product quality assurance, labour rights, and consumer interests may suffer adverse effects on the environment (Li, 2018). Therefore, the inability to navigate through a complicated and demanding market to achieve shareholder expectations may result in corporate closure. Firms that fails to effectively participate in corporate social responsibilities (CSR) initiatives were reported to have sustained massive decline in product patronage from customers, reduction in corporate reputation, lack of confidence from the immediate society, series of environmental challenges which ultimately, led to reasonable profitability decline at different intervals: ₦1.643 billion, ₦7.21 billion, and ₦516 million in the year 2022, 2021, and 2020 respectively (Nigerian Exchange Group, 2022). These losses would have a compounding effect on the economy in terms of unemployment, poor living standards, dependence ratio, and Gross Domestic Product (GDP). The environmental growth has put pressure on corporate organizations as society now evaluates them not just on profitability, but also on their environmental and social responsibility requirements (Li, 2018).

From the standpoint of existing literature, there is a discernible scarcity of studies (Ayub & Shafqat, 2022; Yahaya & Apochi, 2021; Tabash et al., 2020; Nacti, 2019; Gaecia et al., 2019; Kassinis et al., 2016) that have explored the moderating influence of female board membership on corporate social responsibility and the profitability of firms within emerging economies, with a particular focus on Nigeria. The enquiries into the influence of board participation, specifically through the lens of female board membership (FBM), on the profitability of non-financial service firms in Nigeria have been relatively rare. This suggests that there are unexamined factors that are affecting the relationship between the independent and dependent variables in previous studies. In light of this context, this study aimed to investigate the impact of corporate social responsibility expenditures on the financial performance of publicly listed non-financial services firms in Nigeria. In light of the aforementioned issues, the subsequent research questions have been articulated to provide resolutions to the research problem. Thus: What is the effect of corporate social responsibility costs on financial performance of listed non-financial services firms in Nigeria? The specific research questions are:

- (i) What impact do product quality costs have on the financial performance of publicly listed non-financial services companies in Nigeria?
- (ii) In what ways do the costs associated with local communities influence the financial performance of publicly listed non-financial services firms in Nigeria?

- (iii) To what degree do the costs associated with environmental responsibility impact the financial performance of publicly listed non-financial services companies in Nigeria?
- (iv) In what ways do employee welfare costs influence the financial performance of publicly traded non-financial services companies in Nigeria?

### **Research Objectives**

The research investigates the impact of expenditures related to corporate social responsibility on financial outcomes. The specific objectives are to:

- (i) Investigate the impact of product quality costs on the financial performance of listed non-financial services firms in Nigeria.
- (ii) Explore the influence of local community costs on the financial performance of listed non-financial services firms in Nigeria.
- (iii) Assess the implications of environmental responsibility costs on the financial performance of listed non-financial services firms in Nigeria.
- (iv) Examine the effects of employee welfare costs on the financial performance of listed non-financial services firms in Nigeria.

### **Research Hypotheses**

- Ho<sub>1</sub>: The product quality cost does not exert a significant influence on the financial performance of listed non-financial services firms in Nigeria.
- Ho<sub>2</sub>: The local community cost does not exert a significant influence on the financial performance of listed non-financial services firms in Nigeria.
- Ho<sub>3</sub>: The environmental responsibility cost does not exert a significant influence on the financial performance of listed non-financial services firms in Nigeria.
- Ho<sub>4</sub>: The employee welfare costs do not exert a significant influence on the financial performance of listed non-financial services firms in Nigeria.

## **Literature Review**

### **Financial Performance**

The comprehensive assessment of a company's financial health and operational efficacy is encapsulated in its financial performance (Akinbode et al., 2024), typically evaluated through metrics such as revenue growth, profitability ratios, and return on investment. Robust corporate social responsibility initiatives often yield dual outcomes for a company's financial performance: increased initial expenditures alongside prospective long-term benefits. CSR initiatives can result in increased operational effectiveness, less risk exposure, and enhanced brand loyalty, all of which have a favourable impact on financial performance. Businesses in Nigeria have observed that implementing CSR improves stakeholder trust and lowers environmental liabilities. Manufacturing firms that implement environmentally friendly methods frequently experience lower energy expenses and regulatory fines, which improves their financial performance. However, depending on the industry and implementation approach, the effect of CSR efforts on financial outcomes is frequently indirect and can vary greatly (Vangeri et al., 2024).

### **Measurements of Profitability**

A company's capacity to turn a profit in relation to its costs is revealed by profitability indicators like net profit margin, return on equity (ROE), and earnings per share (EPS). By enhancing cost structures and encouraging market differentiation, CSR initiatives frequently have an impact on these measures (Wijayanti & Zulfikar, 2024). Businesses can save money and attract eco-aware customers by investing in sustainable supply chain methods, which will increase their net margins. Businesses in Nigeria have benefited greatly from integrating CSR with profitability objectives. Financial performance and profitability indicators are impacted by CSR initiatives both directly and indirectly. Net income and return on equity are two profitability metrics that are frequently positively correlated with a well-executed CSR plan. This is ascribed to improved operational effectiveness and lower expenses because of sustainable practices. For example, businesses with strong CSR policies typically face lower fines from the law and more energy savings, which directly contributes to bottom-line performance (Gherghina, 2024). This research employed return on assets (ROA) as the indicator for financial performance, serving as the outcome variable of the study. Consequently, ROA is quantified as the ratio of profit after tax to the total assets of the publicly listed companies throughout the duration of the research.

### **Corporate Social Responsibility Costs**

Businesses spend money on corporate social responsibility (CSR) to fulfil their environmental, social, and governance (ESG) obligations (Ma et al., 2024). These expenses frequently entail spending money on initiatives like cutting carbon emissions, putting waste management systems in place, enhancing working conditions, and promoting community development. Due to legal restrictions and stakeholder pressure, CSR expenses—which were previously regarded as discretionary spending—are increasingly being incorporated into core company objectives. CSR expenses have become more significant in Nigeria as businesses look to improve their corporate image and adhere to stricter environmental regulations. According to Yogi and Shankar (2024), oil and gas firms frequently make significant investments in local community programs and environmental rehabilitation projects. However, these expenses may put a burden on short-term financial resources, especially for companies with thin profit margins. Many Nigerian businesses still struggle to strike a balance between these investments and their immediate financial commitments.

### **Environmental CSR Costs**

Costs associated with corporate social responsibility (CSR), especially in the social and environmental spheres, have changed from being merely expenses to necessary investments. By implementing sustainable practices like waste reduction, energy efficiency, and carbon-neutral tactics, an organisation can lessen its ecological imprint. This is the main goal of environmental corporate social responsibility. As investors and other stakeholders call for openness in environmental programs, this is becoming more and more important. According to recent studies, environmental practices improves a company's reputation and draws in investors who share its sustainable ideals (Gherghina, 2024; McKinsey, 2024).

### **Social CSR Costs**

The welfare of workers, communities, and society as a whole is addressed by social CSR. A company's social license to operate is influenced by its investments in social initiatives like community development, fair labour practices, and inclusion programs. Even though these expenses are seen as onerous, research indicates that they can increase long-term profitability by boosting employee retention and consumer loyalty (McKinsey, 2024). Additionally, businesses with significant social commitments frequently have improved stakeholder relations and lower operational risks.

The following proxies for corporate social responsibility costs were considered and reviewed in this study:

### **Product Quality Cost**

Expenditures incurred by firms on safeguarding the quality of their product and services is referred to as product quality costs (Usman & Amran, 2015). Product quality component of CSR encourage firms to focus on ethical concerns related to goods, services, and consumers to preserve their market share (Cheng & Rasuid, 2013). Quality of products and services, as well as the happiness of consumers and their education are all part of the product and customer initiative (Kabir & Thai, 2016). Only companies that cares about product quality are prepared to participate in CSR activities since profit-oriented companies find these investments too costly (Servaes & Tamayo, 2013). herefore, it is projected that the profitability of CSR services organizations in Nigeria would be improved by this study's focus on product quality and customer happiness.

### **Local Community Cost**

Local community cost entails a collaborative approach where community members join forces to collectively address shared challenges and devise solutions. It is not only considered a practical endeavor but also recognized as professional discipline. CSR promotes company involvement in the community; it suggests that both public and private enterprises have social duties beyond profit. The firm's decision-makers must make choices and behave in ways that acknowledge the corporate-society relation. A firm must thus maintain its commitment to act morally and contribute to economic growth while helping the host community, which may be done through various CSR initiatives chosen for the benefit of its stakeholders (Primavera & Lee, 2019). Hence, this study considers local community cost as the expenses incurred by a firm with a view to improving the standard of living of the host communities. For instance, expenditures on scholarships, donations, and charitable contributions among others have been considered as local community costs in this study.

### **Environmental Responsibility Costs**

Environmental responsibility cost (ERC) is a practice which is broadly viewed as documentation, assortment, estimation, analysis, internal reporting, and utilization of physical flow of information (materials, water, and energy flows), environmental cost data, and other monetary information for both conventional and environmental decision-making within an organization (Okegbe et al., 2019).

Environmental cost management is a subset of the broader accounting concept and a method of corporate environmental information management that encompasses a collection of reporting devices and practices that assist company internal management in making environmental and economic performance-related decisions (Okegbe et al., 2019). For the purpose of this study, environmental responsibility cost refers to those expenditures incurred in preserving, safeguarding, and improving environmental sustainability for effective and hitch-free business operations.

### **Employee Welfare Costs**

Employee welfare encompasses expenditures incurred on various aspects such as workers' welfare, engagement, representation, participation, involvement, and training. It refers to any expenses incurred by a corporate entity for the benefits of its employees. Activities like employee recruitment, promotions, disciplinary actions, and the promotion of workplace well-being should not pose significant challenges for firms. Firms can reap the benefits of employee diversity by embracing individuals from various backgrounds, irrespective of factors such as gender, race, disability, age, or creed (Branco & Rodrigues, 2006). Human resource CSR is a process of boosting a company's efficiency and profitability by increasing employee commitment, motivation, and loyalty. Based on the foregoing definitions, employee welfare cost can be defined as the commitment of funds in order to enhance the human resources of a firm for greater productivity.

### **Theoretical Framework**

This research utilised the stakeholder theory articulated by Edward Freeman in 1984, providing a robust framework for analysing the relationship between accounting metrics indicative of financial success and expenditures related to corporate social responsibility (CSR). Freeman posits that enterprises must take into account the interests of all stakeholders, rather than focussing solely on shareholders. The parties involved encompass staff members, clients, suppliers, and the general public. This perspective posits that expenditures related to corporate social responsibility, such as those directed towards environmental sustainability or community development, ought to be regarded as strategic investments rather than mere expenses. These investments have the potential to enhance accounting metrics such as profitability, return on equity, and earnings per share by elevating a company's reputation, fostering customer loyalty, and increasing operational efficiency (Freeman, 1984). Ojo (2022) asserts that a positive correlation exists between CSR initiatives and financial performance, provided that these efforts align with stakeholders' expectations and the overarching objectives of the business in the long term.

The Stakeholder Theory holds particular relevance in Nigeria, given the prevalent socioeconomic and environmental challenges faced in critical sectors such as the oil and gas industry. A multitude of Nigerian enterprises are examined for their engagement with the community and their environmental strategies, which directly influences their operational viability and financial performance. For instance, initiatives in local infrastructure, healthcare, and education have enabled businesses to mitigate community disputes and enhance adherence to regulations. (Uwuigbe & Fakile, 2023).

## **Review of Empirical Studies**

### **Product Quality Cost and Financial Performance**

Potluri et al (2020) studied Nigerian consumers' perceptions of CSR and how it affects their financial performance trends. The study employed primary data by sending structured questionnaires to 400 people in Lagos and Adamawa, Nigeria. Only 222 of the distributed surveys were completed and returned, resulting in descriptive and inferential statistics. The outcome revealed product quality was well recognized among Nigerian customers, who believe that socially responsible practices influence their financial performance trends. The results showed that Nigerian customers generally like CSR.

James and Luke (2014) conducted a study to examine the regulation of quality costs associated with goods and their influence on the profitability of companies in Nigeria. The research involved the distribution of a total of sixty-four (64) questionnaires, out of which 50 were completed and used for the study in Bayelsa State. Profitability data was sourced from the audited financial statements published by the NGX. Study utilized regression analysis and correlation analysis to assess the relationship between quality cost management and corporate profitability. The findings of the study revealed a robust correlation between product quality cost management practices and profitability.

Suchanek et al. (2014) studied the impact of product quality, customer happiness, corporate financial efficiency, and competitiveness in the food industry. Customers of randomly chosen companies were asked to complete questionnaires between January and February 2013. They gathered data on profitability proxies like ROA and ROE. The investigation revealed a cloudy link between customer happiness and profitability; that is, there is no link between product quality cost and FP. However, study used questionnaires to obtain data from the primary source for two months in 2013.

### **Local Community Cost and Financial Performance**

Amahalu and Okudo, (2023) examined the impact of CSR on the financial performance of Nigerian oil and gas companies that were listed between 2009 and 2021. The research design used in this study was ex post facto. Seven Nigerian oil and gas companies that are quoted make up the study's sample size. Linear regression analysis was used to estimate the data. The analysis revealed a significant positive correlation between donations, return on equity, return on assets, and net profit margin.

Yinusa et al. (2023) examined the impact of corporate social responsibility (CSR) on the financial performance measures of Nigerian consumer goods companies that were listed. The sampled population consisted of sixteen (16) of the twenty (20) publicly traded consumer goods companies in Nigeria that comprised the study's population. The study's secondary data came from the annual reports and accounts of the selected companies for the years 2010 through 2019. Multivariate multiple regression were employed to analyze the study's data. The results of the study showed a significant inverse relationship between listed consumer goods businesses' CSR and ABFPM in Nigeria.

Using earnings per share, gross earnings, and profit after taxes as indicators of financial performance, Itoyaet al. (2022) looked at the impact of corporate social responsibility on Nigerian banks' financial performance. It was an ex-post-facto study design based on primary data. The statistical technique for the investigation was regression analysis. According to correlation data, there were substantial, positive, and strong correlations between earnings per share and corporate social responsibility and gross earnings and profit after taxes, respectively.

Ejeje et al. (2021) undertook a study examining the influence of community development initiatives on the revenue produced by publicly traded manufacturing firms in Nigeria. The research employed turnover data from these companies as the dependent variable, subsequently undergoing analysis through ANOVA and regression analysis methodologies. The results of this study demonstrated a notable impact of community development investments on the financial performance of these enterprises.

Ofurum and colleagues (2020) investigated the relationship between the financial performance of industrial firms listed on the Nigerian stock exchange and their product quality costs (PQC). The analytical method employed for data examination was the Pooled Panel Least Squares regression

technique. Upon controlling for firm size, the research revealed that the costs associated with product quality did not influence profit after taxes or return on assets.

### **Environmental Responsibility Cost and Financial Performance**

Daniel et al. (2021) investigated the relationship between environmental cost disclosure and oil and gas company profitability. The study used an ex-post facto research approach to look at 10 oil and gas corporate from 2010 to 2019. The results showed that environmental costs such as waste management, pollution control, penalties, and litigation had no substantial impact on corporate profitability.

Oshiole et al. (2020) studied the effect of environmental cost disclosures on profitability for ten years (from 2010 to 2019). The secondary data were regressed using panel least square regression. The variables of the study included waste management, employee health and safety, environmental cleanup, and net profit margin. The study found that waste management cost, transparency, environmental health and safety, and environmental remediation improved firms' net profit margins.

Nwaimo (2020) studied the impact of environmental costs on company profitability in four African nations (Tanzania, South Africa, Ghana & Nigeria), from 2007 to 2016, 64 samples were chosen at random. A regression study using ordinary least squares regression was performed on the data obtained from the stock exchanges of the four examined nations. In Nigeria and South Africa, EC had no significant influence on ROCE, EPS, or ROE. However, in Ghana, EC had a substantial impact on both ROCE and ROE.

A study by Okegbe et al. (2019) examined environmental disclosures and corporate performance in natural resource, agricultural, and oil and gas firms whose stock listed on the NGX for seven years from 2012 to 2018, data was gathered from the audited annual reports and company websites. The results from the regression analysis demonstrated that environmental management disclosure (EMD) has no influence on company ROA and profitability but increases corporate size. Although, the three firms studied are too small to provide a valid result.

### **Employee Welfare Cost and Financial Performance**

Etale et al. (2021) carried out a study on GlaxoSmithKline enterprises consumer goods and profitability in Nigeria. The study used secondary sources to analyze eight years of data from the company's audited financial statements. Incentives, benefits, welfare, and healthcare were all proxies for social cost accounting, whereas profit after tax was using multiple regression analysis. The study found that social

cost accounting correlated positively with profit after tax (PAT) of listed consumer goods firms in Nigeria.

Ndum and Oraneto (2021) studied the influence of labour costs on the profitability of NGX-listed breweries. The research covered 13 years and five brewers that supplied yearly financial audited reports. Staff cost, net profit margin and ROA data were obtained and regressed using regression analysis. The investigation found that staff costs positively affect net profit margin. Similarly, personnel costs have a small but favorable influence on ROA.

Mulolli and Boskovska conducted a study in 2020 to explore the connection between human resource practices and profitability in Kosovo. Their research involved the collection of completed surveys, which were then analyzed using descriptive and correlation analyses. The findings of their study indicated a significant relationship between HR practices and financial performance. However, the major flaws of the study lies on the fact that it focused on Kosovo and the use of questionnaires for data collection.

### **Methodology and Model Specification**

This study adopts a quantitative research approach to investigate the relationship between Corporate Social Responsibility (CSR) costs and the accounting measures of financial performance in Nigeria. The research design is correlational, aiming to determine the strength and direction of the relationship between CSR costs and financial performance proxied by Return on Assets (ROA). The study focuses on listed non-financial services firms in the Nigerian Exchange Group (NGX), where Seventy five (75) Non-Financial services firms were used as the population of the study. Indeed, a sample size of 41 listed non-financial services firms were obtained through purposive filter sampling technique. Data was collected from secondary sources, including financial statements, CSR reports, and sustainability reports spanning the past Ten (10) years (2014–2023). Descriptive statistics was used to summarize the data, while Feasible Generalized Least Square (FGLS) regression was used to analyze the data.

### **Model Specification**

In this study, Amahalu and Okudo (2023) model was adapted to incorporate corporate social responsibility costs proxies. The modified model employed in this study is presented in equation (ii). The mathematical expression of the relationship can be depicted as follows:

$$ROA = F(PQC, LCC, ERC, EWC, LEV, \text{ and } FSZ) \dots\dots\dots i$$

$$ROA_{it} = \beta_0 + \beta_1 PQC_{it} + \beta_2 LCC_{it} + \beta_3 ERC_{it} + \beta_4 EWC_{it} + \beta_5 LEV_{it} + \beta_6 FSIZ_{it} + \varepsilon_{it} \dots \dots \dots ii$$

Where: ROA = return on assets; PQC = product quality cost; LCD = local community cost; ED = environmental responsibility cost; ERD = employee welfare cost; LEV = leverage (Measured using the ratio of firms' total debt to total assets); FSIZ = firm size (Measured using natural logarithm of firms' total assets);  $\beta_0$  = Constant;  $\beta$  = Regression Coefficient;  $\varepsilon$  = error term; i = number of firms' observation; t = index of time period.

### Descriptive Statistics

Descriptive statistics such as mean, median standard deviation minimum and maximum for the variables employed in this study are presented in Table 2 and ensued with their discussions. This is illustrated in table 2 as follows:

**Table 2: Descriptive Statistics**

| Variable | Obs | Mean   | Std. Dev. | Min     | Max    |
|----------|-----|--------|-----------|---------|--------|
| ROA      | 410 | 0.0419 | 0.1125    | -0.4139 | 0.4668 |
| LCC      | 410 | 0.6119 | 0.4878    | 0       | 1      |
| PQC      | 410 | 0.3126 | 0.4641    | 0       | 1      |
| ERC      | 410 | 0.0928 | 0.1990    | 0       | 1      |
| EWC      | 410 | 0.9645 | 0.1852    | 0       | 1      |
| LEV      | 410 | 0.5096 | 0.1548    | 0.6979  | 0.8986 |
| FSIZ     | 410 | 7.1316 | 1.0989    | 3.3043  | 9.7279 |

Table 2  
showed  
the

**Source: STATA output Results, (2024)**

descriptive statistics with 451 observations of variables of the study which include return on assets (ROA), local community disclosure (LCC), product quality cost (PQC), employees' welfare cost (EWC), environmental responsibility cost (ERC), female board membership (FBM), leverage (LEV) and firm size (FSIZ). Table 2 indicates a mean of return on asset (ROA) of 0.0419 and a standard deviation of 0.1125, with minimum and maximum values of -0.4139 and 0.4668 respectively. This implies that on the average, the ROA among the non-financial listed firms in Nigeria is approximately 4 percent (4%) and it changes from both sides of the mean by 11 percent (11%) approximately. This suggests a wide dispersion of the data from the mean because standard deviation is slightly higher than the mean value.

Table 2 also showed that the measure of average score of LCC is 0.6119, a standard deviation of 0.4878, and fall within a minimum and maximum score of 0 and 1 respectively. The mean value of product quality cost (PQC) during the period of this study is 0.3126, and it ranges between 0 and 1 with a standard

deviation of 0.4641. Environmental responsibility cost (ERC) of the sampled firms has a minimum and maximum between 0 and 1 with the mean value of 0.0928 and a standard deviation of 0.1990. Employees welfare cost (EWC) of listed non-financial firms in Nigeria has a mean value of 0.9645 with a standard deviation of 0.1852, and minimum and maximum values of 0 and 1 respectively. This implies that the average EWC is within 0.9645 and ranges between 0 and 1. The standard deviation from both sides of the mean is 0.1852. This suggests that the dispersion of the data from the mean is mild because the standard deviation is lower than the mean value of 0.965.

Furthermore, Table 2 also shows that the leverage of the sampled firms has a mean value of 0.5096 with a standard deviation of 0.1548 and fall within the range of 0.6979 and 0.8986 which indicates that some has low leverage while others have high leverage. Finally, firm size (FSIZ) has a mean and standard deviation value of 7.1316 and standard deviation of 1.0989, and it ranges between the value of 3.3043 and 9.7279. The descriptive statistics analysis of the variables of this study shows the nature and extent of dispersion of the data, which indicates the quality, trend and magnitude of the data.

### Correlation Matrix

The pairwise correlation is a diagnostic check used to analyze the degree of association between the independent variables and the outcome variable as well as the correlation between the independent variables themselves. The correlation matrix is illustrated in table 3 as follows:

**Table 3:** Pairwise Correlation Matrix

| Variable | ROA 1    | PQC 2   | LCC 3   | ERC 4   | EWC 5    | LEV 6   | FSZ 7  |
|----------|----------|---------|---------|---------|----------|---------|--------|
| (1)      | 1.0000   |         |         |         |          |         |        |
| (2)      | -0.3398* | 1.0000  |         |         |          |         |        |
|          | 0.0000   |         |         |         |          |         |        |
| (3)      | 0.2318*  | 0.1837* | 1.0000  |         |          |         |        |
|          | 0.0000   | 0.0001  |         |         |          |         |        |
| (4)      | 0.1711*  | 0.0379* | 0.2145* | 1.0000  |          |         |        |
|          | 0.0000   | 0.0000  | 0.0000  |         |          |         |        |
| (5)      | 0.0596   | 0.0776  | 0.2409* | 0.0895* | 1.0000   |         |        |
|          | 0.2065   | 0.0997  | 0.0000  | 0.0574  |          |         |        |
| (6)      | 0.2755*  | 0.4129* | 0.1594* | 0.2593* | -0.1318* | 1.0000  |        |
|          | 0.0000   | 0.0000  | 0.0007  | 0.0000  | 0.0050   |         |        |
| (7)      | -0.0757  | 0.0242  | 0.0414  | -0.0748 | 0.1113*  | 0.1208  | 1.0000 |
|          | 0.1084   | 0.6087  | 0.3801  | 0.1127  | 0.0181   | 0.0032* |        |

**Source:** STATA Output Results, (2024)

From the correlation matrix in table 3, it shows the correlation between the independent variables and the outcome variable as well as the correlation among the independent variables themselves. Reference to the results, it reveals the slope values of the parameters as 0.3398, 0.2318, 0.1711, 0.0596, 0.2755, -

0.0757, and 0.2168 representing product quality cost, local community cost, environmental responsibility cost, employee welfare cost, leverage, and firm size respectively. Accordingly, the Beneish (1997) correlation benchmarks are usually employed to examine the occurrence of high correlation or otherwise. Consistent with the Beneish criteria, three (3) basic steps apply. These are the low correlation which ranges between '0.00 to 0.29', the intermediate correlation which ranges between '0.30 to 0.49' and strong correlation which ranges between '0.50 to 0.99'. Reference to the results in table 4, the variable with the highest coefficient result was Product Quality Cost (PQC) having a beta value of 0.3398. This clearly shows a moderate correlation among the variables of the study. Thus, it implies that there is absence of high correlation or redundancy among the parameters used in the study.

#### 4.4 Regression Analysis - Model 1

This section presents the regression result of the explained variable (ROA) and the explanatory variables of the study [(ROA = F(PQC, LCC, ERC, EWC, LEV, and FSZ)]. It follows with the analysis of the correlation between the outcome variable and each independent variable individually and cumulatively. The summary of the regression result obtained from the model of the study ( $ROA_{it} = \beta_0 + \beta_1PQC_{it} + \beta_2LCC_{it} + \beta_3ERC_{it} + \beta_4EWC_{it} + \beta_5LEV_{it} + \beta_6FSIZ_{it} + \varepsilon_{it}$ ) is presented in table 4 as follows:

**Table 4: Feasible Generalized Least Square [FGLS] Regression**

| Constructs                | Coefficients | T-Values | P-Values |
|---------------------------|--------------|----------|----------|
| Constants                 | -0.0144027   | -0.41    | 0.684    |
| PQC                       | 0.0556188    | 7.69     | 0.000    |
| LCC                       | 0.0168921    | 2.64     | 0.008    |
| ERC                       | -0.0146124   | -0.92    | 0.359    |
| EWC                       | 0.0189194    | 1.21     | 0.225    |
| LEV                       | -0.139625    | -6.33    | 0.000    |
| FSZ                       | 0.0112719    | 2.90     | 0.004    |
| R-squared                 |              |          | 0.1872   |
| Wald Chi <sup>2</sup> (6) |              |          | 146.18   |
| Prob>Chi <sup>2</sup>     |              |          | 0.0000   |

Source: STATA Output Results, (2024)

Based on the regression results in table 4, it presents the adjusted R<sup>2</sup> value of 0.1872. This signifies that the coefficient of determination has an explanatory power of 18.72 percent (19%) approximately. By implication, the total changes in the profitability of listed non-financial firms in Nigeria is caused by the corporate social responsibility disclosures proxied by quality assurance disclosure, local community disclosure, environmental disclosure, and employee relation disclosure during the period of the study. It also implies that about 81 percent (81%) of the total changes in the profitability of listed non-financial firms in Nigeria were caused by other parameters not captured in the model of the study.

The regression result also shows an F-Change value of 146.18 signifying that the explanatory variables are properly selected, combined and used. The result also implies that the model is good, adequate and well-fitted for the study. This is confirmed by the Prob>F value of 0.0000 which signifies that it is statistically significant at 1 percent (1%) level of significance.

### **Product Quality Cost and Financial Performance**

The findings presented in Table 4 reveals that product quality cost (PQC) exhibits a positive yet statistically insignificant influence on the profitability of listed non-financial services firms in Nigeria ( $\beta = 0.0556$ ,  $t = 7.69$ , and  $p = 0.000$ ). This implies that a slight increase in PQC could lead to a statistically significant change in profitability of the listed firms. The p-value associated with the coefficient in the regression analysis ( $p\text{-value } 0.000 < 0.05$ ) indicates that product quality cost exerts a statistically significant impact on the financial performance of listed non-financial services firms in Nigeria at 1 percent (1%) significance level.

In the light of these outcomes, the study find sufficient evidence to reject null hypothesis 1 ( $H_{01}$ ), which states that product quality cost does not have a significant effect on the financial performance of non-financial services firms in Nigeria. These results agree with the research work conducted by the previous studies like Potluri et al. (2020), and the work of James and Luke (2014). However, it is contrary to the work of Suchanek et al. (2014) which documented evidence of no significant relationship between product quality cost and financial profitability.

### **Local Community Cost and Financial Performance**

The findings of this study in Table 4 revealed that there was a positive and statistically significant relationship between local community cost (LCC) and the financial performance of non-financial services firms in Nigeria ( $\beta = 0.0169$ ,  $t = 2.64$ ,  $p = 0.008$ ). This signifies that local community cost is positively and significantly affecting the financial performance of listed non-financial services firms in Nigeria at 1 percent (1%) level of significance. By implication, local community cost has positive significant effect on the financial performance of listed non-financial services firms in Nigeria. In essence, the finding implies that local community cost seems to effectively contribute to increasing the profitability of listed non-financial services firms in Nigeria. Therefore, this result provides the need to reject the null hypothesis two ( $H_{02}$ ), which posits that LCD does not have a significant effect on financial performance of the listed firms in Nigeria. The result aligned with the findings of Amahalu

and Okudo (2023), Yinusa et al. (2023), Itoyaet et al. (2022), and the work of Ejeje et al. (2021). Although, Ofurum had documented an insignificant effect of product quality on corporate financial performance.

### **Environmental Responsibility Cost and Financial Performance**

The results obtained from Table 4 indicate that environmental responsibility cost among non-financial services firms in Nigeria ( $\beta = -0.0146$ ,  $t = -0.92$ , and  $p = 0.359$ ) has a negative and statistically insignificant effect on financial performance of listed non-financial services firms in Nigeria. The result implies that environmental responsibility cost is not a good determinant of financial performance of listed non-financial services firms in Nigeria. Therefore, it provides the basis for not rejecting the null hypothesis three ( $H_{03}$ ) of the study. Thus, for hypothesis three,  $H_{03}$  is strongly failed to be rejected. Interestingly, this finding is consistent with the research conducted by Daniel et al. (2021), Nwaimo (2020), and Okegbe et al. (2019), who revealed in their study, that environmental cost had no significant influence on firm profitability. However, this result is contrary to the study conducted by Oshiole et al. (2020) which revealed that environmental responsibility cost has positive significant impact on firm performance.

### **Employee Welfare Cost and Financial Performance**

The result in Table 4 showed the effect of EWC on financial performance of non-financial services firms in Nigeria ( $\beta = 0.0189$ ,  $t = 1.21$  and  $p = 0.225$ ). This result implies that EWC has a positive but statistically insignificant effect on financial performance of listed non-financial services firms in Nigeria. Based on the p-value of the coefficient in the regression from Table 6 ( $p\text{-value } 0.225 > 0.05$ ), it signifies that employee welfare cost has a positive but insignificant effect on financial performance of the listed firms. It therefore, implies that an increase in expenditure on employee training and development is associated with higher corporate financial performance. Thus, the fourth hypothesis ( $H_{04}$ ) which states that employee welfare cost has no significant effect on financial performance of non-financial services firms in Nigeria was failed to be rejected.

More interestingly, the findings are consistent with the work of Etale et al. (2021), Ndum and Oraneto (2021), Mulolli and Boskovska (2020). The aforementioned studies have jointly revealed positive significant impact of employee welfare cost on corporate performance of listed firms.

## **Conclusion and Recommendations**

- i. Product quality cost has a positive and statistically significant effect on financial performance of listed non-financial services firms in Nigeria. It is concluded that PQC strongly affect financial performance of the listed non-financial services firms in Nigeria;
- ii. Local community cost has a positive and significant effect on financial performance of listed non-financial services firms in Nigeria. This shows that LCC by corporate entities in the non-financial services firms serves as a good determinant of financial performance;
- iii. The cost associated with environmental responsibility exhibits a negative and statistically insignificant impact on the financial performance of publicly listed non-financial services firms in Nigeria. The results indicate that firms exhibiting lower earnings response coefficients are predisposed to face a downturn or yield diminished financial performance compared to those with elevated earnings response coefficients.
- iv. The costs associated with employee welfare demonstrated a positive yet statistically insignificant impact on the financial performance of publicly listed non-financial services firms in Nigeria. This suggests that organisations that prioritise employee welfare services are more inclined to achieve greater profitability compared to those that invest less in such initiatives.

## **Recommendations**

The following recommendations were made from the findings and conclusions of this study:

- (i) Considering the economic circumstances currently facing Nigeria, as elucidated by this study, it is imperative for the management and stakeholders of non-financial services firms to uphold the existing standards of their product quality. The allocation of appropriate resources towards enhancement not only ensures the integrity of products but also has the potential to elevate the profitability of the publicly listed non-financial services companies in Nigeria.
- (ii) (ii) The relevant stakeholders and management of non-financial services firms in Nigeria should continue to improve their spending on local community activities as it directly enhances the profitability of the firms. Specifically, more attention should be given to people with disabilities (PWDs), Orphanages, widows, scholarships for out-of-school children as well as making donations and charitable contributions.
- (iii) Stakeholders of non-financial services firms in Nigeria should encourage management of the firms towards committing adequate funds on environmental responsibilities with the expectation

of enhancing financial performance. This is because environmental disclosures such as environmental compliance and environmental investment policy, can increase business reputation and products' patronage which subsequently increases profitability.

- (iv) The management, board of directors, and key stakeholders of non-financial services firms in Nigeria should encourage the commitment of firms' resources towards improving employees' welfare services. Such commitment can bring about higher productivity of employees which can enhance the human capital resources of every firm. By doing so, it has the potential of improving productivity which ultimately increases financial performance.

### **Contributions to Knowledge**

This study has made several contributions to knowledge by first providing evidence from an emerging economy that corporate social responsibility costs proxied by PQC, LCC, ERC, and EWC have significant impact on the financial performance of listed non-financial services firms in Nigeria. This study also contributes to knowledge because it is affirmed that ROA can serve as a measure of profitability, as some of the studies used return on equity, return on capital, Tobins Q as a measure of profitability of listed non-financial services firms in Nigeria.

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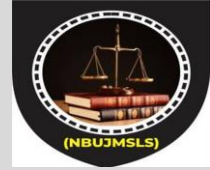
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## **SUPPLY CHAIN AGILITY AND ORGANIZATIONAL PERFORMANCE OF FOOD AND BEVERAGE FIRMS IN RIVERS STATE, NIGERIA**

**By**

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### **Abstract**

This study explores the relationship between supply chain agility and organizational performance of food and beverage firms in Rivers State, Nigeria, with a focus on the components of flexibility and collaboration. The study employed cross sectional survey design and the accessible population for this survey comprises 196 managers and supervisors of 15 food and beverage firms in Rivers State. The study was a census study. Data were gathered using a structured questionnaire. Using Spearman's rank order correlation in data analysis, the findings reveal significant positive relationships between both flexibility and collaboration with goal attainment and operational flexibility. Specifically, flexibility shows a strong correlation with both goal attainment and operational efficiency, while collaboration also significantly enhances these performance outcomes. These findings underscore the importance of fostering both adaptability and teamwork within the supply chain to enhance organizational outcomes. The study concludes that implementing agile practices that promote flexibility, and collaboration can significantly improve the competitive positioning and operational success of food and beverage firms. The study recommends enhancing flexibility, investing in adaptive technologies, fostering cross-functional collaboration, and establishing real-time data-sharing systems.

**Keywords:** Supply Chain Agility, Flexibility, Collaboration, Organizational Performance, goal attainment, Operational Efficiency.

### **1.0 Introduction**

In today's competitive environment, a company's operational effectiveness, customer satisfaction, and long-term resilience are all largely dependent on its organisational performance. Businesses that perform at their best not only save money on resources but also reduce waste and streamline operations, which are vital benefits in sectors with extremely narrow profit margins. For instance, controlling the high expenses of labour, equipment, and raw materials is a difficult task in the food production industry

(Singagerda, et al.,2024). The capacity to maximise these resources is a strength of high-performing businesses, increasing output and profitability. In a market where perishable goods require accuracy and speed, operational efficiency is more than simply a tactic—it's essential to maintaining a competitive edge, guaranteeing quality and promoting consumer satisfaction.

In the food and beverage industry, another important result of excellent organisational performance is customer satisfactions. Organizational performance increases trust and loyalty in customer. A high degree of operational precision is necessary to meet consumer expectations for food products to be safe, fresh, and consistent in taste and presentation (Rai et al., 2023). Loyal client bases are crucial for recurring business and are developed by businesses that continuously meet or beyond customer expectations. In addition to drawing in new clients, a solid reputation for dependability and quality sets businesses apart from rivals, which is particularly beneficial in today cutthroat and crowded industry. The ability of food and beverage companies to adjust to shifting market conditions is also greatly influenced by organisational effectiveness (Yusuf & Nwankwerre, 2024). Changes in customer tastes, such as a move towards plant-based diets, low-sugar alternatives, or ecological packaging, require quick responses from the food business. Strong performance indicators give businesses the resources and flexibility to quickly innovate or pivot, launching new goods or changing procedures to accommodate these developments. Additionally, avoiding fines and preserving brand integrity depend on adherence to changing regulatory standards in areas like food safety, labelling, and environmental impact. Performance-driven businesses are better equipped to fulfil these demands and guarantee continuous compliance, protecting their business and image.

Organisational performance helps food and beverage firms thrive and expand financially. By lowering expenses and increasing profit margins, effective performance management enables businesses to reinvest in infrastructure improvements, market expansion, and product development (Gutterman, 2023). With more profits, these businesses can investigate cutting-edge technology, enter new markets, or launch new product lines to reach a wider range of consumers. High-performing companies are better able to survive in an unpredictable market environment by increasing their profitability and growth potential, which acts as a buffer against supply chain interruptions or economic downturns. Corporate social responsibility (CSR) and sustainability activities, which are becoming more and more significant in today's market, are greatly influenced by organisational performance. Customers and stakeholders are putting increasing pressure on food and beverage companies to implement sustainable practices, cut

waste, and lessen their environmental effect. Effective resource allocation towards these objectives, such as ethical sourcing, energy conservation, or the use of environmentally friendly packaging, is made possible by strong organisational performance (Latip et al., 2022). This kind of alignment with consumer values improves the brand's image, satisfies the growing demand from consumers for moral behaviour, and promotes the long-term well-being of the company and the environment.

In the fast-paced and highly competitive food and beverage industry, supply chain agility has become a crucial factor influencing organizational performance. As companies strive to meet fluctuating consumer demands, navigate supply chain disruptions, and respond swiftly to market changes, agility in supply chain processes becomes essential for maintaining operational efficiency and customer satisfaction. Supply chain agility refers to the ability of a firm to quickly adjust its operations, inventory, and distribution channels in response to internal and external changes (Panigrahi et al., 2023). For food and beverage firms, where product freshness and timely delivery are paramount, agile supply chains help avoid costly delays, reduce waste, and optimize resource use—all of which contribute to improved organizational performance and resilience in a volatile market. Moreover, supply chain agility enables firms to capitalize on new market opportunities and respond effectively to challenges such as supply shortages, regulatory shifts, and evolving consumer preferences. By enhancing flexibility in sourcing, production, and logistics, food and beverage firms can better align their operations with dynamic market conditions, improving both profitability and customer loyalty. Companies with agile supply chains are better positioned to achieve superior organizational outcomes, including higher product quality, reduced lead times, and increased profitability (Al Humdan et al, 2020). As the food and beverage industry continues to evolve, the role of supply chain agility in shaping organizational performance is likely to become even more pronounced, positioning it as a strategic priority for firms aiming to maintain a competitive edge.

Despite several study in supply chain agility (Panigrahi et al., 2023; Al Humdan et al, 2020; Singagerda, et al.,2024), and organisational performance (Yusuf & Nwankwerre, 2024; Latip et al., 2022 respectively, a dearth of empirical study on the influence of supply chain agility on organisational performance eof the food and beverage firms in Rivers State motivate the study. The study will bridge the observed gap in knowledge by offering region-specific findings, which can guide managers in the food and beverage sector toward more effective supply chain practices. Furthermore, the study's

outcomes are expected to inform policy and strategic decisions that can strengthen the overall performance and resilience of food and beverage firms in dynamic and competitive environments.

### **Statement of the Problem**

The food and beverage business faces complex organisational performance issues that have a direct impact on profitability, product quality, and operational effectiveness. The intricacy of the supply chain is one major issue. To guarantee that goods are delivered to customers in a safe and fresh manner, food and beverage companies depend on a vast network of suppliers, carriers, and distribution hubs. Any interruption in this chain, however, whether brought on by supplier delays, logistical problems, or outside variables like bad weather or unstable economic conditions, can result in delays, higher expenses, and lower-quality products (Kanike, 2023). Food and beverage companies find it difficult to maintain a smooth flow as a result of these complications, which frequently leads to inefficiencies that have a detrimental effect on the performance of the entire organisation.

Compliance and quality control are crucial issues performance problem. To guarantee that its goods are safe to eat, the food and beverage industry is subject to strict regulations. It can be expensive and difficult to maintain compliance with strict health and safety requirements, particularly when doing so across several locations with varied rules. Every step of the process, from acquiring raw materials to processing, packaging, and distribution, requires constant quality monitoring (Aljafary, 2024). Fines, product recalls, and reputational harm may result from not meeting these requirements. Additionally, businesses are under increasing pressure to have strong quality control procedures in place due to rising consumer awareness of food safety and quality. If these procedures are not followed, they can seriously impair performance and erode customer confidence. Another set of issues influencing organisational success in food and beverage companies is labour management. These businesses frequently work in labour-intensive settings where precision in operations like food preparation, packaging, and quality assurance is essential. Maintaining a skilled and steady workforce is challenging due to high turnover rates, personnel shortages, and seasonal demands (Geminarqi & Purnomo, 2023). This can result in higher training expenses and possible production slowdowns. Furthermore, workplaces where monotonous work, rigid deadlines, and little downtime are the norm may see a decline in employee morale and productivity. Ineffective labour management can lower overall productivity, increase mistakes, and degrade product quality, all of which can influence customer satisfaction and organisational performance.

Additionally, the industry is battling sustainability challenges that complicate operating objectives. Food and beverage companies must figure out how to cut waste, carbon footprints, and ingredient sourcing sustainably while maintaining profitability in response to consumer demands for eco-friendly practices (Peleg, 2021). Making the switch to sustainable practices necessitates a large investment in new technologies, such as waste reduction programs and energy-efficient machinery. Consumers that care about the environment may criticise businesses that take too long to change, which would reduce their market appeal and have a detrimental effect on performance. But striking a balance between cost-effectiveness and environmental initiatives continues to be a significant challenge, especially for smaller businesses with tighter finances.

The food and beverage business faces both opportunities and challenges because of technological adaption. Adoption of automation, data analytics, and AI-driven solutions necessitates significant upfront investment and workforce training, notwithstanding the promise for operational optimisation, quality improvement, and cost reduction (Kler et al., 2022). In a sector that frequently has narrow profit margins, many food and beverage companies find it difficult to defend these expenses, which makes it difficult to quickly adopt cutting-edge technologies. Failure to adopt new technology can also cause businesses to fall behind their more creative rivals, which can affect their capacity to improve customer service, optimise inventories, and react quickly to market changes. Businesses that are sluggish to adopt digital transformation run the danger of losing their agility, efficiency, and eventually profitability over time.

### **Aim and Objectives of the Study**

This study examined the relationship between supply chain agility on organisational performance of food and beverage firms in Rivers State. The specific objectives are to determine the association between:

1. Flexibility and goal attainment of food and beverage firms in River State.
2. Flexibility and operational efficiency of food and beverage firms in River State.
3. Collaboration and goal attainment of food and beverage firms in River State.
4. Collaboration and operational efficiency of food and beverage firms in River State.

### **Research Questions**

1. What is the relationship between flexibility and goal attainment of food and beverage firms in Rivers State?

2. How does flexibility relate with operational efficiency of food and beverage firms in Rivers State?
3. What is the relationship between the collaboration and goal attainment of food and beverage firms in Rivers State?
4. How does collaboration relate to the operational efficiency of food and beverage firms in Rivers State?

### **Research Hypotheses**

Ho<sub>1</sub>: There is no significant relationship between flexibility and goal attainment of food and beverage firms in Rivers State.

Ho<sub>2</sub>: There is no significant relationship between flexibility and operational efficiency of food and beverage firms in Rivers State

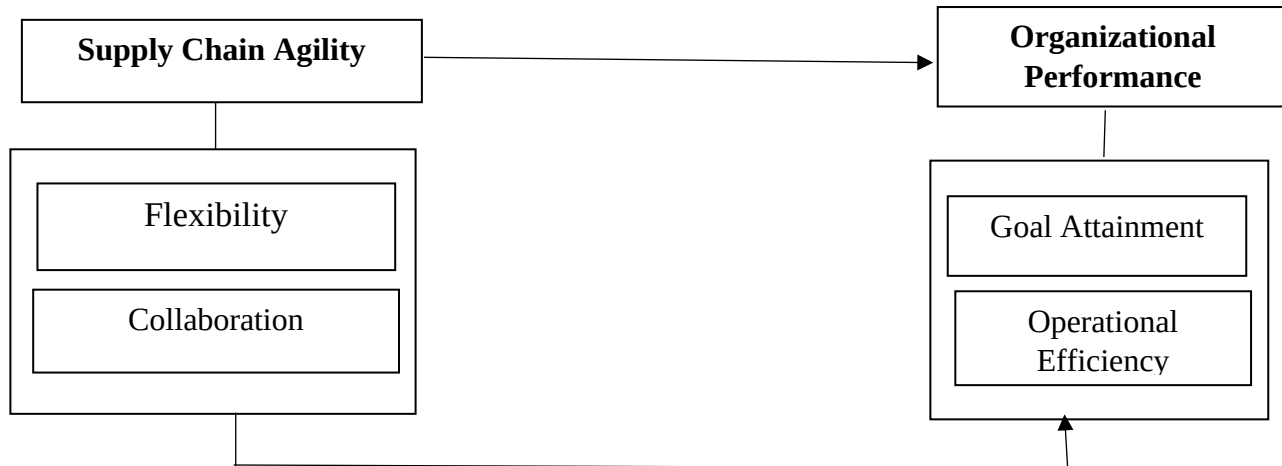
Ho<sub>3</sub>: There is no significant relationship between the collaboration and goal attainment of food and beverage firms in Rivers State.

Ho<sub>4</sub>: There is no significant relationship between collaboration and operational efficiency of food and beverage firms in Rivers State

### **2.0 Review of Related Literature**

This work take its precept from Dynamic Capabilities Theory, proposed by Teece, Pisano and Shuen (1997) which provides a relevant theoretical foundation for understanding the link between supply chain agility and organizational performance. This theory posits that an organization's ability to adapt, integrate, and reconfigure internal and external resources in response to changing environments is critical for achieving sustained competitive advantage. In the context of supply chain agility, dynamic capabilities such as flexibility and collaboration allow firms to quickly respond to market fluctuations, streamline operations, and enhance coordination across the supply chain. These agile responses directly contribute to organizational performance by ensuring that firms can meet performance goals and improve operational efficiency, particularly in volatile industries like food and beverage. Thus, the Dynamic Capabilities Theory supports the premise that agility within the supply chain is a strategic asset that drives performance outcomes in organizations.

## Conceptual Framework



**Figure 1:** A conceptual framework of supply chain agility and organizational performance

**Source:** The dimensions were adapted from Jindal, Sharma, Sangwan and Gupta (2021), the measures were adapted from Omhoria and Needorn (2022).

## Supply Chain Agility

The ability of a company to use flexible and adaptive supply chain tactics to react swiftly and efficiently to shifts in market circumstances, supply, and demand is known as supply chain agility (Singh & Modgil, 2024). Agility is vital for preserving product availability and quality in the food and beverage sector, since consumer preferences change frequently, and items are frequently perishable. With the help of an agile supply chain, businesses can quickly modify their manufacturing, distribution, and procurement procedures, managing seasonal peaks, introducing new goods, and satisfying unforeseen demand spikes without sacrificing quality (Yamin, et al., (2024). This flexibility is particularly helpful in cutting lead times, controlling expenses, and cutting waste—all of which are critical for staying competitive in this quick-paced sector.

Additionally, supply chain agility increases resilience to shocks like natural catastrophes, legislative changes, and worldwide supply chain shortages. To lessen the effects of these disruptions and keep up with customer expectations, agile food and beverage companies can swiftly modify their sourcing plans, manufacturing schedules, and distribution networks (Nsowah, Jet al., 2024). By guaranteeing dependability and continuity, this agility not only lowers downtime but also improves the company's reputation. Food and beverage companies can improve their ability to detect market shifts and react

proactively by investing in real-time data analytics, sophisticated logistics, and cooperative supplier relationships. This is essential for preserving a competitive edge and attaining long-term sustainability.

### **Flexibility**

Flexibility in an organisational context refers to a company's or its workers' capacity to adjust to internal or external environmental changes (Husain et al., 2024). It includes both organisational and personal flexibility, allowing businesses to react quickly to changes in the market, in technology, or in customer preferences. Flexible companies frequently use agile approaches and give workers some latitude to make choices that allow for swift direction adjustments (Balaban & Đurašković, 2021). Product creation, service delivery, and operating procedures are just a few of the areas where this flexibility can be used. A manufacturing company with adaptable production methods can minimise downtime and increase efficiency by rapidly adjusting its output to match changing client demands.

Since flexibility gives people more choice over their schedules, jobs, and even work location, it can increase employee engagement and job satisfaction. In the era of remote and hybrid work, where employees value the ability to control their work-life balance, this flexibility is especially crucial. Additionally, because employees feel less bound by strict frameworks and are encouraged to try out new ideas, flexibility frequently results in a more creative culture within the company (Chalab. & Chraimukh, 2023). Employees can modify their workflows to suit the demands of the task in a flexible work environment, which helps improve teamwork and solve problems more quickly. An organization's ability to adapt helps it remain resilient and keep a competitive edge in quickly changing marketplaces.

### **Collaboration**

The process of utilising each member's distinct abilities and viewpoints to accomplish a common objective is known as collaboration. Open communication, respect for one another, and a shared dedication to the project's success are frequently traits of effective collaboration. Collaboration can take place at several levels inside organisations, including collaborations between businesses or amongst coworkers in the same department or across departments. Employees from different departments collaborate on a project in cross-functional teams, which facilitates the integration of different points of view and produces more comprehensive answers. skills sharing and creativity are also greatly aided by collaboration, as staff members combine their skills to solve complicated problems that could be challenging for one person to handle alone (CASCADE Team, 2023).

Collaboration not only improves creative and problem-solving skills but also builds relationships and a sense of community inside an organisation. Close collaboration among coworkers fosters trust and a greater comprehension of one another's advantages and disadvantages, all of which can enhance team performance (Igbinenikaro et al., 2024). e. Technology solutions like project management software, video conferencing, and shared digital workspaces have made it possible for teams to collaborate easily in modern workplaces, regardless of their physical location. In addition to speeding up project completion, effective cooperation creates a more motivated and cohesive workforce by making workers feel appreciated and connected to their colleagues.

### **Organizational Performance**

The effectiveness with which a business achieves its aims and objectives is referred to as organisational performance, and it is commonly gauged by indicators like profitability, customer satisfaction, operational efficiency, and innovation (Alhosani & Ahmad, 2024). High organisational performance in the food and beverage sector entails not just making money but also guaranteeing customer satisfaction, product quality, and regulatory compliance. Food and beverage companies can increase their income and growth by cultivating consumer loyalty through efficient operations, high-quality products, and reliable service. Additionally, performance indicators aid in pinpointing areas that require improvement, allowing businesses to increase output, cut expenses, and optimise the use of their resources.

The ability of food and beverage companies to innovate and adjust to shifting consumer needs and market trends is another way that organisational performance is evaluated, in addition to financial indicators. Businesses that make investments in R&D and continual improvement are better equipped to launch new goods and adapt to changing consumer demands, such as the need for more sustainable or healthful food options. Thus, organisational performance turns into a thorough gauge of a company's capacity to run effectively, satisfy clients, and maintain its competitive edge. Food and beverage companies can increase resilience, efficiently respond to market changes, and ensure a sustainable future by regularly assessing and improving their internal processes (Aubouin-Bonnaventure et al., 2024).

### **Goal Attainment**

The process by which businesses establish, work towards, and accomplish certain goals that complement their strategic vision is known as goal achievement (Lee, 2024). Achieving goals in the food and beverage industry frequently entails striking a balance between short-term operational requirements and

long-term objectives including growing market share, raising consumer satisfaction, and increasing product quality. Employees and management can better coordinate their behaviours and efforts towards shared outcomes when they have clear, quantifiable goals that give them a structured way forward. To encourage staff to adopt more sustainable methods and lower expenses related to extra materials, a food production company might, for instance, set a goal to cut waste by 20% over the course of a year. However, achieving such objectives calls for ongoing oversight, resources, and flexibility since unanticipated difficulties like supply chain interruptions or market fluctuations can hinder progress.

Setting reasonable, attainable goals and regularly monitoring performance indicators are critical to an organization's success (Baldwin et al., 2024). This frequently includes cost control, efficiency metrics for production, packaging, and distribution processes, as well as quality benchmarks in food and beverage companies. Managers can keep momentum and stay on course by measuring progress towards targets and making required modifications with the support of a robust feedback system. Furthermore, when objectives are met, companies not only boost employee morale and credibility but also promote a continual improvement culture. In a field where consumer tastes change quickly, legal requirements change frequently, and competition is intense, this culture is crucial. A company can establish a solid market position and strengthen its resistance to industry problems by continuously accomplishing its objectives.

### **Operational Efficiency**

Operational efficiency is essential because of the food and beverage industry's high resource requirements and narrow profit margins. By maximising resource utilisation, reducing waste, and making sure that every step of production—from sourcing ingredients to product delivery—is carried out quickly and precisely, operational efficiency can be attained (Akinsulire et al., 2024).. The quality and freshness of food and beverage companies' products are directly related to their operational efficiency. The period between production and delivery is crucial for perishable commodities, and efficient processes assist maintain this quality. Operationally efficient businesses may better control expenses, cut down on overhead, and eventually pass savings on to customers, giving them a competitive edge in the market.

Additionally, a company's flexibility and reactivity to unforeseen obstacles are supported by operational efficiency. Effective resource management enables businesses to react more adaptably to changes in the

price of raw materials or interruptions in supply networks. By lowering the possibility of bottlenecks and minimising manual errors, implementing lean principles, investing in automation, and utilising data analytics can greatly improve operational efficiency. Businesses that prioritise operational efficiency are better positioned to increase their bottom line, consistently fulfil customer demand, and handle the difficulties of a fast-paced market in an industry where delays and waste can quickly erode revenue (Hakimi et al., 2024). In addition to enhancing the company's present performance, this approach lays the groundwork for long-term expansion and competitive resilience.

### **Empirical Review**

Works on related variables abide over the years. Ngatia et al., (2024) evaluate how supply chain flexibility affected Kenyan food and beverage manufacturing companies' performance. With a sample size of 150 respondents established by Krejcie and Morgan (1970), the study focused on senior procurement managers from 246 Kenyan companies using a cross-sectional survey. While the main study distributed 135 questionnaires and received 119 replies, a pilot survey of 15 enterprises (10% of the sample) returned 13 questionnaires. Using SPSS version 28, data was analysed using inferential statistics (correlation, regression, hypothesis testing) and descriptive statistics (mean, standard deviation, skewness, and kurtosis). While validity was evaluated using criteria, content, and construct tests, reliability tests showed a Cronbach's alpha over 0.7 for all variables, showing dependability. Findings revealed a positive, significant relationship between supply chain flexibility and performance ( $\beta$ : 0.590,  $t$ : 7.910,  $p \leq 0.00$ ), showing that an increase in supply chain flexibility enhances firm performance.

Ngenoh and Noor (2024) investigated how supply chain innovation strategies affected the performance of food and beverage manufacturing companies in Nairobi City County, Kenya. With a sample size of 231 chosen by stratified random sampling and based on the Yamane formula, the study used a descriptive survey approach to target 546 managers from 91 organisations. Structured questionnaires were used to gather data, and SPSS version 25 was used for analysis. The associations between variables were evaluated using descriptive statistics (frequency, percentages, mean, standard deviation) and inferential statistics (correlation and multiple regression). The findings demonstrated that both improvement and technology strategies considerably boost business performance, with improvement methods having the biggest impact ( $\beta = 0.301$ ,  $p = 0.000$ ) and technological strategies having the largest benefit ( $\beta = 0.314$ ,  $p = 0.000$ ).

Liestyana et al., (2024) determine how the operational performance of food and beverage MSMEs in Sleman, Indonesia, is impacted by supply chain dynamic characteristics, such as cooperation, integration, agility, and responsiveness. Food and beverage MSMEs in Sleman, Indonesia, that use supply chain management skills including cooperation, integration, agility, and responsiveness, make up the study's sample. MSMEs already have a stronger supply chain network because they must have been in business for more than three years, beginning in 2019. In 2024, a set of questionnaires was used to gather data from sixty food and beverage MSMEs. The questionnaires were tested for reliability using Cronbach's Alpha and validity using Pearson's correlation. SPSS 25 software is used for data processing in this study, along with multiple regression analysis as an analysis tool. This analysis aids in demonstrating if two or more independent variables have an impact on the dependent variable. The findings of this study demonstrate that operational performance is significantly improved by collaboration, integration, agility, and responsiveness. To increase value, it is necessary to sustain the growth of collaboration capabilities between MSMEs and both internal and external partners. The results of the hypothesis test indicate that the operational performance of MSMEs in Sleman, Indonesia, is highly impacted by the integration capability variable. In Sleman, Indonesia, the agility capability variable has a major impact on MSMEs' operational performance. The operational performance of the system is greatly impacted by responsiveness.

Abade et al., (2024) examined how supply chain automation affected the performance of Kenyan food and beverage manufacturing companies and ascertained how supplier capability affected the relationship between supply chain automation and performance. The Theory of Technology Acceptance Model (TAM) served as the study's compass. Descriptive survey design was used in this study to explain and adhere to positivism. The study's population consisted of 544 respondents who were drawn from four departments of 68 food and beverage manufacturing companies in Kenya: the procurement department, inventory department, sale management department, and finance department. The Theory of Technology Acceptance Model (TAM) was used. Descriptive survey design was used in this study to explain and adhere to positivism. The study's population consisted of 544 respondents who were drawn from four departments of 68 food and beverage manufacturing companies in Kenya: the procurement department, inventory department, sale management department, and finance department. A structured questionnaire was used. 227 respondents were selected for the study using a simple random sampling technique. Research instrument dependability was assessed using Cronbach alpha. Construct validity was tested using explanatory factor analysis. SPSS version 25 was used to examine the data using both descriptive

and inferential statistics. At (0.05) level of significance, multiple regression and hierarchical regression models were used to test the hypotheses. According to the survey, supply chain automation has the biggest impact (3.761). The results also demonstrated that the connection between supply chain automation and the performance of Kenyan food and beverage manufacturing companies is positively moderated by supplier capabilities (3.721).

### **3.0 Methodology**

The cross sectional survey was adopted in this study. The accessible population for this survey comprises 196 managers and supervisors of 15 food and beverage firms in Rivers State. The study was a census study. Data were gathered using a structured questionnaire. Responses were rated on a 4-point Likert scale. The instrument's validity was established through face and content validation, while reliability was confirmed using Cronbach's Alpha, with a threshold of (0.7). The predictor variable (supply chain agility) was measured with flexibility and collaboration. 5 items were used to measure flexibility (e.g. Our organization can quickly adapt its supply chain processes to meet sudden changes in demand), and the collaboration was measured with 5 items, (e.g. Our organization encourages open communication and information sharing across all supply chain partners) The criterion variable was measured with goal attainment and operational efficiency. 5 items were used in measuring goal attainment (e.g. Our organization regularly achieves its supply chain goals within the set timeline), and 5 items were used in measuring operational efficiency (e.g. Our organization optimizes resource usage across all supply chain operations). Data analysis was conducted using Spearman's rank correlation coefficient. Statistical significance was applied to p-values below 0.05, and rejection was applied to those above 0.05.

### **4.0 Result**

A total of 196 copies of questionnaire were administered and only 190 was returned. The returned questionnaires constitute the valid questionnaire that were used for the analysis at a 95% level of confidence.

**Table 1: Flexibility And Organisational Performance**

| Correlations   |                        |                         | Flexibility | Goal Attainment | Operational Efficiency |
|----------------|------------------------|-------------------------|-------------|-----------------|------------------------|
| Spearman's rho | Flexibility            | Correlation Coefficient | 1.000       | .820**          | .810*                  |
|                |                        | Sig. (2-tailed)         | .           | .000            | .000                   |
|                |                        | N                       | 190         | 190             | 190                    |
|                | Goal Attainment        | Correlation Coefficient | .820**      | 1.000           | .790                   |
|                |                        | Sig. (2-tailed)         | .000        | .               | .000                   |
|                |                        | N                       | 190         | 190             | 190                    |
|                | Operational Efficiency | Correlation Coefficient | .810*       | .790            | 1.000                  |
|                |                        | Sig. (2-tailed)         | .000        | .000            | .                      |
|                |                        | N                       | 190         | 190             | 190                    |

The analysis in Table 1 shows a significant relationship between flexibility and goal attainment, with a p-value of .000, which is less than .05 ( $p < 0.05$ ). a correlational value of .820 and  $R^2 = .672$ . The correlation coefficient of 0.820 indicates a positive relationship between these two variables. Additionally, the table highlights a significant relationship between flexibility and operational efficiency, also with a p-value of .000 ( $p < 0.05$ ), a correlational value of .810 and  $R^2 = .656$ , suggesting a positive correlation between flexibility and operational efficiency.

**Table 2: Collaboration And Organisational Performance**

| Correlations   |                        |                         | Collaboration | Goal Attainment | Operational Efficiency |
|----------------|------------------------|-------------------------|---------------|-----------------|------------------------|
| Spearman's rho | Collaboration          | Correlation Coefficient | 1.000         | .835**          | .815**                 |
|                |                        | Sig. (2-tailed)         | .             | .000            | .000                   |
|                |                        | N                       | 190           | 190             | 190                    |
|                | Goal Attainment        | Correlation Coefficient | .835**        | 1.000           | .755                   |
|                |                        | Sig. (2-tailed)         | .000          | .               | .000                   |
|                |                        | N                       | 190           | 190             | 190                    |
|                | Operational Efficiency | Correlation Coefficient | .815**        | .755            | 1.000                  |
|                |                        | Sig. (2-tailed)         | .000          | .000            | .                      |
|                |                        | N                       | 190           | 190             | 190                    |

The analysis in Table 2 reveals a significant relationship between collaboration and goal attainment, with a p-value of .000, indicating it is less than .05 ( $p < 0.05$ ),  $R = .835$  and  $R^2 = .697$ . This suggests a strong positive association between these variables. Furthermore, the table indicates a significant relationship between collaboration and operational efficiency, with a p-value of .000 ( $p < 0.05$ ),  $R =$

0.815 and  $R^2=.664$ , demonstrating a positive correlation between collaboration and operational efficiency.

## **5.0 Discussion of Findings**

The result from Table 1 demonstrate that flexibility has a significant positive impact on organizational performance in terms of both goal attainment and operational efficiency. The correlation between flexibility and goal attainment is strong, with a Spearman's rho of 0.820 and a p-value of 0.000, indicating statistical significance at the 0.05 level ( $p < 0.05$ ). This correlation coefficient ( $R = 0.820$ ) corresponds to an  $R^2$  value of 0.672, suggesting that approximately 67.2% of the variance in goal attainment can be explained by flexibility. Additionally, the correlation between flexibility and operational efficiency is also significant, with a Spearman's rho of 0.810, p-value of 0.000, and an  $R^2$  value of 0.656. This indicates that 65.6% of the variance in operational efficiency is attributable to flexibility, underscoring flexibility's importance in driving efficient operations and achieving organizational goals.

This suggests that flexibility is an important aspect in improving organisational performance because it contributes considerably to both goal achievement and operational efficiency. The significant relationship between flexibility and these performance measures implies that organisations that prioritise flexible processes and systems are more likely to achieve their objectives and run efficiently. Flexibility explains a significant portion of the variance in both goal attainment (67.2%) and operational efficiency (65.6%), implying that organisations with higher adaptability can better respond to changes in demand, resource availability, and other external factors that affect performance.

Moreover, the findings highlight the potential for flexibility to serve as a strategic asset, enabling organizations to not only sustain but also improve their competitive positioning in dynamic markets. When organizations are flexible, they can adjust operations, reallocate resources, and refine their processes in ways that enhance productivity and optimize resource usage, leading to better overall performance. This positive impact of flexibility on both strategic goals and day-to-day operations suggests that fostering flexibility within an organization—whether through agile practices, responsive supply chain management, or adaptable workforce policies—can lead to sustained performance improvements and more resilient organizational outcomes. This conforms with Liestyana et al., (2024)

that supply chain dynamic characteristics, such as cooperation, integration, agility, and responsiveness relate with firms' organisational performance

Table 2 shows that collaboration is a strong predictor of organisational performance. The association between collaboration and goal attainment is substantial, with a Spearman's rho of 0.835 and a p-value of 0.000, indicating significance at the 0.05 level ( $p < 0.05$ ). Collaboration accounts for roughly 69.7% of the variance in goal attainment ( $R^2 = 0.697$ ). Collaboration has a significant positive link with operational efficiency (Spearman's rho = 0.815, p-value = 0.000, and  $R^2=0.664$ ). Collaboration accounts for 66.4% of the variance in operational efficiency. These findings highlight the importance of collaboration in boosting operational efficiency inside organisations, as well as improving goal attainment.

This suggests that collaboration is critical to improving organisational performance since it directly contributes to goal achievement and operational efficiency. The strong positive relationships indicate that organisations that promote collaborative practices are better positioned to achieve their strategic goals and streamline their operations. Collaboration accounts for 69.7% of the variance in goal attainment and 66.4% in operational efficiency, indicating that strong teamwork, communication, and collaboration within and between departments are significant success drivers. Organisations that encourage cooperation gain from shared knowledge, coordinated efforts, and a cohesive work atmosphere, all of which help to achieve goals more efficiently.

Furthermore, these data highlight the strategic benefits of incorporating cooperation into organisational culture. Organisations can achieve more smooth operations, faster decision-making, and greater adaptability to problems by improving communication channels, increasing team trust, and boosting cross-functional cooperation. The favourable impact of collaboration on operational efficiency and goal achievement suggests that when employees work well together, resources are more effectively used, processes operate more smoothly, and overall productivity improves. This emphasises the importance of investing in collaboration tools, team-building initiatives, and interdepartmental alignment to enhance long-term organisational success and resilience. This agrees with Abade et al., (2024) that supply chain automation affected the performance of Kenyan food and beverage manufacturing companies,

## **6.0 Conclusion and Recommendations**

The study examines supply chain agility and organisational performance of the food and beverage firms in Rivers State and suggests that supply chain agility, notably in the dimensions of flexibility and collaboration, has a considerable impact on the organisational performance of food and beverage enterprises in Rivers State. The findings show that supply chain flexibility correlates favourably with goal attainment and operational efficiency, implying that organisations that can adjust swiftly to market changes are better positioned to accomplish strategic goals and enhance resource management. Flexibility allows these companies to withstand demand changes, optimise manufacturing processes, and alter operations to preserve efficiency, resulting in a sustainable competitive edge. Similarly, collaboration in the supply chain has a strong positive relationship with goal achievement and operational efficiency. The findings show that when food and beverage companies promote cooperation, open communication, and interdepartmental coordination, they are more effective at meeting performance goals and optimising operations. This emphasises the significance of collaborative methods in developing a cohesive supply chain that not only corresponds with organisational aims but also increases overall efficiency. As a result, the study emphasises the need of flexibility and collaboration in supply chain agility for food and beverage companies seeking to improve their performance in an increasingly dynamic and competitive environment. It was thus recommended that;

1. The Food and beverage firms should invest in technologies and systems that support flexible supply chain operations, such as demand forecasting tools, adaptable inventory management systems, and responsive logistics solutions that allow firms to quickly adjust to changes in consumer demand and market conditions to improve their ability to meet strategic goals more effectively, even in unpredictable market environments.
2. Firms should implement agile practices such as lean manufacturing, real-time inventory tracking, and flexible staffing arrangements, to reduce waste, optimize resource utilization, and streamline workflows and train employees in problem-solving skills to ensure that operational processes remain adaptable and efficient.
3. Food and beverage firms should focus on fostering collaboration both within and outside the organization to align all parties toward shared objectives Internally, this might involve cross-functional teams working closely to align their efforts with overall organizational goals.

Externally, firms should consider building strong partnerships with suppliers, distributors, and other stakeholders to ensure seamless communication and coordination.

4. Firms should establish systems for real-time data sharing and communication across the supply chain. Implementing collaborative platforms that allow for shared access to inventory levels, production schedules, and logistics data can help all stakeholders coordinate effectively, reducing delays and minimizing inefficiencies,
5. Firms should conduct regular workshops and training programs that encourage teamwork and knowledge-sharing across departments, ultimately fostering a more integrated and efficient supply chain.

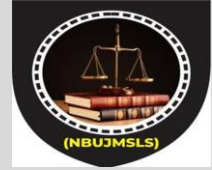
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## **EVOLUTION OF INTERNATIONAL RELATIONS AND DIPLOMACY IN THE 21ST CENTURY: CHALLENGES, OPPORTUNITIES AND PROSPECTS**

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### **Abstract**

The 21st century has witnessed significant transformations in the realm of international relations and diplomacy. The end of the Cold War, the rise of globalization, and the proliferation of non-state actors have collectively reshaped the international landscape. This paper examines the evolution and transformation of international relations and diplomacy in the 21st century, highlighting the challenges, opportunities, and prospects. It seeks to provide insight into how global interactions have evolved due to technological advancements, geo-political shifts and emerging global trends as well as propose innovative approaches to addressing modern diplomatic challenges. Applying a qualitative methodological approach; its findings suggest that while the challenges in 21<sup>st</sup> century diplomatic landscape are significant, they also create opportunities for innovation, and re-imagining of traditional practices in international relations. The paper therefore recommends strengthening global governance structures; and adapting technological advancement towards enhancing multilateral cooperation.

**Keywords:** International Relations, Diplomacy, Globalization, Non-state Actors, Global Governance.

### **1. Introduction**

International relations involve the interactions of states at the global level with respect to protecting and projecting interests in politics, commerce, technology, military and economy. During the interactions, individual states are faced with the processes of cooperation, competition and conflict (at times war). Political disputes and conflicts among states are often reconciled in the context of meetings through the instrumentality of diplomacy.

Diplomacy, as the practice of managing international relations, has been a fundamental aspect of human interaction for centuries. However, in the rapidly evolving world of the 21st century, it is undergoing significant transformations to meet the challenges and opportunities presented by an interconnected and

complex global network. The 21<sup>st</sup> century represents a transformative period for international relations and diplomacy, marked by profound shifts in global dynamics, technological advancements, and unprecedented challenges. Scholars like Morgenthau emphasize the enduring relevance of power and state interests in diplomacy (Morgenthau, 1948). Also, Joseph Nye highlights the growing influence of soft power and non-state actors in shaping international agendas (Joseph, 2002). He argues that military strength alone is insufficient for global leadership and that soft power, culture, values and diplomacy also play crucial roles. The 21<sup>st</sup> century has witnessed significant transformations in the realm of international relations and diplomacy. The end of the Cold War, the rise of globalization, and the proliferation of non-state actors have collectively reshaped the international landscape. The post-Cold War era is now marked by the emergence of new global challenges, including terrorism, climate change, and pandemics. These challenges necessitated the development of new diplomatic strategies and tools, such as public diplomacy, soft power, and digital diplomacy.

Furthermore, the rise of non-state actors, including NGOs, Multinational corporations, and social media platforms, has expanded the scope of diplomatic engagement and greater opportunities. Despite these opportunities arising from the diplomatic advancements, the 21<sup>st</sup> century has also posed significant challenges to international relations and diplomacy. The resurgence of nationalism, protectionism, and unilateralism has threatened the stability of the international order. Moreover, the increasing reliance on digital technologies has raised concerns about cyber-security, data protection, and the spread of misinformation. In response to these challenges, diplomats and scholars have emphasized the need for innovative and adaptive approaches to international relations and diplomacy. This includes the development of new skills, such as data analysis, digital literacy, and cultural competence.

Additionally, there is a growing recognition of the importance of inclusive and participatory diplomacy, which engages diverse stakeholders and promotes collective problem-solving techniques. As we look to the future, international relations and diplomacy will continue to evolve in response to emerging challenges and prospects. The rise of emerging economic powers, such as China, Nigeria and India, will reshape the global balance of power and create new opportunities for cooperation and competition. Therefore, the increasing importance of global governance, sustainable development, and human rights will require diplomats and scholars to develop new expertise and approaches.

This paper explores the evolution of international relations and diplomacy in the 21<sup>st</sup> century with particular interest on the challenges, opportunities and adaptation to the demands of the 21<sup>st</sup> century. It

also examines the dynamics associated with the trend and transformation of the 21<sup>st</sup> century, offering a critical evaluation of how traditional theories and practices of diplomacy have evolved to meet the outlined modern realities. Thus, this study seeks to provide insights into how global interactions have evolved due to technological advancements, geopolitical shifts, and emerging global trends, as well as proposes innovative approaches to address modern diplomatic challenges.

## **2.1 Evolution of International Relations and Diplomacy**

International relations and diplomacy has systematically passed through so many transformations which had indeed provided its historical evolution for review. Prior to the 20th century, there was no available chronological and systematic study of the subject International Relations and Diplomacy. Rather, the initial writings which are still being studied today, mainly dealt with providing a realistic advice to policy makers. That was why, Mencius, a 4th century B.C. Chinese philosopher; Kautilya, an Indian Prime Minister during the reign of Emperor Chandragupta (326-298 B.C.) and Nicolo Machiavelli proffered advice mainly in written forms that are still being studied in contemporary times due to their relevance to the challenges faced by statesmen (Holsti, 1977). Again, studies on military thought, diplomatic memoirs and works on international law proliferated in the 18th and 19th Century Europe. It was only at the very early part of the 20th century that attempts at analytically studying the subject began (Gilbert, 2013).

But despite this development, most writings still centered primarily on treaties, diplomatic history, and international law. The approach was basically state-centric, moralistic and legalistic. The emphasis was on accurate descriptions of specific incidents of history anchored on the following; conflicts raised for the purpose of settlement; the world making human beings global citizens and; peace and stability being pursued through the establishment of international institutions with supranational powers or the expansion of democracy, (Holsti, 1977).

Also, despite the total battle death estimates of over 9,000,000 after the First World War (World War 1), academic studies still centered largely on the pre-war perspectives. Though, the establishment of the League of Nations was fresh and inspired scholars and diplomats to write more, “no attempt was made to theorize nor was there a quest for policy relevant information that could be used for the realization of policy goals” (Ojo & Sesay, 1988:5). Nevertheless, mention must be made of the fact that the concern was the conditions under which war might be avoided and peace maintained. This served as a way of motivation to the study of international relations after World War 1.

Post-World War 1 was the era of “Idealism” when Idealists or Utopians engaged themselves postulating about the means of checkmating another war and securing everlasting peace in the international system, (Gilbert, 2013). But the sudden outbreak of World War II, despite the various idealistic postulations of an elusive everlasting peace predicated on legalism and institutionalism brought scholars to the realization that, “...as important as treaties and international relations, objectives such as security and expansion, processes such as trade and diplomacy, and means such as propaganda and debate...were equally important” (Holsti, 1977:8). The outbreak of World War II brought a lot of criticisms against the idealists which led to the development of a new group of scholars in the study of the subject known as the “Realists”. International relations evolved to a stage where generalizations were made and theories which enhanced the understanding of the subject matter were formulated.

Not long after these formations came a new dawn such as the emergence of super powers, the development of nuclear weapons reinforced by Cold War and bi-polarism, the Middle East crisis, the rise of new sovereign states and so many other developments at the world stage; The subject became more challenging as scholars came to the realization that there were more questions begging for answers than the ‘realists’ and ‘behaviourists’ could answer and that power politics and diplomacy have limits and boundaries.

Surprisingly, after the collapse of the Cold War, scholars and practitioners of International Relations grappled to keep track with the analysis, integration and engagement with two major trends within the international system viz; the simultaneous forces of integration and disintegration. Integration occurred through concerted efforts towards socio-economic and military interdependence. That was why, “with the end of the Cold War, the unprecedented strengthening of international institutions and regimes conferred more universalistic legitimacy on them, and this to a great extent, has brought restraints on states’ belligerent actions towards one another within the international system” (Axelrod & Keohane, 1986)

Currently, with the globalization of Western democracy and human rights, the gradual transition of the global system has left uni-polarism, bi-polarism to a multi-polar system. Also, despite the empowerment of regional inter-governmental organizations (IGO), the strengthening of the United Nations Organization (UNO), the elimination of the fear of mass destruction through nuclear war, the emergence of terrorism, the threat of Islamic fundamentalism, the intensification of socio-economic and technological globalization and the likes, there is still no single dominant approach for interpreting the

dynamic world. Instead there are rich variety of approaches depending on the focus of the scholars with respect to the subject matter of international relations and diplomacy.

## **2.2 Theoretical Framework**

Analyzing power politics and emerging trends at the global stage demands a framework that captures its essence. This is what is pursued here by applying a multi-theoretical approach to the objects of this research. The following are reasons for doing so; Firstly, Neo-realism explains the persistence of power struggles and security dilemmas in international system (Kenneth Waltz, 1979) which has become a trend all through the evolution. Secondly, Neo-liberal Institutionalism highlights the role of international organizations in fostering diplomacy in international relations (Robert Keohane, 1984). Thirdly; Constructivism shows how ideas, culture, and perceptions within the 21<sup>st</sup> century shape diplomatic interactions in international relations, (Alexander Wendt, 1999). Lastly, Global Governance theory expands the focus to non-state actors and trans-national networks (James Rosenau and Ernst-Otto Czempiel, 1992) which to a great extent influenced diplomatic relations and advancements in the 21<sup>st</sup> century.

By integrating these theories, this paper offers a comprehensive understanding of the landscape of the 21st-century International Relations and Diplomacy, addressing both power politics and emerging diplomatic trends.

### **2.2.1 The Theory of Neo-Realism (Structural Realism)**

This theory was propounded by Kenneth Waltz (1979) in his book; *Theory of International Politics*. The theory focuses on the structure of international system and power struggles, national interest, and security competition, which remain central to the subject of international relations. It explains the rise of multi-polarity in the modern world having; China, Russia, India, Nigeria and European Union as emerging global players in the international system. The theory provides insight into geo-political tensions amongst countries like in the context of US-China rivalry, Russian-Ukraine conflict and North Atlantic Treaty Organization (NATO) expansion. Neo-realism addresses security challenges which have erupted as a result of these transformations such as; nuclear proliferation, cyber- warfare, and military alliances.

This theory has become relevant with so many points that warrant its application to this paper. Firstly, the theory examines how states navigate power politics in an era of shifting global influence. Secondly, it analyzes diplomatic strategies in conflict resolution and military alliances.

### **2.2.2 The Theory of Neo-Liberal Institutionalism**

This theory was propounded by Robert O. Keohane (1984) in his book, *After Hegemony: Cooperation and Discord in the World Political Economy*. The theory builds its relevance on the facts that; it highlights the role of international institutions. These include: United Nations (UN), World Trade Organization (WTO), World Health Organization (WHO), International Monetary Fund (IMF), and regional blocs like; ECOWAS and SADC in shaping diplomacy. Keohane builds on his earlier liberal ideas but argues that international institutions play crucial roles in facilitating cooperation amongst states, even in an anarchic international system.

The theory of Neo-liberal institutionalism therefore states that cooperation is possible through institutions, norms, and agreements, despite anarchy in the international system. It explains the effectiveness and challenges of multi-lateral diplomacy (for example; Paris Climate Agreement, World Trade Organization, G20). It also discusses the importance of economic diplomacy, trade agreements, and global governance amongst states in international relations. The application of this theory to the paper is based on the following facts: (1) It assesses the success and limitations of multilateral diplomacy in the 21st century with respect to the study. (2) It evaluates the role of institutions in addressing global challenges as captured in this paper which includes; health challenges, climate change, world pandemics and economic crises.

### **2.2.3 The Theory of Constructivism**

The theory of Constructivism emphasizes the importance of ideas, norms, culture, and social constructs in shaping international relations. It is particularly relevant for analyzing the evolving nature of international relations and diplomacy and how new norms, values, and ideologies impact global governance.

The major proponents of this theory are; Alexander Wendt: *Social Theory of International Politics* (1999). Martha Finnemore: *National Interests in International Society* (1996). The theory analyzes how non-state actors and new societal norms influence diplomacy. It also explores how global challenges like climate change, cyber-security are framed and addressed through shared norms. The theory also

focuses on the impact of ideas, identities, culture, and norms in shaping international relations. It explains the rise of soft power and digital diplomacy (for example; China's Belt and Road Initiative, US Cultural influence, European Union normative power). The theory finally highlights how global narratives, public opinion, and social movements influence diplomacy (for example; climate activism, human rights diplomacy, #MeToo and global gender policies).

The application of the theory on this paper was based on the following; Firstly, because it analyzes the role of media, digital platforms, and cultural diplomacy in international relations. Secondly, it examines how global perceptions, norms, and values influence diplomatic decisions.

#### **2.2.4 The Theory of Global Governance**

The major scholars and proponents of this theory were James Rosenau and Ernst-Otto Czempiel, (1992) in their book, *Governance without Government: Order and Change in World Politics*. The theory addresses the role of non-state actors including; Non-Governmental Organizations (NGOs), Multinational Corporations (MNCs), and Global Cities in diplomacy. The theory states that power is diffused beyond States, with new actors shaping international policies within the global system. Global Governance theory explains challenges in governing global commons such as; cyber-governance, environmental sustainability, health security and the likes.

The theory was applied to this paper because it helps in studying how international cooperation is evolving in a world of complex interdependence considering the fact that no state is an island, (Aja-Akpuru Aja, 2000). It also evaluates the rise of non-traditional diplomatic actors such as; Technological Companies, Climate activists, Humanitarian Organizations in this 21<sup>st</sup> century.

### **3.0 Methodology**

The methodology applied on this paper "Evolution of International Relations and Diplomacy in the 21<sup>st</sup> Century: Challenges, Opportunities, and Prospects" is structured to ensure a comprehensive and systematic analysis of the topic. It ensured a rigorous and structured analysis of the evolution of international relations and diplomacy while addressing its challenges, opportunities, and prospects. Below is a detailed methodology that was applied:

### **3.1 Research Design**

This paper employed a qualitative research design, utilizing a combination of historical analysis, and thematic content analysis. The study explored the evolution of international relations (IR) and diplomacy, focusing on significant events, trends, and theoretical developments in the 21st century.

### **3.2 Data Collection Methods**

Data was collected from the works of scholars such as Joseph Nye (soft power), Robert Keohane (neo-liberalism), Lysias Gilbert on International Relations, Mac- Ogonor on, UN, NATO and The Post War Management of Global Peace (Theory and Practice), Policy papers and reports which includes; publications from international organizations such as; United Nations (UN), World Trade Organization (WTO), World Health Organization (WHO), North Atlantic Treaty Organization (NATO) and think tanks such as; Carnegie Endowment, Brookings Institution, Chatham House. Official documents and treaties were consulted where key agreements like the Paris Climate Agreement (2015) and UN resolutions were analyzed.

### **4.0 Results and Discussion: Emergence of Multipolar World Order**

“The multipolar world system refers to the existence of more than two powerful nations or blocs actively engaged in international politics”, (Mac Ogonor, 2012). It can also be referred to as an international system where power is distributed among multiple influential nations or blocs, rather than being dominated by a single (unipolar) or two (bipolar) super- powers. Amongst all the systems postulated for balancing of world power, the multipolar system promises the least structural mechanism for managing global powers. The shift from a unipolar to a multipolar world order has created new challenges for diplomats.

Initially with fewer important actors and greater certainty in military and political relationships, the prospects for misunderstanding and conflict are less under conditions of bipolarity or uni-polarity than in a multipolar world. As noted by Geoff Berridge, diplomacy has become multifaceted, pluri-directional, volatile, and intensive, (Berridge, 2011).

This has posed a great challenge to 21st century international relations and diplomacy. The emergence of a multipolar world to a great extent, challenges international relations by increasing geopolitical rivalries, weakening global institutions, fueling regional conflicts, and complicating diplomacy. The shift from a unipolar (led by U.S) to a multipolar world order where multiple great powers like China,

Russia, the EU, and India exert influence has created diplomatic complexities and power struggles. States must adapt by strengthening multilateral frameworks, managing power shifts, and promoting cooperative diplomacy to prevent instability.

The emergence of multipolar world has indeed created the following challenges; (1) Power Shifts and Geo-political Rivalries. That's why, (John Mearsheimer, 2001) in *The Tragedy of Great Power Politics* argues that, multi-polarity increases the chances of conflict, as multiple great powers compete for dominance. Also, (Fareed Zakaria, 2008) in *The Post-American World* describes how the rise of China and other powers has challenged U.S. hegemony, leading to geopolitical uncertainty. (2) Weakening of global institutions; in his work, *Liberal Leviathan* John Ikenberry explains how a multipolar world weakens global governance institutions like the UN and WTO, as major powers pursue unilateral or regional approaches instead of global cooperation, (Ikenberry, 2011). Whereas, Kissinger went further to warn that multi-polarity, without shared values or a stable diplomatic framework, risks global instability and fragmented international relations, (Kissinger, 2014). (3) There are increased regional conflicts and alliances; Zbigniew Brzezinski in his work, *The Grand Chessboard* emphasizes how multi-polarity leads to regional power struggles, particularly in Eurasia, where China, Russia, and the U.S. compete for influence (Brzezinski, 1997). Again, (Parag Khanna, 2019) in, *The Future is Asian* highlights how regional powers like China and India are reshaping economic and security alliances, reducing Western dominance. (4) Witnessed Diplomatic complexity and unpredictability; (Richard Haass, 2017) in, *A World in Disarray* argues that the absence of a single global leader makes diplomacy more challenging, as states navigate shifting alliances and competing interests. Again, (Barry Buzan, 2004) in *The United States and the Great Powers* points out that multi-polarity complicates diplomatic negotiations, as states must balance multiple relationships rather than rely on a single superpower.

## **B. Globalization and Interdependence**

According to (David, 1995) the term Globalization has become synonymous with the “unfettered expansion of the global marketplace thereby assuming the status of an ideology which orients the future and expectations of groups within the corporate world”. Claude Ake has defined globalization as the, “March of capital all over the world in search of profit, a process reflected in the reach and power of the Multinational corporations” (Ake, 1995)

Globalization is about growing structural differentiation and functional integration in the entire world economy as well as about interdependence. Globalization in 21st century has greatly increased

interdependence among states, making diplomacy more complex and multi-dimensional. ‘Diplomats must navigate multiple actors, dialogues, and modes of communication’ (Keohane & Nye, 2012).

Globalization and interdependence have become a great challenge to 21<sup>st</sup> century international relations and diplomacy. While they promote interconnected economies and shared governance, they also challenge state sovereignty, national security and traditional diplomacy.

Again, (Richard Haass, 2010) in his work, *The Reluctant Sheriff* notes that, “globalization complicates diplomacy as it requires greater cooperation among states while also increasing nationalist backlashes”. That was why; (Anne-Marie Slaughter, 2004), in his work, *A New World Order* argues that, “diplomacy now involves networks of non-state actors, NGOs, and multinational corporations rather than just states”.

Simultaneously, (Joseph Nye, 2004) in his work, *Soft Power* highlights the effect of globalization on international relations and diplomacy. According to him, it facilitates transnational threats such as cybercrime, terrorism and pandemics which cannot be addressed by traditional military power alone, (Joseph, 2004). No wonder, “...globalization increases global risks that require cooperative international responses rather than unilateral action” (Ulrich Bech, 1999)

Whereas, (Keohane & Nye, 2011) in *Power and Interdependence* argue that, ‘complex interdependence limits the ability of states to act independently, making them more vulnerable to global economic shocks’.

Also, it is highlighted that .... “In the *trilemma*, where States must balance democracy, national sovereignty, and global economic integration, but cannot fully achieve all the three simultaneously” (Rodrik, 2011)

### **C. Technological Advancements**

There are lots of witnessed technological advancements in recent times which have posed a challenge to diplomatic relations in international system with respect to cyber-security threats and cyber-crimes. The rise of digital diplomacy has transformed the way diplomats communicate and negotiate. That was why Hanson concluded; “it also poses challenges, such as cyber-security threats and the need for digital literacy”, (Hanson, 2012).

Technological advancements have reshaped diplomacy and international relations, creating both opportunities and significant challenges. While they facilitate communication, economic growth, and security, they also introduce risks such as cyber threats, disinformation, and power asymmetries. It has also introduced cyber threats, digital disinformation, AI-driven power shifts, and space militarization, complicating international relations and diplomacy. Its high time states developed new diplomatic frameworks that would integrate cyber-security policies, regulate Artificial Intelligence and social media, and promote international cooperation on emerging technologies.

On cyber-security threat which is the outcome of technological advancement; (Joseph Nye, 2011) in his work, *The Future of Power* argues that, “cyber capabilities have become a major factor in international power dynamics, enabling cyber warfare, espionage, and economic sabotage”. Also, (Lucas Kello, 2017) in his work, *The Virtual Weapon and International Order* highlights how cyber-attacks challenge traditional concepts of sovereignty and warfare, making diplomacy more complex and complicated. There is a lot of disinformation and digital diplomacy associated with technological advancement. From the works of (P.W. Singer and Emerson Brooking, 2018) in *Like War: The Weaponization of Social Media* it revealed, how social media and artificial intelligence (AI) have been used for propaganda, election interference, and misinformation campaigns, complicating diplomatic relations. On the other hand, (Anne-Marie Slaughter, 2009) in *America's Edge* discusses how technology enables networked diplomacy, where non-state actors and global public opinion play a greater role in international affairs. Artificial intelligence and surveillance in the 21<sup>st</sup> century has become a factor that deters the performance of diplomatic processes in international relations. No wonder, (Klaus Schwab, 2016) in *The Fourth Industrial Revolution* explains how Artificial Intelligence, big data, and surveillance technologies disrupt traditional diplomatic strategies by increasing state and non-state actors' ability to manipulate information to their advantage. Whereas (Shoshana Zuboff, 2019) in his work, *The Age of Surveillance Capitalism* warns that advanced surveillance technologies, often controlled by private corporations, challenge democratic governance and state control.

Going further to look at the challenges of the 21<sup>st</sup> century technological advancement, space and military technology is a factor. That was why, (Everett Dolman, 2002) in *Astropolitik: Classical Geopolitics in the Space Age* highlights how space technologies are reshaping power dynamics, with space militarization becoming a diplomatic concern. Sequentially, (Michael Krepon, 2010) in *Better Safe than*

*Sorry* discusses the challenges of nuclear diplomacy in an era where missile defense and autonomous weapons complicate arms control negotiations.

#### **D. Global Power Shifts**

Recent developments with respect to multi-polar world power dynamics have become a challenge to 21<sup>st</sup> century diplomacy in international relations considering the following areas;

- ❖ Rising powers: Rising powers in the international system such as China, Nigeria, India, and others challenge the traditional dominance of Western countries, leading to a multipolar world order which has become a great challenge to 21<sup>st</sup> century diplomatic relations in the international system creating rooms for multi-functional dimensions of global power politics.
- ❖ Non-traditional security threats: The rising nature of non-traditional security threats poses challenges. For example, issues like climate change, terrorism, cyber-security, and pandemics are reshaping global priorities in diplomacy.
- ❖ Recent erosion of multilateralism: Another factor witnessed was increased nationalism and unilateral actions by states which are undermining international organizations and multilateral frameworks which of course was the main fundamentals of diplomatic relations.
- ❖ Technological disruptions in the global system: The rapid evolution of digital communication and artificial intelligence arising from the 21<sup>st</sup> century emancipation poses challenges in managing information security which at a greater level has increased misinformation within the global network.

#### **4.1.2 Opportunities in 21st-Century Diplomacy**

##### **A. Increased global connectivity**

International relations and diplomacy in 21st century have witnessed great technological advancements which when utilized would be an outstanding opportunity for diplomats. Castell rightly said; “Technological advancements have enabled greater global connectivity, facilitating communication and cooperation among nations”, (Castells, 2011). International institutions like the United Nations, World Trade Organizations, (WTO) and World Health Organizations (WHO) provide platforms for addressing global challenges collectively. It’s a great opportunity when harnessed within the global network.

## **B. Availability of new actors and partnerships in the World system**

The rise of non-state actors today, such as Non-Governmental Organizations (NGOs) and multinational corporations (MNCs), has created new opportunities for partnerships and collaboration amongst the state actors and non-state actors, (Risse, 2012). The multi-functional relevance and importance of NGOs, multinational corporations, and grassroots movements cannot be undermined because they contribute hugely in shaping policy and international relations.

## **C. Improved diplomatic innovations**

The 21st century has seen the emergence of improved new diplomatic practices in international relations, such as digital diplomacy, public diplomacy, and science diplomacy, (Melissen, 2013).

Digital diplomacy which involves the engagement of technology, becomes an advantage. Technology facilitates and indeed provides opportunities for virtual meetings, cross-border collaborations, and the ability to reach broader audiences, enhancing global interactions and inter-relationships. There are witnessed transformations of diplomatic practices such as; Hybrid diplomacy that explains the mix of traditional diplomacy and modern tools like social media which allows for real-time communication and greater transparency; increased public engagement where diplomacy has become more participatory, with public opinion and global civil society influencing decisions passionately; complex interdependence which explains that States are more interconnected through trade, technology, and shared interests, leading to greater collaboration despite rivalries amongst them as witnessed in the system.

### **4.1.3 Prospects in 21st-Century International Relations and Diplomacy**

#### **A. On Diplomacy**

##### **i. Adapting to emerging technologies**

Diplomats must stay ahead of the curve in terms of emerging technologies, such as artificial intelligence and block-chain, (Kurbanov, 2020)

Emerging technologies are profoundly reshaping international relations and diplomacy in the 21st century, presenting both challenges and opportunities. Artificial Intelligence (AI), in particular, stands out as a transformative force. AI enhances diplomatic analysis by enabling real-time data processing and

predictive analytics, which aid in conflict prevention and decision-making. However, the integration of AI into diplomatic processes raises ethical and security concerns, such as the potential for biased algorithms and the risk of autonomous systems making critical decisions without human oversight.

The digitalization of diplomacy has also expanded the array of actors involved in international relations. Social media platforms empower non-state actors and the general public to influence diplomatic discourse, a phenomenon often referred to as "Twiplomacy." This shift necessitates that diplomats adapt to new communication channels and manage the rapid dissemination of information, which can both support and undermine diplomatic efforts.

Authors like Bhaso Ndzendze and Tshilidzi Marwala, in their book *Artificial Intelligence and Emerging Technologies in International Relations* explore how technological advancements are altering power dynamics among nations. They discuss the geopolitical implications of AI and other emerging technologies, emphasizing the need for international cooperation to manage the risks associated with rapid technological change.

Furthermore, the rise of cyber diplomacy reflects the increasing importance of cyber-security in international relations. State-sponsored cyber-attacks targeting diplomatic communications and critical infrastructure have become a critical concern, as evidenced by incidents like the Solar Winds cyber-attack. This underscores the necessity for robust cyber-security measures and international agreements to prevent and respond to cyber threats effectively.

Finally, adapting to emerging technologies requires diplomats and international relations practitioners to embrace digital tools, address ethical and security challenges, and foster international collaboration to navigate the evolving landscape of global affairs.

## **ii. Fostering global cooperation**

The increasing complexity of global challenges requires greater cooperation among nations. Diplomats must work to build trust and foster collaboration, (Wendt, 1999). Firstly, while significant challenges impede global cooperation, there are clear pathways and ongoing efforts to strengthen collaborative frameworks. By reforming existing institutions, embracing inclusive governance, and leveraging technological advancements, the international community can better navigate the complexities of the modern world.

Fostering global cooperation is essential in addressing the complex and interconnected challenges of the 21st century. As global issues such as climate change, pandemics, cyber-security threats, and geopolitical tensions become more pronounced, the need for collaborative international efforts has become increasingly evident. The following opportunities for Strengthening Global Cooperation include:

- ❖ Reforming multilateral institutions through updating the structures of international organizations to reflect current global realities can enhance their effectiveness in addressing modern challenges.
- ❖ Inclusive governance by engaging a diverse range of stakeholders, including non-state actors, civil society, and the private sector, fosters more comprehensive and resilient solutions.
- ❖ Leveraging technological innovation by embracing digital tools and promoting equitable access to technology can facilitate more efficient and widespread collaboration.

Recent initiatives highlighting global cooperation efforts include;

- United Nations' *Pact for the Future* adopted in September 2024, this pact outlines 56 actionable steps aimed at reforming the U.N. Security Council, promoting nuclear disarmament, and establishing AI governance frameworks.
- World economic forum's principles for strengthening global cooperation: This initiative emphasizes the importance of multi-stakeholder collaboration and outlines principles to enhance global cooperation.

### **iii. Developing diplomatic innovations and capacity**

There is a need for increased investment in diplomatic capacity building, including training and education programs for diplomats, (Neumann, 2012). In his work, *Innovation in Diplomatic Practice* Melissen discusses the necessity for diplomats to adapt to changing dynamics, including the rise of digital diplomacy and the involvement of non-state actors, to achieve diplomatic objectives effectively, (Melissen, 1999).

Similarly, *The Palgrave Handbook of Diplomatic Reform and Innovation*, explores practical steps to enhance the effectiveness of contemporary diplomacy (Webster, Luis & Kenneth, 2023). The authors propose reforms that address current global challenges, emphasizing the importance of integrating innovative practices into diplomatic efforts.

Further, improved diplomatic innovation involves embracing digital tools, fostering international collaboration in science and technology, and reforming traditional diplomatic practices to create a more dynamic and effective approach to global affairs.

Again, innovation diplomacy focuses on how foreign policies and diplomatic actions influence technological innovation, and vice versa. This approach recognizes that science, technology, and innovation are integral to international relations and foreign policies. Diplomats are increasingly involved in facilitating international collaborations in research and development, negotiating technology transfer agreements, and addressing global challenges through innovative solutions.

Finally, reforming diplomatic practices where traditional diplomatic structures are being re-evaluated to meet contemporary global demands. Experts advocate for reforms that promote flexibility, inclusivity, and responsiveness in diplomatic institutions. This includes adopting network-based approaches that connect various actors, such as non-governmental organizations, private sector entities, and civil society, to create a more holistic and effective diplomatic process.

## **B. On International Relations**

### **i. Adaptation to multi-polarity**

In the 21st century, international relations have been transitioning from a unipolar system dominated by the United States to a multipolar world characterized by multiple centers of power. This shift necessitates significant adaptations in diplomatic strategies and international cooperation. States and institutions will need to accommodate the realities of a multipolar world, fostering cooperation while balancing power dynamics. As global power becomes more dispersed, nations must recalibrate their foreign policies to navigate the complexities of a multipolar landscape. This involves recognizing the diverse interests and influences of emerging powers and fostering collaborative approaches to address global challenges. Arguably, adapting to multi-polarity involves a comprehensive reassessment of international relations, embracing diversity, fostering multilateral cooperation, and developing innovative diplomatic strategies to effectively engage with the complex and interconnected global landscape of the 21st century. That was why;

- ❖ Amitav Acharya (2018) introduced the concept of a *multiplex world order*, where multiple narratives and power centers coexist within the international system. He emphasizes the importance of embracing pluralistic universalism, acknowledging diverse perspectives, and

moving beyond Western-centric paradigms to effectively engage in this complex global environment.

- ❖ Jeffrey W. Legro (2005) explored historical shifts in global power structures and suggests that nations must fundamentally reassess their foreign policies in response to changing international orders. He highlights the necessity for strategic realignment and the development of new frameworks for international cooperation to navigate the evolving multipolar system.
- ❖ Nikolai Zlobin (2009) proposed the theory of a "polar-less" world, where traditional centers of power become less dominant, leading to increased interdependence among nations. He argues that this interconnectedness requires the creation of new principles of global security and international institutions that reflect the realities of a multipolar or even non-polar global order.

## **ii. Strengthening global governance**

Strengthening global governance is a pivotal prospect in international relations, aiming to enhance cooperation and address complex global challenges through effective multilateral frameworks. This approach seeks to reform and invigorate international institutions to better manage issues such as climate change, security threats, and economic disparities. Reforming institutions like the United Nations (UN) to better address global challenges and include emerging powers is very crucial at this point. This paper believes that strengthening global governance involve reforming international institutions to reflect the evolving geopolitical landscape, embracing multilateralism, and fostering inclusive cooperation. These efforts are essential for effectively managing the interconnected challenges of the 21st century. That was why:

- ❖ Ngaire Woods and Colleagues (2013) analyzed the transformation of global governance triggered by the rise of the global South. They emphasize the need for existing institutions to adapt to the increasing influence of emerging economies, particularly in financial governance. This adaptation involves integrating diverse perspectives to create a more inclusive and effective global governance system.
- ❖ Thomas G. Weiss and Rorden Wilkinson (2023) proposed moving beyond state-centrism in global governance theories. They advocate for recognizing the roles of non-state actors and addressing trans-scalar issues that transcend national boundaries. Their approach calls for a comprehensive understanding of legitimacy in global governance, integrating individual, institutional, and structural sources.

- ❖ United Nations Secretary-General António Guterres (2012) introduced the "Our Common Agenda" initiative, outlining a vision for revitalizing multilateralism and international cooperation. Key proposals include a Global Summit of the Future on climate change, inequality, a new global social contract, and a Global Digital Compact. These initiatives aim to modernize the United Nations' approach to collaboration, ensuring it effectively addresses contemporary global challenges.

### **iii. Focus on sustainability**

Focusing on sustainability has become a vital prospect in international relations, emphasizing the integration of environmental, economic, and social policies to address global challenges. This approach aims to promote long-term ecological balance, equitable development, and international cooperation. Diplomatic efforts will increasingly emphasize sustainable development, climate action, and equitable economic growth. Arguably, focusing on sustainability in international relations will involve integrating environmental considerations into policy-making, fostering global cooperation, and addressing systemic challenges to achieve equitable and long-term solutions. These authors made considerable contributions to this point of view:

- ❖ Al Gillespie (2018) in his work; "The Long Road to Sustainability: The Past, Present, and Future of International Environmental Law and Policy," Gillespie examines the historical struggles humanity has faced in achieving sustainable development. He argues that economic, social, and environmental challenges have hindered progress toward long-term viability for both human societies and ecosystems.
- ❖ Miroslav Stevanović et al. (2023) in their study; "International Relations Challenges and Sustainable Development in Developing Countries After 2022," the authors analyze the role of international relations in promoting sustainable development. They highlight significant challenges faced in the post-2022 period, emphasizing the need for cooperation among all stakeholders to achieve peace, stability, and prosperity.
- ❖ Simon Holmes (2024) in a letter discussing sustainability and competition, Holmes emphasizes the necessity of both regulatory frameworks and collaborative business efforts to achieve significant carbon footprint reductions. He argues that while government regulations are essential, businesses must also collaborate without fearing competition law repercussions.

#### iv. Innovative conflict resolution

Innovative conflict resolution is emerging as a crucial prospect and direction in international relations, focusing on developing novel strategies to address and resolve disputes in an increasingly complex global landscape. This approach emphasizes the need for adaptive, inclusive, and context-specific methods to effectively manage and transform conflicts. There is a need to adopt new strategies for mediating disputes in regions prone to conflict, such as using technology for real-time negotiations. This paper believes that innovative conflict resolution in international relations involves adopting interdisciplinary, inclusive, and context-sensitive strategies. By moving beyond traditional methods and embracing diverse perspectives, these approaches aim to address the root causes of conflicts and foster sustainable peace in the 21st century. That was the reason for the positions of the following authors:

- ❖ Nancy D. Erbe (2017) in her article, *Transforming International Conflict Resolution to Catch Up with the Twenty-First Century (Promoting Collective Innovation)*, Erbe critiques the stagnation in traditional conflict resolution methods. She advocates for embracing interdisciplinary approaches and collective innovation to address contemporary global conflicts more effectively.
- ❖ Christine Schliesser and Martin Leiner (2025), Editors of *Alternative Approaches in Conflict Resolution*, Schliesser and Leiner compile various innovative strategies that move beyond conventional military interventions. They emphasize the importance of integrating negotiation, gender perspectives, religious considerations, reconciliation, forgiveness, and the arts into conflict resolution practices.
- ❖ Séverine Autesserre (2021), in his work, *The Frontlines of Peace: An Insider's Guide to Changing the World*, Autesserre examines grassroots initiatives and local actors' roles in peace-building. She argues that sustainable peace is often achieved through bottom-up approaches that prioritize local knowledge and practices over traditional top-down interventions.

#### 4.2 Discussion

The study's findings suggest that the challenges in 21st-century diplomacy are significant; yet they also create opportunities for innovation, cooperation, and the re-imagining of traditional practices. This

framework integrates classical and contemporary international relations' theories while addressing emerging challenges and opportunities in diplomacy. The key scholars provide both historical insights and modern perspectives on international relations in the 21<sup>st</sup> century.

The 21<sup>st</sup> century has witnessed a remarkable transformation in international relations and diplomacy, driven by technological advancements, global power shifts, and complex challenges. While these changes present significant obstacles, they also offer new opportunities for innovation, development, and enhanced global cooperation. This discussion explores both sides, highlighting the impact of 21<sup>st</sup> century emancipation in reshaping diplomacy and international relations.

#### **4.2.1 Challenges**

Firstly, on the challenges in 21<sup>st</sup> Century international relations and diplomacy; the paper discovered the rise of multi-polarity and geopolitical tensions within the international political system. The post-Cold War era has given way to a multipolar world where emerging powers such as China, India, Nigeria, and Brazil challenge the dominance of traditional Western powers. This shift complicates diplomatic negotiations and increases geopolitical competition, particularly in regions like the South China Sea, Eastern Europe, and Africa.

Secondly, cyber-security threats and digital warfare was discovered as another challenge of the 21<sup>st</sup> century in international relations and diplomacy. The digital revolution has introduced new security threats, including cyber-attacks on state institutions, election interference, and misinformation campaigns. These threats undermine trust in international institutions and require novel diplomatic strategies to ensure cyber stability within the international system.

Thirdly, it was discovered that climate change and environmental diplomacy was a great challenge of the 21<sup>st</sup> century Diplomacy and International relations. Climate change remains a pressing issue requiring global cooperation. However, achieving consensus on environmental policies, carbon reduction commitments, and sustainable development goals is often hindered by national interests and economic concerns amongst states.

Fourthly, global health and pandemic diplomacy as a challenge of the 21<sup>st</sup> century international relations was uncovered. The COVID-19 pandemic exposed weaknesses in international health governance and diplomatic cooperation. Vaccine nationalism, supply chain disruptions, and unequal access to medical resources highlighted the need for a more unified approach to global health diplomacy.

Finally, there were obvious cases of human rights and migration crises within the international system which characterized the 21<sup>st</sup> century international relations and diplomacy. Conflicts, economic disparities, and political repression have led to increased migration flows, challenging diplomatic relations between host and origin countries. Therefore, striking a balance between humanitarian obligations and national security remains a diplomatic dilemma which needs to be tackled.

#### **4.2.2 Opportunities and innovations**

To start with, digital diplomacy and Artificial Intelligence (AI) stands out as great opportunity for international relations and diplomacy in the 21<sup>st</sup> century. The rise of digital platforms has revolutionized diplomatic communication. AI-driven analytics help policymakers predict conflicts, analyze international trends, and develop data-driven foreign policies. Social media also enables governments to engage with global audiences more effectively.

Again, technological advancements in development and global trade will be an added advantage and opportunity for 21<sup>st</sup> century diplomats and International relations scholars. Innovations in block-chain, fin-tech, and e-commerce have reshaped global trade relations. Digital payment systems, smart contracts, and decentralized finance (DeFi) enhance economic diplomacy, allowing developing nations to integrate more seamlessly into the global economy. It was indeed one of the greatest development and advancement of the 21<sup>st</sup> century diplomacy.

Further, there are opportunities for space diplomacy and technological cooperation in 21<sup>st</sup> century diplomacy and international relations. The reality was because of the fact that 21<sup>st</sup> century has seen a surge in space exploration and cooperation, with nations collaborating on projects like the International Space Station and lunar missions. Space diplomacy fosters scientific advancements and strengthens diplomatic ties beyond Earth.

Consequently, the emancipation arising from cultural diplomacy and soft power influence is an added advantage to 21<sup>st</sup> diplomatic relations. Countries increasingly use cultural diplomacy through; film, sports, education, and technology to enhance their global standing. The success of African cinema (Nollywood), K-pop, and global sporting events demonstrates how soft power can shape international relations.

Again, there is an advantaged opportunity of sustainable development and green diplomacy. Technological innovation has facilitated the shift towards green energy and climate diplomacy.

Renewable energy agreements, carbon credit markets, and multinational environmental initiatives offer diplomatic solutions to global sustainability challenges which facilitates global network in that regard.

#### **4.2.3 Prospects**

Firstly, the role of Artificial Intelligence (AI) and automation in diplomacy will be advantageous for diplomats and scholars of international relations within the 21<sup>st</sup> century. AI-driven negotiations, automated treaty drafting, and virtual diplomatic summits may become standard practices, reducing time and cost in diplomatic engagements.

Secondly, strengthening multilateral institutions and organizations arguably will be a sure way to go for 21<sup>st</sup> century diplomats and international relations scholars. Reforming the United Nations (UN), World Trade Organization (WTO), and regional blocs (such as the African Union and European Union) will be crucial in addressing emerging global challenges collectively.

Thirdly, this paper proposes another future direction for 21<sup>st</sup> century international relations and diplomacy by balancing nationalism with globalism. Future diplomacy must navigate the tension between rising nationalist sentiments and the necessity for global cooperation in trade, security, and technology.

Fourthly, this paper suggests ethical considerations in technological diplomacy for 21<sup>st</sup> century diplomats, and international relation scholars. As Artificial Intelligence, biotechnology, and surveillance tools become more sophisticated, ethical frameworks and global agreements will be necessary to prevent misuse and protect human rights.

Finally, Africa's rising influence in global diplomacy is another direction for 21<sup>st</sup> century international relations and diplomats by reason of its emancipation and rising dominance in population, resources and commerce. With increasing economic growth, technological adoption, and demographic expansion, Africa's role in international relations will grow, demanding stronger representation in global decision-making.

#### **5.0 Conclusion**

In conclusion, the study posits that the 21<sup>st</sup> century presents both challenges and opportunities for international relations and diplomacy. While issues like geo-political tensions, cyber-security threats, and climate change require urgent attention, technological innovation and digital diplomacy offer

promising solutions. The future of diplomacy will be defined by the ability of nations to adapt, collaborate, and leverage technological advancements for global development.

As diplomats navigate this complex landscape, they must adapt to emerging technologies like Africa, foster global cooperation, and develop their diplomatic capacity. By doing so, they can effectively address the challenges of the 21st century and promote peace, stability, and prosperity in an increasingly interconnected world. This balanced approach underscores the necessity of addressing contemporary diplomatic challenges while embracing the transformative potential of 21st-century emancipation.

Finally, as we navigate this complex and dynamic landscape, it is essential that diplomats, scholars, and practitioners continue to innovate, adapt, and collaborate to address the pressing global challenges of our time.

## **5.2 Recommendations**

The following recommendations aim to equip international relations and diplomacy with the tools, strategies, and frameworks needed to tackle challenges, leverage opportunities, and shape a sustainable, cooperative global future.

- ❖ Strengthening global governance structures which include reformation of international organizations like the United Nations (UN) to reflect contemporary realities, ensuring greater inclusivity of emerging powers and under-represented regions. Also, foster stronger regional alliances to complement global governance and address localized issues.
- ❖ There is a need to adapt diplomacy to technological advancements by integrating digital tools into diplomatic practices, such as virtual summits, digital negotiations, and the use of artificial intelligence for data analysis and decision-making. Also, build robust cyber-security frameworks to protect diplomatic communication and prevent the spread of misinformation.
- ❖ The need to enhance multilateral cooperation by promoting collaborative efforts to address transnational challenges like climate change, pandemics, terrorism, and economic inequality through treaties, alliances, and partnerships. Also, strengthen the role of international organizations and agreements in facilitating global collaboration.
- ❖ Promotion of cultural diplomacy and soft power by leveraging on cultural exchanges, international education, and public diplomacy to build mutual understanding and foster long-term relationships

between nations. Also by using media and global platforms to showcase values and build positive national images.

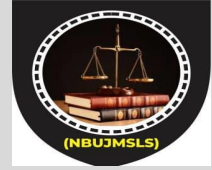
- ❖ The need to invest in diplomatic training and education by equipping diplomats with skills in technology, negotiation, cultural competence, and crisis management to address modern challenges.
- ❖ Emphasize on inclusivity and diversity in diplomacy where advocacy for the participation of marginalized groups, including women, youth, and minorities, in diplomatic processes and ensures equitable representation of all countries, particularly smaller states, in global decision-making forums.
- ❖ Encouraging collaboration with Non-State Actors through the process of integrating the contributions of non-governmental organizations (NGOs), multinational corporations (MNCs), and civil society organizations (CSO) in shaping global policy and decision-making.
- ❖ The need to address global security and power dynamics by establishing frameworks for conflict resolution and peace-building, especially in areas affected by geo-political tensions and power struggles. Also, encourage dialogue and cooperation between rising and established powers to manage multi-polarity constructively.
- ❖ Innovation in future diplomatic strategies by exploring emerging diplomatic tools, such as artificial intelligence (AI), block-chain, and big data, to predict and manage international challenges.
- ❖ Prioritize adaptability and resilience in foreign policies to navigate the uncertainties of the 21st century.

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## **Power Asymmetries and Intervention: A Critical Appraisal of the Doctrine of Non-Intervention**

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### **Abstract**

This study critically appraised the doctrine of non-intervention in international relations, examining how power asymmetries influenced its selective application. It challenged the conventional notion of non-intervention as a universally upheld principle, arguing that in practice, powerful states often disregarded the doctrine when their strategic interests were involved. Drawing on critical international relations theory, postcolonial studies, and legal scholarship, the study analysed both historical and contemporary interventions to uncover the power dynamics that shaped international legal norms. The research deconstructed the legal and moral justifications commonly advanced to legitimise interventions, showing that such rationales often masked underlying geopolitical agendas. Through a comparative analysis of state interventions, the study demonstrated how weaker states disproportionately bore the consequences of foreign involvement, including diminished sovereignty, external imposition of governance models, and increased dependency. The findings revealed that the existing interpretation and enforcement of the non-intervention principle predominantly served the interests of dominant global actors, thereby undermining the international legal order's claims to neutrality and fairness. The study concluded by advocating for a re-examination of the doctrine of non-intervention, proposing a more equitable framework that would better safeguard the autonomy and sovereignty of less powerful states.

**Keywords:** Doctrine, International law, International relations, Human right, Non-interference,

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## Introduction

The concept of intervention, broadly defined in international law as the use or threat of force by one state in the internal or external affairs of another, remains one of the most contested doctrines in the international legal system. While intervention is generally deemed unlawful, certain forms such as humanitarian or collective interventions authorised by the United Nations have been treated as legitimate, necessitating a critical appraisal of the doctrine of non-intervention and its practical implications in the contemporary world order.

Historically, the principle of non-intervention is deeply rooted in the notion of state sovereignty, a cornerstone of the Westphalian system established by the Treaties of Westphalia in 1648. These treaties marked a significant turning point in international relations by recognising the sovereign equality of states and their exclusive jurisdiction over domestic affairs, effectively prohibiting external interference in matters of internal governance.<sup>4</sup> This foundation was later codified in the Montevideo Convention on the Rights and Duties of States 1933, which articulated the essential attributes of statehood defined territory, permanent population, effective government, and the capacity to enter into relations with other states.<sup>5</sup>

These principles were reaffirmed and elaborated in the United Nations Charter 1945, particularly under Article 2(1), which upholds the sovereign equality of all member states, and Article 2(4), which prohibits the threat or use of force against the territorial integrity or political independence of any state.<sup>6</sup> The International Court of Justice (ICJ) has also underscored the inviolability of sovereignty, as seen in cases such as *Nicaragua v United States*, where the Court emphasised that "the principle of non-intervention involves the right of every sovereign State to conduct its affairs without outside interference."<sup>7</sup>

Nonetheless, the normative clarity of the non-intervention doctrine often gives way to the complexities of geopolitical realities. While the doctrine assumes formal equality among states, its enforcement and interpretation are frequently skewed by the global asymmetries of power. Historically, powerful states

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<sup>4</sup> Treaty of Westphalia, 1648, 1 Parry's *Consolidated Treaty Series* 271.

<sup>5</sup> *Montevideo Convention on the Rights and Duties of States* (adopted 26 December 1933, entered into force 26 December 1934) 165 LNTS 19 (Montevideo Convention).

<sup>6</sup> Charter of the United Nations (adopted 26 June 1945, entered into force 24 October 1945) 1 UNTS XVI (UN Charter), arts 2(1) and 2(4).

<sup>7</sup> *Military and Paramilitary Activities in and against Nicaragua* (Nicaragua v United States of America) (Merits) [1986] ICJ Rep 14, para 202.

have often intervened militarily, economically, or politically in weaker states under varying legal justifications, raising questions about the consistency and impartiality of the principle's application. Scholars have pointed out that interventions are often driven by strategic interests, cloaked in legal or humanitarian rhetoric, which undermines the purported neutrality of international law.<sup>8</sup>

The formation of the United Nations was largely influenced by the devastating consequences of the World Wars and the economic collapse of the 1920s and 1930s. Member states sought to construct a system that would promote peace, security, and self-determination, while deterring nationalist and imperialist tendencies that had previously led to global instability.<sup>9</sup> Yet, despite the Charter's clear commitment to non-intervention, its practical application has been inconsistent, revealing a deep tension between legal principles and the exercise of political power.

This study seeks to interrogate these tensions by critically appraising the doctrine of non-intervention through the lens of global power dynamics. Analysing historical and contemporary instances of intervention, this research aims to expose the extent to which power asymmetries distort the application of the non-intervention principle. It argues that the contemporary framework of international law, while grounded in the ideals of sovereign equality, often facilitates the dominance of powerful states, thus compromising the autonomy and agency of weaker nations.

## **Literature Review**

The doctrine of non-intervention has historically stood as a cornerstone of international law, designed to protect state sovereignty and territorial integrity. As codified in the United Nations Charter, particularly Articles 2(1), 2(4), and 2(7), the principle prohibits states from intervening in the internal or external affairs of other sovereign states.<sup>10</sup> Its roots are found in the Westphalian tradition of statehood and sovereignty, as well as in early positivist legal traditions that prioritised the autonomy and legal equality of states.<sup>11</sup> Foundational legal scholars such as Oppenheim viewed non-intervention as a key

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<sup>8</sup> Anthony Anghie, *Imperialism, Sovereignty and the Making of International Law* (Cambridge University Press 2005) 243–258.

<sup>9</sup> Martti Koskenniemi, *The Gentle Civilizer of Nations: The Rise and Fall of International Law 1870–1960* (Cambridge University Press 2001) 344–369.

<sup>10</sup> Charter of the United Nations (adopted 26 June 1945, entered into force 24 October 1945) 1 UNTS XVI, arts 2(1), 2(4), and 2(7).

<sup>11</sup> Leo Gross, 'The Peace of Westphalia, 1648–1948' (1948) 42 AJIL 20.

norm supporting international peace, placing it alongside non-use of force and peaceful dispute resolution.<sup>12</sup>

Despite its foundational role, the doctrine's consistent application has come under intense scrutiny. Classical legal scholars like Ian Brownlie maintained that the prohibition of intervention is categorical and universal, allowing only a few narrow exceptions such as invitation by a legitimate government or collective action authorised by the United Nations Security Council (UNSC).<sup>13</sup> Brownlie also warned against the risk of "disguised intervention" under the pretext of protecting nationals or promoting human rights, which could undermine the principle altogether.<sup>14</sup>

However, post-World War II developments, particularly during the Cold War and post-9/11 periods, exposed deep contradictions in the operationalisation of non-intervention. For instance, interventions by superpowers such as the United States and the Soviet Union whether in Latin America, Africa, or Asia were often justified through ideological, security, or humanitarian pretexts, despite clear breaches of sovereignty.<sup>15</sup> As Edward Said and Noam Chomsky have argued, these interventions often reflect not universalist values, but the strategic imperatives of dominant global actors seeking to maintain spheres of influence.<sup>16</sup>

Postcolonial and critical international legal scholars have extended this critique by revealing how the principle of non-intervention itself emerged within a global order structured by colonial domination. Antony Anghie argues that the classical doctrine of sovereignty was never universally applied; instead, it functioned to exclude colonised peoples from full legal subjectivity in the international system.<sup>17</sup> Thus, intervention has historically operated as a mechanism of control over the Global South, justified through civilising missions, humanitarian arguments, and the mandate system of the League of Nations.<sup>18</sup>

Anne Orford's scholarship further interrogates the use of humanitarianism and responsibility-based doctrines such as the Responsibility to Protect (R2P), which she argues can be appropriated to legitimise

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<sup>12</sup> Lassa Oppenheim, *International Law: A Treatise* (2nd edn, Longmans 1912) vol 1, 137–139.

<sup>13</sup> Ian Brownlie, *Principles of Public International Law* (7th edn, OUP 2008) 289.

<sup>14</sup> *ibid* 293.

<sup>15</sup> Mark Mazower, *No Enchanted Palace: The End of Empire and the Ideological Origins of the United Nations* (Princeton UP 2009) 61–73.

<sup>16</sup> Noam Chomsky, *Hegemony or Survival: America's Quest for Global Dominance* (Henry Holt 2003) 105–107;

<sup>17</sup> Edward Said, *Culture and Imperialism* (Vintage 1993) 95.

<sup>18</sup> *ibid* 78–86.

interventionist practices that serve geopolitical goals.<sup>19</sup> Orford contends that the legal vocabulary of humanitarian intervention often masks power relations, especially when Western states determine the terms of legitimacy, urgency, and response. This concern is echoed by Martti Koskenniemi, who critiques the indeterminacy of international law and its susceptibility to politicisation, especially in contexts where legal norms can be selectively interpreted to justify military action.<sup>20</sup>

Additionally, realists and critical theorists argue that the principle of non-intervention is not enforced uniformly due to the structural inequalities inherent in the international system. As Kenneth Waltz posits in his theory of structural realism, international politics is anarchic, and the distribution of power largely determines outcomes rather than legal rules.<sup>21</sup> Consequently, powerful states have more latitude to interpret, apply, or disregard non-intervention according to their strategic interests, while weaker states are constrained by their limited capacity to resist external influence.<sup>22</sup>

Empirical studies substantiate this claim. Chomsky and Herman's analysis of US foreign policy during the Cold War reveals a pattern of covert and overt interventions designed to support authoritarian regimes aligned with Western interests while opposing democratically elected governments deemed hostile.<sup>23</sup> More recently, interventions in Iraq (2003), Libya (2011), and Syria have raised serious legal and ethical questions, especially regarding the absence of UNSC authorisation, the failure to secure post-intervention stability, and the selective humanitarian rationale applied by intervening powers.<sup>24</sup>

Legal scholars such as Christine Gray and Dino Kritsiotis have debated the legal basis for unilateral humanitarian interventions. Gray maintains that despite moral arguments; such interventions lack firm legal grounding under the UN Charter system and risk eroding the prohibition on the use of force.<sup>25</sup>

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<sup>19</sup> Antony Anghie, *Imperialism, Sovereignty and the Making of International Law* (CUP 2005) 32–35.

<sup>20</sup> Anne Orford, *Reading Humanitarian Intervention: Human Rights and the Use of Force in International Law* (CUP 2003) 72–78.

<sup>21</sup> *ibid* 113–118.

<sup>22</sup> Martti Koskenniemi, *From Apology to Utopia: The Structure of International Legal Argument* (CUP 2005) 502–507.

<sup>23</sup> Kenneth Waltz, *Theory of International Politics* (Addison-Wesley 1979) 88–90.  
*ibid* 97.

<sup>24</sup> Edward S Herman and Noam Chomsky, *Manufacturing Consent: The Political Economy of the Mass Media* (Pantheon 1988) 49–62.

<sup>25</sup> Christine Gray, *International Law and the Use of Force* (4th edn, OUP 2018) 327–341.

Kritsiotis similarly warns that legitimising unilateral intervention without collective consent creates a dangerous precedent that could be manipulated by major powers for strategic ends.<sup>26</sup>

Furthermore, the emergence of doctrines like R2P has further complicated the legal terrain. Although R2P seeks to prevent mass atrocities, critics argue that its operationalisation has been uneven and often politicised. As Alex Bellamy notes, while R2P has been invoked to justify interventions in Libya and Côte d'Ivoire, it was conspicuously absent in other contexts like Yemen, Palestine, or Myanmar, where the strategic interests of powerful states were less threatened.<sup>2728</sup>

The literature, therefore, reveals a deep tension between the formal commitments of international law and the actual practices of states. While the non-intervention principle aspires to uphold sovereign equality and peace, it is often compromised by global hierarchies, inconsistent enforcement, and instrumental legal interpretations. This study builds on these critical insights to investigate how power asymmetries affect the application and legitimacy of the non-intervention doctrine in contemporary international law.

## **Theoretical Framework**

This study adopts a multi-theoretical framework to critically interrogate the doctrine of non-intervention, particularly through the lens of power asymmetries in international relations. The theoretical underpinnings are drawn from Critical International Legal Theory, Postcolonial Theory, and Structural Realism, each offering a distinctive perspective on the intersection of law, power, and sovereignty.

First, Critical International Legal Theory (CILT) challenges the notion that international law operates in a neutral and objective vacuum. It posits that legal norms, including the doctrine of non-intervention, often serve to legitimise the interests of powerful states under the guise of universalism.<sup>29</sup> Scholars such as Martti Koskenniemi argue that international law is indeterminate and malleable, frequently shaped by political and strategic considerations rather than principled consistency.<sup>30</sup> Within this framework,

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<sup>26</sup> *ibid* 349.

<sup>27</sup> Dino Kritsiotis, 'Reappraising Policy Objections to Humanitarian Intervention' (1998) 19 *Michigan J Intl L* 1005, 1009–1015.

<sup>28</sup> Alex J Bellamy, *Responsibility to Protect: The Global Effort to End Mass Atrocities* (Polity 2009) 153–156.

<sup>29</sup> David Kennedy, 'The International Style in Postwar Law and Policy' (1994) 1 *Utah L Rev* 7.

<sup>30</sup> Martti Koskenniemi, *From Apology to Utopia: The Structure of International Legal Argument* (CUP 2005) 506–510.

non-intervention is not merely a legal norm but a contested site where hegemonic actors negotiate their interests while maintaining the appearance of legality.

Secondly, Postcolonial Theory offers a historical critique of the international legal system's colonial origins. It interrogates how doctrines such as sovereignty and non-intervention were unevenly applied during colonial and postcolonial periods, excluding non-European peoples from the full benefits of statehood and legal personality.<sup>31</sup> Antony Anghie's theory of "colonial difference" explains how the concept of sovereignty was used to justify both intervention and exclusion, depending on the strategic utility of a territory or people to colonial powers.<sup>32</sup> This framework thus exposes the racialised and hierarchical assumptions embedded in the seemingly egalitarian language of non-intervention.

Thirdly, Structural Realism (Neorealism) from international relations theory provides a realist account of why the doctrine of non-intervention is frequently violated. According to Kenneth Waltz, the international system is anarchic and stratified, with states acting primarily in pursuit of survival and self-interest.<sup>33</sup> The unequal distribution of power allows dominant states to bypass legal norms when their strategic interests are at stake, often under the pretext of security, democracy, or humanitarian protection.<sup>34</sup> As such, intervention becomes a function of capability rather than legality, reinforcing the structural inequalities of the international system.

These theories converge in exposing the tension between formal legal equality and substantive political inequality. While international law proclaims the sovereign equality of states, its implementation often reflects existing power hierarchies. For example, the selective enforcement of the doctrine where interventions by powerful Western states in Iraq or Libya are tolerated or legitimised, while similar actions by weaker or non-aligned states are condemned illustrates the instrumentalisation of legal norms for hegemonic purposes.<sup>35</sup> The R2P doctrine, while normatively attractive, further reveals this

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<sup>31</sup> Sundhya Pahuja, *Decolonising International Law: Development, Economic Growth and the Politics of Universality* (CUP 2011) 45–49.

<sup>32</sup> Antony Anghie, *Imperialism, Sovereignty and the Making of International Law* (CUP 2005) 32–40.

<sup>33</sup> Kenneth Waltz, *Theory of International Politics* (Addison-Wesley 1979) 88–92.

<sup>34</sup> *ibid* 98–99.

<sup>35</sup> Christine Gray, *International Law and the Use of Force* (4th edn, OUP 2018) 344–351.

asymmetry in its selective application and in the discretionary power it grants to a few actors to determine when and how sovereignty may be overridden.<sup>36</sup>

By drawing on these theoretical lenses, this study situates the doctrine of non-intervention not as a static or uniformly applied principle but as a contested legal and political terrain. It aims to critically unpack the mechanisms by which law, power, and ideology interact to shape interventionist practices in international relations, and to highlight how these practices disproportionately affect weaker states.

## **Methodology**

This study adopts a doctrinal legal research methodology, often referred to as "black-letter law" analysis, which involves a systematic and critical examination of the legal principles, statutes, treaties, and case law that constitutes the doctrine of non-intervention in international law. The focus of doctrinal analysis is the authoritative sources of law such as the United Nations Charter, International Court of Justice (ICJ) judgments, customary international law, and scholarly commentaries and how they interpret and apply the principle of non-intervention in practice.

This method enables an exploration of the evolution, content, scope, and limitations of the doctrine, especially in relation to its selective application in situations where power asymmetries influence legal outcomes. The study relies on primary sources such as the UN Charter (especially Articles 2(4), 2(7), and Chapter VII), ICJ rulings such as *Nicaragua v United States of America* (1986), and multilateral agreements like the Montevideo Convention (1933). It also integrates critical assessments from leading scholars such as Martti Koskeniemi, Christine Gray, and Antony Anghie to interrogate the underlying assumptions and ideological currents that shape interventionist practices.

Doctrinal analysis is complemented by a critical contextual approach, which situates legal texts within their historical, political, and institutional environments. This interdisciplinary engagement draws from international relations theory, especially realist and postcolonial perspectives, to better understand the gap between legal norms and political practice in international affairs. This approach helps illuminate

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<sup>36</sup> Anne Orford, *Reading Humanitarian Intervention: Human Rights and the Use of Force in International Law* (CUP 2003) 109–117.

how legal doctrines such as non-intervention are manipulated, ignored, or selectively applied based on the interests and capacities of powerful states.

Combining doctrinal rigor with critical inquiry, this methodology facilitates a nuanced understanding of the inequities inherent in international legal structures, particularly the tension between legal sovereignty and practical subordination experienced by weaker states in the global system.

## **Legal Framework**

The legal framework of this study is anchored in the foundational instruments of modern international law that codify and govern the principle of non-intervention. The United Nations Charter (1945) is the cornerstone of the post-war international legal order and provides the most authoritative basis for the doctrine.

Article 2(4) of the UN Charter prohibits "the threat or use of force against the territorial integrity or political independence of any state," thereby affirming the centrality of state sovereignty and territorial inviolability. Furthermore, Article 2(7) explicitly restricts the UN from intervening in matters "essentially within the domestic jurisdiction of any state," unless enforcement measures under Chapter VII are invoked.<sup>37</sup> These provisions codify the doctrine of non-intervention as a binding norm of international law, further reinforced by customary law and state practice.

The International Court of Justice (ICJ) has provided critical judicial interpretation of these provisions. In the landmark case of *Nicaragua v United States of America*, the Court held that the principle of non-intervention is "part and parcel of customary international law," and that no state has the right to intervene, directly or indirectly, in the internal or external affairs of another.<sup>38</sup> The Court clarified that coercive acts such as military and paramilitary activities, funding of armed opposition groups, and even economic pressures can constitute unlawful interventions when aimed at influencing the political will of another state.<sup>39</sup>

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<sup>37</sup> UN Charter (1945) arts 2(4), 2(7), ch VII.

<sup>38</sup> *Military and Paramilitary Activities in and against Nicaragua (Nicaragua v United States of America)* (Merits) [1986] ICJ Rep 14, paras 202–205.

<sup>39</sup> *ibid* paras 242–245.

Other international instruments reinforce this norm. The Montevideo Convention on the Rights and Duties of States (1933) outlines the criteria for statehood and the rights of states to non-interference in their internal affairs, laying a normative foundation for sovereignty and legal equality among states.<sup>40</sup> The Declaration on the Inadmissibility of Intervention (UNGA Res 2131 (XX), 1965) further confirms the prohibition on intervention in any form, reinforcing its status as a *jus cogens* norm.

However, this framework has been increasingly tested by doctrines such as the Responsibility to Protect (R2P), which asserts a collective international responsibility to intervene militarily, if necessary, when states fail to protect their populations from mass atrocities.<sup>41</sup> While R2P reflects a normative evolution in international law, it simultaneously raises questions about its selective application, particularly by powerful states or within politically expedient contexts.<sup>42</sup>

Thus, while the legal framework on non-intervention appears settled in theory, its application is riddled with inconsistencies, shaped by *realpolitik* and power differentials. This study examines how this dynamic undermines the principle's normative coherence and disproportionately affects weaker states.

### **Analysis of Power Asymmetries and Intervention**

Power asymmetries constitute a persistent and defining feature of international relations, critically shaping the doctrine of non-intervention. While Article 2(1) of the United Nations Charter enshrines the principle of sovereign equality of all states, the practical application of this doctrine is often subordinated to the strategic interests of powerful states. The asymmetry between legal norms and geopolitical influence reveals how dominant states manipulate international legal instruments to justify interventions, while weaker states are held rigidly to non-interventionist expectations.

In *Military and Paramilitary Activities in and against Nicaragua (Nicaragua v United States of America)*, the International Court of Justice (ICJ) reaffirmed that the principle of non-intervention is part of customary international law and prohibits any form of coercive interference in the internal or external affairs of another state, including armed intervention, support for subversive activities, or

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<sup>40</sup> Montevideo Convention on the Rights and Duties of States (adopted 26 December 1933, entered into force 26 December 1934) 165 LNTS 19, art 3.

<sup>41</sup> United Nations, '2005 World Summit Outcome' (24 October 2005) UN Doc A/RES/60/1, paras 138–139.

<sup>42</sup> Anne Orford, *International Authority and the Responsibility to Protect* (CUP 2011) 71–88.

coercive economic pressure.<sup>43</sup> Nonetheless, the United States had supported rebel forces in Nicaragua in direct violation of this principle, revealing the tendency of powerful states to disregard legal obligations when inconvenient.

A further illustration of selective intervention is evident in the 2003 invasion of Iraq. The coalition forces, primarily led by the United States and the United Kingdom, claimed legal justification under existing Security Council resolutions, particularly Resolution 678 (1990) and Resolution 1441 (2002). However, many legal scholars have argued that these resolutions did not authorize the use of force, absent a specific determination by the Security Council.<sup>44</sup> The invasion proceeded despite widespread opposition in the international community, underscoring how legal norms were subordinated to hegemonic prerogatives.

In contrast, the international community's delayed response to the Rwandan genocide in 1994 where nearly one million people were killed demonstrates the failure to intervene in circumstances of urgent humanitarian need. Despite the presence of legal and moral grounds for humanitarian intervention, the lack of strategic interest by major powers resulted in passivity.<sup>45</sup> This disparity in response highlights a normative inconsistency driven by political and economic interests rather than legal principle.

Moreover, the structure of the United Nations Security Council reinforces global power asymmetries. The veto power of the five permanent members (China, France, Russia, the United Kingdom, and the United States) allows them to block any resolution, regardless of majority support or humanitarian necessity. The repeated vetoes by Russia and China on resolutions related to Syria, despite overwhelming evidence of atrocities, demonstrate the paralysis that power politics can impose on multilateral decision-making.<sup>46</sup>

Critical and postcolonial scholars further contend that interventions particularly in the Global South serve to perpetuate hegemonic structures under the guise of development, democracy promotion, or humanitarianism. Interventionist policies often reflect a continuation of imperial hierarchies, repackaged

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<sup>43</sup> [1986] ICJ Rep 14, 106–108, paras 202–205

<sup>44</sup> Christine Gray, *International Law and the Use of Force* (4th edn, OUP 2018) 333–335

<sup>45</sup> (Simon Chesterman, *Just War or Just Peace? Humanitarian Intervention and International Law* (OUP 2001) 117–120)

<sup>46</sup> Pierre Thielbörger, 'The Status and Future of the Responsibility to Protect after Libya and Syria' (2012) 6 *Goettingen Journal of International Law* 10, 14–16).

within the framework of liberal internationalism.<sup>47</sup> Such critiques suggest that the doctrine of non-intervention, while legally universal, is politically malleable and susceptible to abuse by dominant powers.

Power asymmetries not only distort the application of the non-intervention principle but also erode the foundational ideals of sovereign equality and international justice. The selective enforcement and instrumental use of legal norms by powerful actors expose the need to rethink the normative coherence of international legal principles and advocate for a more equitable framework that genuinely restrains the abuse of power under the guise of intervention.

### **Comparative Case Analysis**

A comparative analysis of state interventions across different geopolitical contexts underscores the inconsistent application of the doctrine of non-intervention, often reflecting the prevailing power structures in the international system. While the legal principle of non-intervention is universally recognized, its practical enforcement varies significantly depending on the actors involved and the strategic interests at play.

#### **The United States in Latin America vs. Russian Actions in Ukraine**

The United States' interventions in Latin America during the 20th century particularly in Guatemala (1954), Chile (1973), and Nicaragua (1980s) were justified on the grounds of protecting democracy or countering communism. However, such justifications often mask economic and ideological motivations, undermining the sovereignty of the affected states. For instance, in *Nicaragua v United States of America* [1986] ICJ Rep 14, the International Court of Justice held that the US had violated the principle of non-intervention by supporting the Contras, thereby breaching international law despite its claimed intent to promote democracy.

By contrast, Russia's annexation of Crimea in 2014 and its ongoing intervention in Eastern Ukraine have been widely condemned as violations of Ukraine's sovereignty and the UN Charter.<sup>48</sup> Russia attempted to justify its actions by invoking the protection of ethnic Russians and alleged threats to regional

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<sup>47</sup> Antony Anghie, *Imperialism, Sovereignty and the Making of International Law* (CUP 2004) 245–250

<sup>48</sup> UNGA Res 68/262 27 March 2014

stability. However, the absence of Security Council authorization and Ukraine's status as a sovereign state rendered the intervention unlawful under international law.<sup>49</sup>

### **NATO in Kosovo vs. Non-Intervention in Rwanda**

The 1999 NATO intervention in Kosovo, conducted without Security Council authorization, was grounded in humanitarian concerns following reports of ethnic cleansing by Serbian forces. While many hailed the intervention as a moral necessity, its legality under international law remains contested due to the absence of explicit UN mandate.<sup>50</sup> The intervention exposed a growing tension between humanitarian imperatives and the strictures of state sovereignty, with powerful Western states willing to circumvent the UN system when consensus could not be reached.

Conversely, the international community's failure to intervene during the 1994 Rwandan genocide, despite clear evidence of mass atrocities, reveals the consequences of political disinterest by major powers. The UN's reluctance to authorize a robust intervention, even in the face of mass killings, resulted in the deaths of nearly one million people. The inaction in Rwanda reflects a systemic failure of the doctrine of non-intervention to adapt in circumstances where intervention might have been morally and legally justified under the emerging doctrine of the Responsibility to Protect (R2P).<sup>51</sup>

### **The Libyan Intervention vs. the Syrian Stalemate**

The 2011 NATO-led intervention in Libya under UNSC Resolution 1973 authorized "all necessary measures" to protect civilians during the uprising against Muammar Gaddafi. This intervention, while initially justified under humanitarian grounds, soon led to regime change, which many critics argue exceeded the original UN mandate.<sup>52</sup> The overreach in Libya has since been cited as a cause of reluctance to intervene in Syria, where a veto-stalemate in the Security Council has obstructed efforts to halt mass atrocities.

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<sup>49</sup> Marc Weller, 'Russia's Seizure of Crimea: An Analysis Under International Law' (2014) 1 *Cambridge Journal of International and Comparative Law* 1, 4–8

<sup>50</sup> Independent International Commission on Kosovo, *The Kosovo Report* (Oxford University Press 2000) 164–167

<sup>51</sup> Gareth Evans, *The Responsibility to Protect: Ending Mass Atrocity Crimes Once and For All* (Brookings Institution Press 2008) 41–44

<sup>52</sup> Alex J Bellamy and Paul D Williams, 'The New Politics of Protection? Côte d'Ivoire, Libya and the Responsibility to Protect' (2011) 87 *International Affairs* 825, 839–842

In Syria, the UN Security Council has been paralysed by repeated vetoes from Russia and China, blocking international action despite extensive humanitarian crises. This reflects how power politics and strategic alliances can shield a regime from international accountability, even in the face of egregious human rights violations.<sup>53</sup>

This comparative analysis illustrates the selective enforcement of the non-intervention principle. Where interventions align with the interests of powerful states or blocs, legal and moral justifications are more readily constructed. Conversely, where such interests are absent, even pressing humanitarian concerns fail to trigger action. The asymmetrical nature of intervention thus raises fundamental questions about the integrity and universality of the doctrine of non-intervention in modern international law.

## **Findings and Analysis**

The findings of this study reveal a profound dissonance between the normative strength of the doctrine of non-intervention and its practical enforcement in the international legal order. While international law formally upholds the principle as a peremptory norm enshrined in Article 2(4) and Article 2(7) of the United Nations Charter it is applied inconsistently in practice, particularly when the interests of powerful states are at stake. This inconsistency is not merely coincidental but symptomatic of deeper structural asymmetries in the global order.

One of the most significant findings is the selectivity in the application of non-intervention, particularly by dominant powers who invoke or disregard the doctrine based on geopolitical interests. For instance, in the *Nicaragua v United States of America* case, the International Court of Justice (ICJ) held that the United States violated the principle by supporting the Contra rebels in Nicaragua (Military and Paramilitary Activities in and against Nicaragua). The Court affirmed that customary international law prohibits coercive intervention, whether direct or indirect.<sup>54</sup> Yet, despite this binding judgment, enforcement against the U.S. was notably absent, illustrating how legal accountability is often contingent upon power dynamics.

This pattern is further confirmed in *Armed Activities on the Territory of the Congo (DRC v Uganda)*, where Uganda was found to have violated the sovereignty of the Democratic Republic of the Congo

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<sup>53</sup> UNSC Draft Resolution S/2014/348, vetoed 22 May 2014

<sup>54</sup> *Nicaragua v United States of America* (Merits) [1986] ICJ Rep 14, paras 202–205

through military occupation and exploitation of resources. The ICJ declared Uganda's actions unlawful and awarded reparations.<sup>55</sup> However, the enforcement of this ruling has remained largely symbolic, with minimal consequences for Uganda's elite. These instances demonstrate that weaker states may receive legal recognition of their rights, but rarely see substantive redress, which undermines the protective function of the non-intervention norm.

Another key finding is the rhetorical use of the non-intervention principle by powerful states. The doctrine is often invoked to justify inaction in the face of humanitarian crises or to oppose intervention by rival states. In the case of Syria, for example, major powers such as Russia and China have consistently cited non-intervention to block United Nations Security Council resolutions, even when mass atrocities were ongoing.<sup>56</sup> Conversely, the 2011 NATO-led intervention in Libya, framed under the Responsibility to Protect (R2P) doctrine, revealed how humanitarian justifications can be instrumentalised to mask regime-change agendas, especially in oil-rich or strategically important regions.<sup>57</sup>

The findings also underscore the ideological legacy of colonialism and imperialism in shaping the application of non-intervention. Postcolonial scholars have argued that the international legal system, though formalised in principles of sovereign equality, retains structural biases that privilege Western powers.<sup>58</sup> The doctrine of non-intervention, in this context, becomes a double-edged sword: it is invoked to protect the sovereignty of weaker states, yet simultaneously circumvented to maintain global hierarchies.

From an institutional perspective, the UN Security Council's discretionary power under Chapter VII of the Charter further complicates matters. Its decisions are often subject to the political will of its five permanent members, rendering the non-intervention principle vulnerable to geopolitical bargaining rather than legal consistency.<sup>59</sup>

Ultimately, the analysis reveals that the doctrine of non-intervention, though deeply embedded in international law, functions unevenly in a world of unequal actors. Its selective enforcement reflects the

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<sup>55</sup> ICJ Rep 2005, 168, paras 160–165

<sup>56</sup> Marc Weller, 'Responsibility to Protect and the Crisis in Syria' (2012) 86(6) *International Affairs* 1031

<sup>57</sup> Anne Orford, *International Authority and the Responsibility to Protect* (CUP 2011) 90–97

<sup>58</sup> Antony Anghie, *Imperialism, Sovereignty and the Making of International Law* (CUP 2004) 45–49

<sup>59</sup> Christine Gray, *International Law and the Use of Force* (4th edn, OUP 2018) 128–133).

very power asymmetries it purports to constrain, thereby diminishing its normative legitimacy and legal utility. Rather than operating as a neutral legal principle, non-intervention is frequently co-opted as a political tool employed strategically to defend national interests, block international action, or legitimise intervention under new rhetorical frameworks.

## **Conclusion and Recommendations**

This study has critically examined the doctrine of non-intervention in international law through the lens of power asymmetries. It has demonstrated that although the principle of non-intervention is foundational to international legal order as enshrined in Article 2(4) and 2(7) of the United Nations Charter it operates within a system that is structurally skewed in favour of powerful states. The doctrine, while normatively universal, has been applied selectively and often subordinated to the strategic, economic, or ideological interests of dominant actors.

The analysis of landmark cases such as *Nicaragua v United States* and *DRC v Uganda* revealed that violations of non-intervention by more powerful states tend to escape meaningful enforcement, thereby reducing the principle to a rhetorical device rather than a functional legal safeguard. Furthermore, the appropriation of humanitarian language as seen in the Libya intervention under the Responsibility to Protect (R2P) demonstrates how interventionist practices are often framed within the language of legality and morality to conceal imperial or geopolitical ambitions.

Moreover, the structural biases of international institutions, especially the United Nations Security Council, further reinforce the asymmetrical application of the doctrine. With veto powers vested in the five permanent members, decisions regarding intervention often reflect the geopolitical interests of the few, rather than the collective will or legal principles of the many.<sup>60</sup> In sum, the doctrine of non-intervention, while premised on sovereign equality, continues to function in a world of entrenched inequality.

While the doctrine of non-intervention remains a vital component of international law, its legitimacy and effectiveness are undermined by the persistent power asymmetries in global governance. A comprehensive rethinking grounded in legal reform, institutional restructuring, and epistemological

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<sup>60</sup> Gray, *Use of Force* 133

pluralism is essential for creating a more equitable international legal order that truly upholds the sovereignty and dignity of all states.

Following the above, the study hereby presents the following recommendations:

**Recalibrate Legal Norms to Reflect Equality in Practice:** International legal mechanisms must be strengthened to ensure that all states regardless of their power are equally subject to and protected by the principle of non-intervention. This could include revisiting enforcement mechanisms and enhancing the independence and authority of international judicial institutions like the ICJ to deliver binding and enforceable judgments, free from political obstruction.

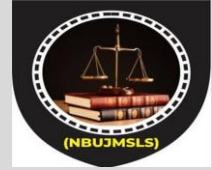
**Reform the UN Security Council:** Structural reform of the Security Council is necessary to curtail the political manipulation of intervention decisions. This includes reconsidering the veto powers of permanent members, especially in cases involving humanitarian crises or blatant violations of sovereignty. Such reforms would make the principle of non-intervention less susceptible to strategic abuse.

**Codify Clear Standards for Humanitarian Intervention:** The current ambiguity surrounding the use of force for humanitarian purposes has led to its misuse. There is a need for a binding international legal instrument that clearly defines the circumstances under which humanitarian intervention is permissible, ensuring consistency and preventing its instrumentalisation by powerful states.

**Empower Regional and Sub-Regional Mechanisms:** Regional organisations should be granted greater autonomy and legal authority to manage crises within their regions, provided such interventions conform to international law. This would reduce dependency on powerful global actors and foster a more decentralised and equitable enforcement of international norms.

**Mainstream Postcolonial Perspectives in Legal Discourse:** Legal scholarship and policy-making must integrate postcolonial critiques to acknowledge and address the historical and ongoing inequalities embedded in international law. Doing so would help dismantle the colonial legacies that continue to shape intervention practices and the doctrine of non-intervention.

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## **Asymmetrical Federalism in Nigeria: A Critical Examination of its Historical, Political, and Economic Implications.**

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### **Abstract:**

This study provides an in-depth analysis of asymmetrical federalism in Nigeria, exploring its historical evolution, political dynamics, economic consequences, and legal implications.

Nigeria's federal system, established in 1963, has been characterized by asymmetrical power distribution, revenue allocation, and resource management.

Asymmetrical federalism has been studied extensively, in Nigeria. Many scholars have highlighted the legacy of colonialism, military rule, and ethnic diversity as factors contributing to asymmetrical federalism. In this paper we shall highlight this study and provide solutions to them.

Nigeria's federal structure has undergone significant changes since independence in 1960, and as recent as this year 2024, the Supreme Court has delivered a landmark judgment on local government revenue allocations, and this has triggered elections into council of various states that hitherto have ignored the need to have elected council for years.

**KEYWORDS:** Power distribution, Revenue allocation, Resource management and autonomy.

### **Introduction.**

Asymmetrical federalism in Nigeria is characterized by the unequal representation in federal institutions<sup>61</sup>, is a significant challenge in Nigeria. Most people explain it from the prism of their biases

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<sup>61</sup> Ojo, E. (2015). Representation and federal character in Nigeria's public service. *African Journal of Public Administration and Management*, 24(2), 1-18.

and understanding of the issues. Many upheavals have been caused by deliberate distortion of how we got to this point and who are responsible for where we are today. I will try in this article to highlight the theme of asymmetrical federalism; I shall provide concentrate examples and keep my bias at bay. Let us start with some examples:

1. Unequal Representation in the Senate: Nigeria's Senate has 109 members, with each state having three senators. However, the population of each state varies significantly, leading to unequal representation. For instance, Kano State has a population of over 10 million people, while Bayelsa State has a population of less than 2 million people <sup>1</sup>.
2. Disproportionate Representation in the House of Representatives: The House of Representatives has 360 members, with each state having a number of representatives based on its population. However, this system still leads to unequal representation, as some states have more representatives than others <sup>1</sup>.
3. Unequal Representation in Federal Appointments: The federal character principle is supposed to ensure that federal appointments reflect the diversity of the country. However, in practice, this principle is often ignored, leading to unequal representation <sup>2</sup>.
4. Limited Representation of Minority Groups: Nigeria has over 250 ethnic groups, but some groups are more represented in federal institutions than others. This leads to unequal representation and marginalization of minority groups <sup>3</sup>.
5. Unequal Access to Federal Resources: The federal government controls a significant portion of the country's resources, and unequal access to these resources can exacerbate regional disparities <sup>4</sup>.

These examples illustrate the unequal representation in federal institutions in Nigeria. Addressing these inequalities requires a comprehensive approach that includes constitutional reforms, institutional innovation, and public engagement <sup>5</sup>.

Unequal representation in federal institutions has far-reaching consequences for Nigeria, affecting various aspects of the country's development. Here are some of the ways unequal representation impacts Nigeria:

**i. Economic Consequences:-**

1. Regional Disparities: Unequal representation leads to unequal access to federal resources, exacerbating regional disparities and hindering economic development in marginalized areas.
2. Inefficient Allocation of Resources: Unequal representation can result in the misallocation of resources, as federal institutions may prioritize the interests of dominant groups over those of marginalized communities.

**ii. Social Consequences:-**

1. Marginalization and Exclusion: Unequal representation can lead to the marginalization and exclusion of certain groups, fostering feelings of resentment and disillusionment.
2. Ethnic and Religious Tensions: Unequal representation can exacerbate ethnic and religious tensions, as marginalized groups may feel that their interests are not being represented.

**iii. Political Consequences:-**

1. Lack of Accountability: Unequal representation can lead to a lack of accountability, as federal institutions may not be responsive to the needs and concerns of marginalized communities.
2. Instability and Conflict: Unequal representation can contribute to instability and conflict, as marginalized groups may resort to violence or other forms of protest to express their grievances.

**iv. Developmental Consequences:-**

1. Inhibited Economic Growth: Unequal representation can hinder economic growth, as marginalized areas may lack access to essential infrastructure, services, and resources.
2. Poor Service Delivery: Unequal representation can result in poor service delivery, as federal institutions may not prioritize the needs of marginalized communities.

**v. Human Rights Consequences:-**

1. Violations of Human Rights: Unequal representation can lead to violations of human rights, as marginalized groups may be denied access to essential services, such as healthcare and education.
2. Discrimination and Inequality: Unequal representation can perpetuate discrimination and inequality, as marginalized groups may be excluded from decision-making processes and denied opportunities for social and economic mobility.

**A. Addressing unequal representation in Nigeria requires a comprehensive approach that includes constitutional reforms, institutional innovation, and public engagement**

**1. Disproportionate revenue allocation<sup>62</sup>** ; Disproportionate revenue allocation in Nigeria refers to the unequal distribution of revenue among the three tiers of government: federal, state, and local governments. This has been a contentious issue in Nigeria, with various stakeholders arguing that the current revenue allocation formula is unfair and unsustainable.

**2. Current Revenue Allocation Formula:**

The current revenue allocation formula in Nigeria is as follows:

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<sup>62</sup> Odili C. (2016). Revenue allocation and fiscal federalism in Nigeria. *Journal of Economics and Finance*, 10(1), 1-12 .

1. Federal Government: 52.68%
2. State Governments: 26.72%
3. Local Governments: 20.60%

The current revenue allocation formula has been criticized for being disproportionate and unfair. Some of the issues with the current formula include:

1. Over-concentration of revenue at the federal level: The federal government receives the largest share of revenue, which can lead to a lack of fiscal autonomy for state and local governments.
2. Inequitable distribution among states: The revenue allocation formula does not take into account the varying needs and circumstances of different states. For example, states with larger populations or greater economic activity may require more revenue to provide essential services.
3. Limited funding for local governments: Local governments receive the smallest share of revenue, which can limit their ability to provide essential services such as healthcare, education, and infrastructure.

### **3. Consequences of Disproportionate Revenue Allocation;-**

The disproportionate revenue allocation in Nigeria has several consequences, including:

1. Inefficient allocation of resources: The current revenue allocation formula can lead to an inefficient allocation of resources, as revenue is not always allocated to the areas of greatest need.
2. Limited economic development: The lack of fiscal autonomy for state and local governments can limit their ability to promote economic development and provide essential services.
3. Increased poverty and inequality: The disproportionate revenue allocation can exacerbate poverty and inequality, as some states and local governments may not have the resources to provide essential services.

### **4. Proposed Reforms**

To address the issues with the current revenue allocation formula, several reforms have been proposed, including:

1. Review of the revenue allocation formula: A review of the revenue allocation formula to ensure that it is fair, equitable, and reflects the needs and circumstances of different states and local governments.
2. Increase in the share of revenue for state and local governments: An increase in the share of revenue for state and local governments to give them greater fiscal autonomy and enable them to provide essential services.
3. Introduction of a needs-based revenue allocation formula: The introduction of a needs-based revenue allocation formula that takes into account the varying needs and circumstances of different states and local governments.

By addressing the issues with the current revenue allocation formula, Nigeria can promote more efficient and equitable allocation of resources, support economic development, and reduce poverty and inequality.

Limited state autonomy in Nigeria refers to the restricted ability of state governments to exercise control over their own affairs, make decisions, and manage their resources. This limitation is a result of the country's federal structure and the concentration of power at the federal level.

❖ Limited state autonomy<sup>63</sup> The Nigerian state has limited the powers of the states, and this limitation has consequences and we shall discuss the causes and consequences of this.

❖ Causes of Limited State Autonomy.

1. Concentration of Power: The Nigerian Constitution concentrates power at the federal level, limiting the autonomy of state governments.
2. Federal Control over Revenue: The federal government controls the majority of the country's revenue, leaving state governments dependent on federal allocations.
3. Limited Legislative Powers: State governments have limited legislative powers, as the federal government has exclusive powers over key areas such as defense, foreign affairs, and commerce.
4. Federal Oversight: Federal agencies and institutions, such as the Nigerian National Petroleum Corporation (NNPC) and the Central Bank of Nigeria (CBN), have significant oversight powers over state governments.

❖ Consequences of Limited State Autonomy.

1. Inefficient Governance: Limited state autonomy can lead to inefficient governance, as state governments may not have the flexibility to respond to local needs and challenges.
2. Dependence on Federal Allocations: State governments' dependence on federal allocations can create uncertainty and undermine their ability to plan and budget effectively.
3. Limited Economic Development: Limited state autonomy can hinder economic development, as state governments may not have the authority to implement policies and programs that support local economic growth.
4. Ethnic and Regional Tensions: Limited state autonomy can exacerbate ethnic and regional tensions, as groups may feel that their interests are not being represented or addressed.

**Reforms to Enhance State Autonomy; -**

1. Constitutional Reforms: Amend the Nigerian Constitution to grant state governments more autonomy and powers.
2. Fiscal Federalism: Implement a more equitable fiscal federalism system, where state governments have greater control over their revenue and resources.
3. Decentralization: Decentralize power and decision-making authority to state and local governments.
4. Capacity Building: Build the capacity of state governments to manage their affairs effectively and efficiently.

Fiscal federalism offers several benefits, including:

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<sup>63</sup> Suberu, R. (2001). Federalism and ethnic conflict in Nigeria. United States Institute of Peace Press.

1. Improved Resource Allocation: Fiscal federalism allows sub-national governments to allocate resources according to local needs and priorities, leading to more efficient use of resources.
2. Increased Autonomy: Fiscal federalism grants state governments greater autonomy to make decisions and implement policies, allowing them to respond more effectively to local challenges.
3. Enhanced Accountability: Fiscal federalism promotes accountability, as state governments are more directly responsible for their financial decisions and are more accountable to their citizens.
4. Better Representation: Fiscal federalism ensures that local interests are represented in the decision-making process, leading to more inclusive and responsive governance.
5. Reduced Inequality: Fiscal federalism can help reduce regional disparities by allowing sub-national governments to address local development needs and priorities.
6. Increased Economic Growth: Fiscal federalism can promote economic growth by allowing sub-national governments to implement policies and programs that support local economic development.
7. Improved Public Services: Fiscal federalism enables sub-national governments to provide public services that are tailored to local needs, leading to improved service delivery.
8. Greater Transparency: Fiscal federalism promotes transparency, as sub-national governments are required to disclose their financial decisions and transactions.
9. Reduced Corruption: Fiscal federalism can help reduce corruption by promoting transparency, accountability, and citizen participation in the decision-making process.

In Nigeria, fiscal federalism can help address regional disparities, promote economic growth, and improve public service delivery.

## **Recommendations**

1. Constitutional reforms to address structural imbalances.  
Nigeria's constitution has undergone several reforms to address structural imbalances. Key reforms include:
  - i. Federal Character Principle<sup>64</sup>, is to ensure equitable representation of states and regions in government institutions.
  - ii. Revenue Allocation Formula<sup>65</sup>. The allocation of revenue among federal, state, and local governments.

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<sup>64</sup> Section 14(3), of the 1999 Constitution of Federal Republic of Nigeria.

<sup>65</sup> Section 162, of the 1999 Constitution of Federal Republic of Nigeria.

iii. State Creation<sup>66</sup> . This section allows for the creation of new states to address regional imbalances.

iv. Local Government Autonomy<sup>67</sup> : This will grant autonomy to local governments to address grassroots development.

## 2. Fiscal decentralization.

Fiscal decentralization in Nigeria refers to the transfer of financial resources and decision-making powers from the federal government to lower tiers of government, such as states and local governments.

Nigeria's fiscal decentralization is guided by the 1999 Constitution, which allocates revenue and expenditure responsibilities among the three tiers of government (Federal, State, and Local Governments). The Constitution also established Revenue Mobilization, Allocation, and Fiscal Commission (RMAFC) to oversee the allocation of revenue.

Studies have shown that fiscal decentralization in Nigeria has led to improved service delivery and economic growth at the states level<sup>68</sup>. However, challenges persist, including inadequate funding and capacity constraints at the local government level<sup>69</sup>.

## 3. Strengthening local government autonomy.

The 1999 Constitution grants some autonomy to local governments, but state governments still wield significant control.<sup>70</sup>

(a).The Nigerian Supreme Court has ruled in favor of local government autonomy, stating that state governments cannot usurp their powers.<sup>71</sup>

(b). Experts recommend that local governments be given more financial autonomy, allowing them to generate and manage their own revenue<sup>72</sup>.

(c). Strengthening local government autonomy can lead to more effective service delivery, improved accountability, and enhanced grassroots development<sup>73</sup>

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<sup>66</sup> Section 8, of the 1999 Constitution of the Federal Republic of Nigeria.

<sup>67</sup> Section 7, of the 1999 Constitution of the Federal Republic of Nigeria.

<sup>68</sup> Ahmed & Mansoor, 2002, Fiscal Decentralization and Economic Growth in Nigeria. *Journal of African Development*, 4(1), 1-24

<sup>69</sup> Olaopa, 2008, Fiscal Decentralization and Local Government Finance in Nigeria. *Journal of Social Sciences*, 17(2), 147-156.

<sup>70</sup> Section 7 , Constitution of Federal Republic of Nigeria

<sup>71</sup> AG Lagos State v. AG Federation (2003)12 NWLR Pt. 833. 1.

<sup>72</sup> UNDP 2018, Strengthening Local Government in Nigeria: A Review of the Literature.

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